Realmadrid

Management Report & Financial Statements

2024-2025



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2024-2025

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Realmadrid

Management Report & Financial Statements

2024-2025

CONSOLIDATED MANAGEMENT REPORT

For the year ended June 30, 2025.

The Consolidated Management Report for Real Madrid Club de Fútbol and Subsidiaries.

KEY HIGHLIGHTS OF 2024/2025

CORPORATE STRUCTURE

As a result of the Santiago Bernabéu Stadium's remodeling and the new scope for revenue growth it brings, and in a bid to optimize the management of the business regarding the marketing and operation of the VIP area businesses, general seating capacity and the facilities on days when no matches are played, in 2021/2022 Real Madrid decided to decentralize management and set up a wholly owned subsidiary, Real Madrid Estadio, S.L. and equip it with all the material and human recourses it needed.

In 2023/2024, a new company, Aparcamientos del Santiago Bernabéu, S.L., was incorporated. Real Madrid, through Real Madrid Estadio, owns 98% of the share capital of this company, which primarily engages in the performance of the concession arrangement awarded by the Madrid Town Council to build and operate two parking lots, one on Paseo de la Castellana-Bernabéu and one on Padre Damián.

Real Madrid also, for several years now, owns 100% of Real Madrid Beijing Co, Ltd., set up to support Real Madrid's expansion in China and other countries in Asia.

Real Madrid Club de Fútbol, as parent, and Real Madrid Estadio, S.L., Aparcamientos Bernabéu, S.L. and Real Madrid Beijing Co, Ltd., as subsidiaries, constitute the Group (the "Group") referred to in this consolidated management report. Any mention of the Club in this report regarding financial data should be understood as the Group.

KEY HIGHLIGHTS OF 2024/2025

On the sports front, in the 2024/2025 season the first division football team won the UEFA European Super Cup and the FIFA Intercontinental Cup, was a Champions League quarter finalist, Spain's King's Cup finalist, and was runner-up in the National Professional Football League. Meanwhile, the first division basketball team won Spain's ACB league and was a quarter finalist in the EuroLeague.

The first division football team also played in the first FIFA Club World Cup tournament held from June 15 to July 13, 2025. Real Madrid lost in the semi finals. Since the tournament started during FY 2024/2025 and ended during FY 2025/2026, the Club's revenue and expenses for the first part of the tournament were recognized in 2024/2025, while its revenue and expenses for the second part of the tournament will be recognized in FY 2025/2026.

Work continued on the Paseo de la Castellana parking lot during the first part of the reporting period, but is currently suspended due to a court ruling.

As for the stadium remodeling project, in 2023/2024 work was gradually completed on the project's various structural components (e.g., facade, roof, retractable lawn) and significant progress was made on works related to development of businesses (e.g., VIP area, tour, experience, events, catering, store), which were the primary reason behind the remodeling project to begin with. Investment to June 30, 2024, amounted to €1,163 million. Over the course of 2024/2025, works continued, especially for development of businesses to complete the project in its entirety. Cumulative investment to June 30, 2025, amounted to €1,347 million, near the final total amount of the investment.

Based on these data, the main part of the works had been completed by the end of FY 2023/2024. Therefore, from the start of FY 2024/2025, investments in property, plant and equipment under construction that are now in full use have been reclassified to property, plant and equipment. Consequently, the related depreciation began and borrowing costs related to the project's financing were no longer capitalized as an increase in investments.

In line with progress on the works, stadium revenue increased throughout FY 2022/2023, FY 2023/2024 and FY 2024/25 as restrictions on the stadium availability—in terms of seating capacity and commercial operation—caused by the works since their commencement have gradually been lifted. Meanwhile, actions to boost revenue have gradually been implemented. Therefore, FY 2024/2025 was the first year of operations without restrictions on availability caused by the works. It was also the first with a high level of operation of the various recurring revenue streams related to capacity and commercial operations. As a result, revenue rose sharply. Nevertheless, some business lines—especially catering and concert promotion—are still not at full operational capacity. Elsewhere, while marketing of "personal seat licenses" continued in FY 2024/2025, revenue from this product was lower than the year before as fewer seats were up for sale. Excluding these licenses, revenue from recurring capacity and commercial operations in FY 2024/2025 was 38% higher than the previous year and over 70% higher than in FY 2018/2019 (i.e., before the works began). Estimates point to further room for growth over coming periods as all the business development actions under the remodeling project are completed and the typical start-up curve for new business activities flattens.

Concert hosting at the stadium began in the final months of FY 2023/2024 and continued into FY 2024/2025 through September. However, this activity is currently suspended because of a noise-related issue, on which the Club is actively working to address. Revenue earned by the Club from concert promotion was in line with the year before and in both cases represented approximately 1% of the Club's total revenue.

As illustrated, the remodeling work provides a new and important source of revenue for the Club, driving a sharp increase in revenue by the stadium on both match days and from the stadium's daily commercial operation. Higher net cash inflows will allow the Club to pay off the remodeling investment, while it continues to grow and remain competitive in an increasingly tough international football environment.

Commercial activity was affected for years by the pandemic and the uncertainties surrounding the overall economic

environment. In 2023/2024 and 2024/2025, the Club boosted both merchandising and sponsorship activities, in the latter by signing new, major sponsorship deals. The momentum in commercial activity is set to continue and even gather pace in the coming years, underpinned by the Club's strong brand on both its sports achievements and the remodeled stadium.

Operating income (before disposal of non-current assets) in FY 2024/2025 amounted to €1,185 million, up €111 million (or 10.4%) from the year before, when the Club managed to become the first football club ever to surpass the €1 billion mark in operating income before disposal of non-current assets.

This growth in revenue, after subtracting the increase in operating expenses related to this revenue and from operating activities, left operating profit before depreciation and amortization and disposals of non-current assets (EBITDA before disposals) of €208 million, up €65 million (or 45%) from the previous year. This efficiency metric in 2024/2025 was the Club's highest ever and 150% above the average of the last 10 years. It is a testament to the efforts undertaken by the Club to enhance performance and growth of the business in all areas.

After including the gain on player disposals and disposals of other assets in FY 2024/2025 (€35 million), operating profit before depreciation and amortization (EBITDA) was €243 million, an increase of €87 million (or 55%) on the year-ago figure. This marked a new all-time high EBITDA for the Club. The contribution of gains on disposals of players to EBITDA was lower in both 2024/2025 and 2023/2024 than those that had been got the previous five years.

Depreciation and amortization expenses were €33 million higher in FY 2024/2025 than the year before due to the depreciation charge for facilities as depreciation began on the investment in the stadium remodeling project on July 1, 2024. There was also an increase in net finance expense, of €42 million, mostly due to higher finance costs from the financing of the stadium, as they were no longer capitalized from July 1, 2024, and lower finance income due to the decrease in liquidity caused by payments on the works.

After D&A, finance costs and income tax, the Club reported profit after tax for FY 2024/2025 of €24 million, up €9 million (or 56%) from the year before. This positive performance extends the trend of the Club consistently ending every financial year since 2000 in the black, especially in the 5-year period from 2019/2020 to 2023/2024 affected by COVID-19 and, in the Club's specific case, the stadium remodeling works carried out during those years.

All this was achieved by implementing measures to rein in costs and improve the business all around. Notably in 2024/2025, the Club's operational efficiency improved, as illustrated by the level of EBITDA before disposals (€208 million) and EBITDA (€243 million), both record highs for the Club.

The Club has now been profit-making in the last 25 years, enabling it to build up equity of €598 million as at June 30, 2025.

The Club's net debt excluding the stadium remodeling project at June 30, 2025, amounted to €12 million. Comparing debt with the Club's payment capacity represented by ordinary cash flow (measured using EBITDA: €243 million), yields a debt/EBITDA ratio—one of the most commonly used solvency indicators—at June 30, 2025, of 0.0, which is commensurate with a maximum credit rating for financial institutions.

OPERATING INCOME
(before disposal of non-current assets)

Operating income (before disposal of non-current assets) in FY 2024/2025 amounted to €1,185 million, up €111 million (or 10.4%) from FY 2023/2024, when the Club surpassed the €1 billion mark in operating income before disposal of non-current assets for the first time ever, something no other football club has yet to achieve.

All business lines recorded growth, except for broadcasting. This was because UEFA market pool revenue was no longer recognized as a result the new income distribution system and because the revenue received from La Liga in 2024/2025 was slightly lower than in 2023/2024. A key highlight was growth in competition, market and stadium revenue. In competitions and friendlies, revenue from the first part of the FIFA Club World Cup offset the decrease in Champions League revenue—Real Madrid won the title the year before—while there was also an increase in income from friendlies and Spain's King's Cup final. Regarding commercial activity, in 2024/2025, the Club boosted both merchandising and sponsorship activities, in the latter by signing new, major sponsorship deals. Turning to the stadium, FY 2024/2025 was the first year of operations without restrictions on availability caused by the works. It was also the first with a high level of operation of the various recurring revenue streams related to seating capacity and commercial operations. As a result, revenue rose sharply. Nevertheless, some business lines—especially catering and concert promotion—are still not at full operational capacity. Elsewhere, while marketing of "personal seat licenses" continued in FY 2024/2025, revenue from this product was lower than the year before as fewer seats were up for sale. Excluding these licenses, revenue from recurring capacity and commercial operations in FY 2024/2025 was 38% higher than the previous year.

This item includes revenue from the various business lines (stadium, international and friendly matches, broadcasting, and marketing) and from other operating activities, but excludes revenue from player transfers, which is recognized in the income statement under "Gains/(losses) on disposal of non-current assets".

Club membership fees and season tickets in 2024/2025 accounted for 5.5% of total revenue (2023/2024: 5.6%). It represented 16.5% in 2000, 9.7% in 2009 and 7.2% in 2018/2019, before COVID-19 and the start of the project.

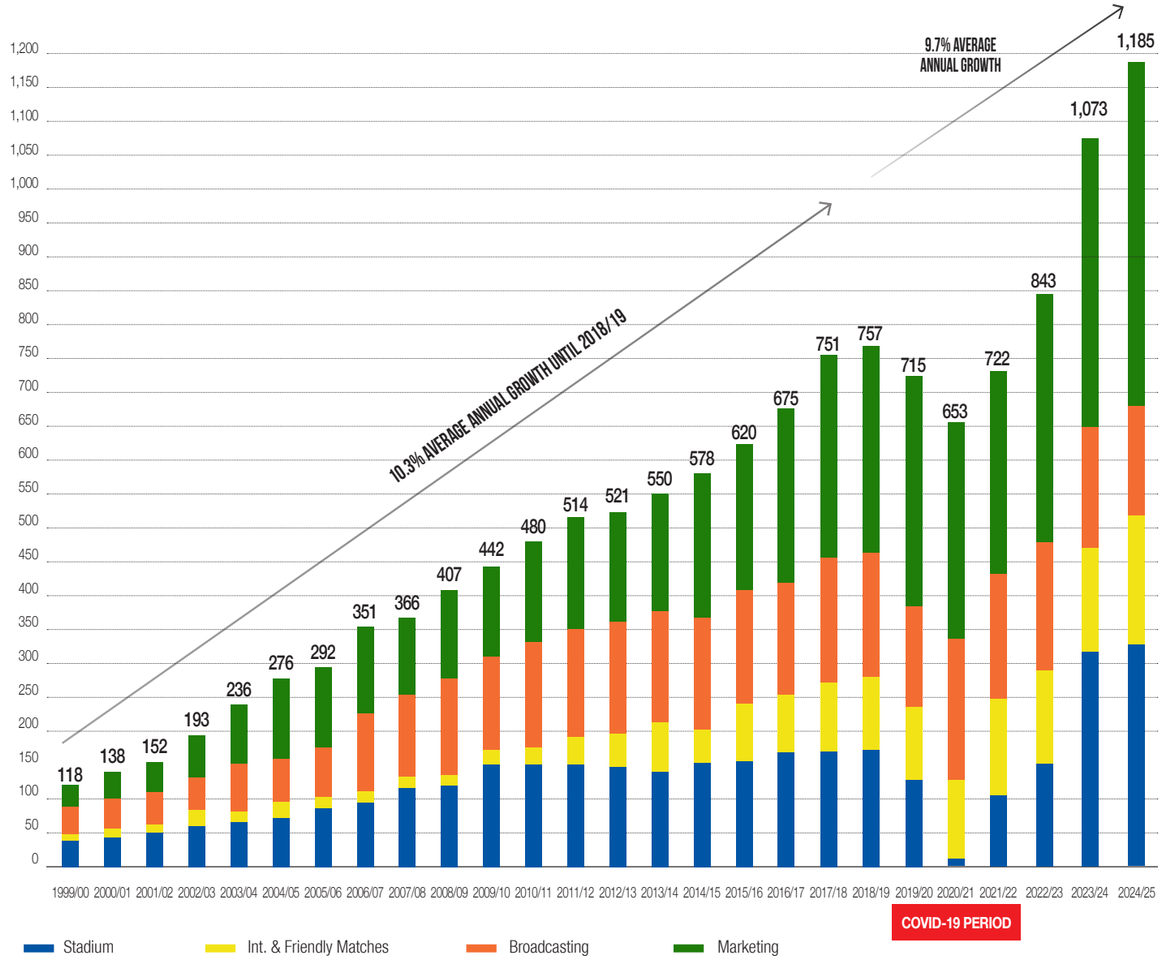
In the 2000-2019 period, before the pandemic, revenue grew at an average annual rate of 10.3%. Because of the pandemic and the lost revenue caused by the situation in 2019/2020, 2020/2021 and 2021/2022, the pace of average annual growth in 2000-2022 declined to 8.6%. After revenue growth in 2022/2023, 2023/2024 and 2024/2025, average annual growth in 2000-2025 was 9.7%.

Going forward, promoting the Club's brand through investment in top players and international expansion are still the principal ways in which the Club can remain competitive and maintain its status as a global benchmark in football.

9,7% CRECIMIENTO ANUAL MEDIO

OPERATING INCOME
(BEFORE DISPOSAL OF NON-CURRENT ASSETS)

€ MILLION



BREAKDOWN OF OPERATING INCOME

(before disposal of non-current assets)

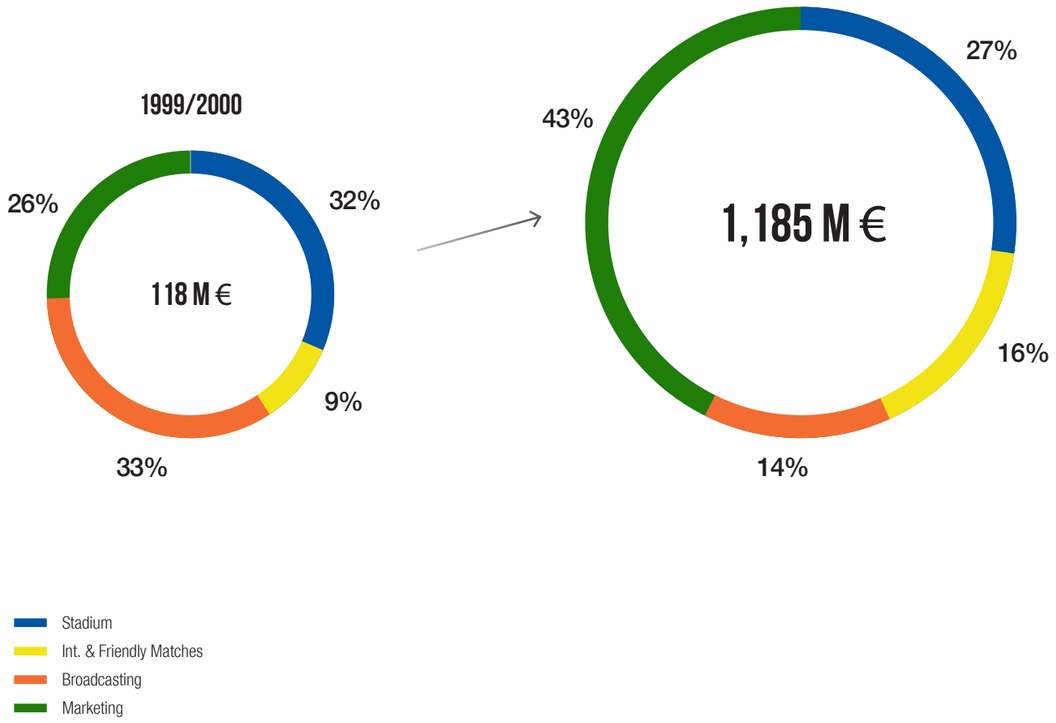
The Club enjoys a balanced revenue mix, barring the atypical situation in previous years affected by COVID-19 and the temporary effects of the remodeling work.

The three largest lines (stadium, television/ competitions and marketing) make up around a third of total revenue, although the weight of TV revenue in the mix (La Liga and Champions League) has decreased gradually, while the weight of marketing revenue has increased along with stadium revenue as the remodeling is completed.

This diversified stream of recurring revenue lends financial stability to the Club, cushioning the impact of potential fluctuations in revenue caused by varying performance on the sports front or changes in the economic landscape.

BREAKDOWN OF OPERATING INCOME

(BEFORE DISPOSAL OF NON-CURRENT ASSETS)



PERSONNEL EXPENSES/OPERATING INCOME: EFFICIENCY RATIO

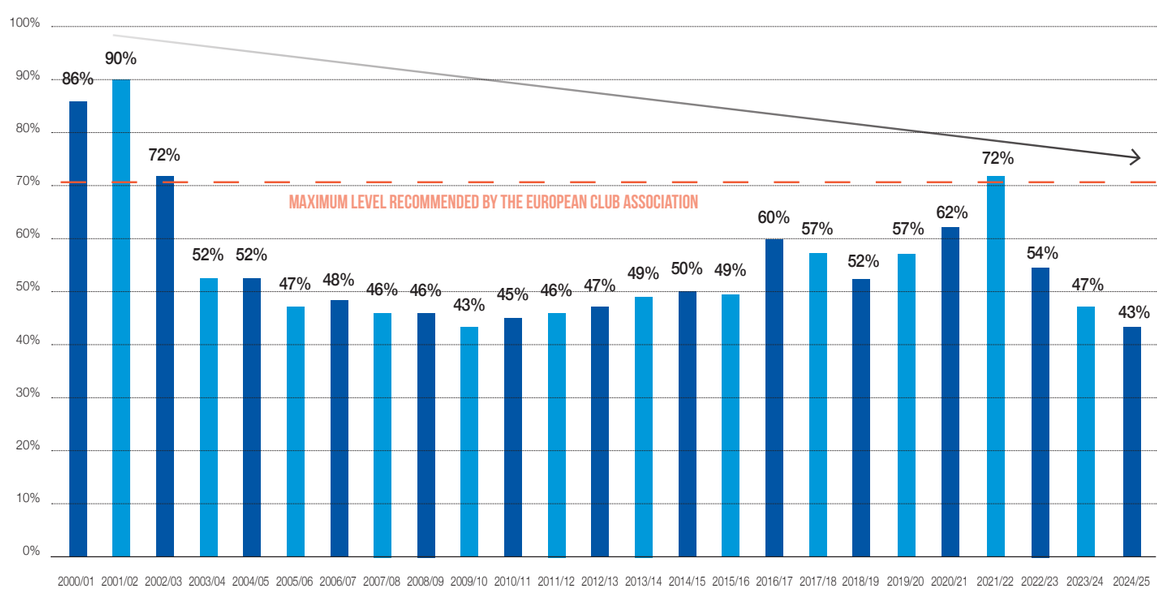
The efficiency ratio, calculated by dividing the Club's total personnel expenses by operating income (before disposal of non-current assets), is the most widely used indicator internationally to measure a football club's operational efficiency. The lower the ratio, the more efficient the Club.

In 2024/2025, the ratio was 43%; i.e., an improvement of 4 percentage points (pp) from the year before (47%) and the Club's lowest since 2000.

The efficiency ratio in 2024/2025 was comfortably below 50%, considered the threshold for excellence, and well below the 70% maximum level recommended by the European Club Association (ECA).

By increasing revenue and containing costs, the Club has been able to keep this ratio under control and below the level recommended by the European Club Association for more than 20 years now, even during those affected by COVID-19.

PERSONNEL EXPENSES/OPERATING INCOME: EFFICIENCY RATIO



OPERATING PROFIT BEFORE DEPRECIATION AND AMORTIZATION (EBITDA)

Operating profit before depreciation and amortization, or EBITDA, is the Club's earnings from operating activities after subtracting personnel and other operating expenses from the revenue obtained by the business lines, including gains or losses on player transfers and disposals of other assets.

Player transfers among football clubs is hardly an exception, but rather part of the Club's standard practice so that it can renew staff, generating proceeds than can be used to self-finance part of the cost of new additions.

EBITDA before disposals; i.e., earnings from operating activities less personnel and other operating expenses, amounted to €208 million in 2024/2025, up €65 million (or 45%) from the year before. This efficiency metric in 2024/2025 was the Club's highest ever and 150% above the average of the last 10 years. It is a testament to the efforts undertaken by the Club to enhance performance and growth of the business in all areas.

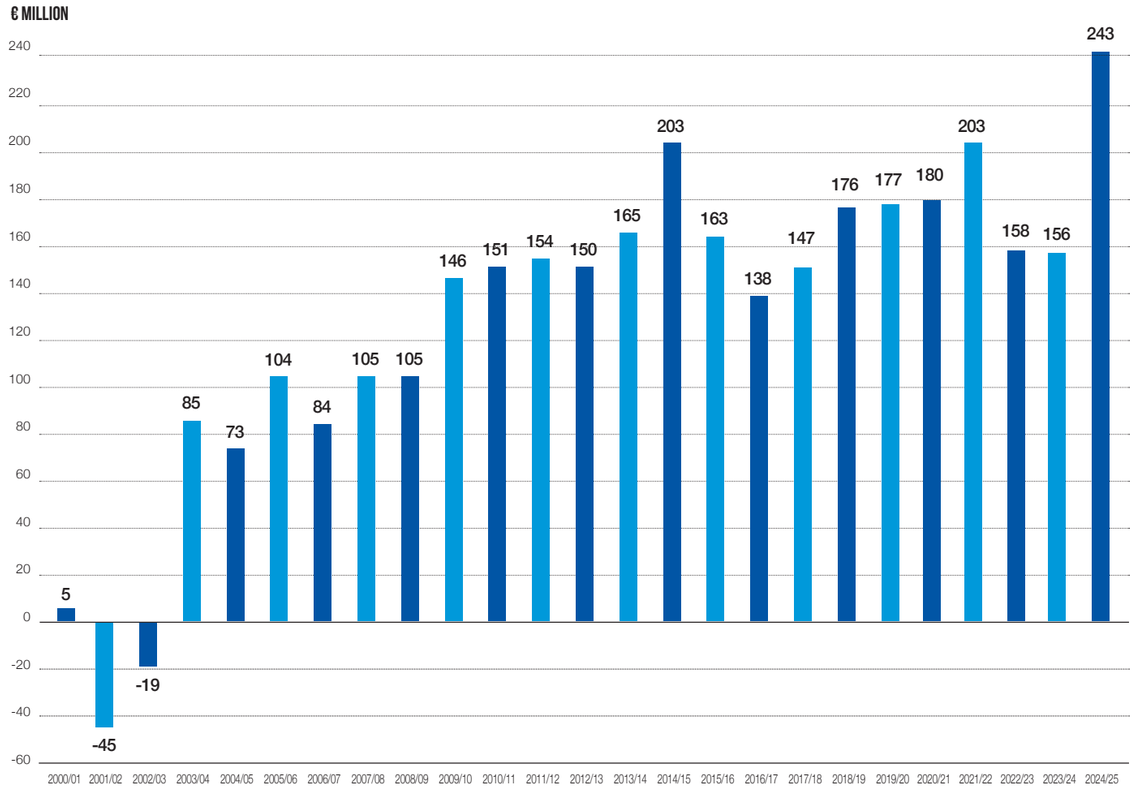
After including the gain on player disposals and disposals of other assets in FY 2024/2025 (€35 million), operating profit before depreciation and amortization (EBITDA) was €243 million, an increase of €87 million (or 55%) on the year-ago figure (€13 million, net of valuation adjustments). EBITDA for 2024/2025 (€243 million) was the Club's highest ever, above even the EBITDA of 2021/2022 (€203 million), which included the gain that year from the Sixth Street/Legends agreement (€316 million).

The average gain on player disposals from 2018/2019 to 2022/2023 net of valuation adjustments amounted to €75 million. Noteworthy were the gains on player disposals in 2019/2020 and 2020/2021 net of valuation adjustments amounting to €127 million and €122 million, respectively, enabling the Club, despite the losses caused by COVID-19, to deliver EBITDA of €177 million and €180 million, respectively, in those years. The contribution of gains on disposals of players to EBITDA was lower in both 2024/2025 (€32 million) and 2023/2024 (€13 million) than the average of the previous five years.

The Club achieved annual average EBITDA of €186 million in all six years from 2019/2020 to 2024/2025 during which it had to overcome the impact of COVID-19, not to mention limitations arising from the stadium remodeling work. This is a testament to its operational efficiency and ability to respond by taking measures to tackle difficulties as they arise.

The Club's EBITDA performance through the years is the result of a financial management that pursues profitability by combining efforts to boost revenue and rein in costs.

OPERATING PROFIT BEFORE DEPRECIATION AND AMORTIZATION (EBITDA)



INCOME STATEMENT: KEY HIGHLIGHTS

Operating income (before disposal of non-current assets) in FY 2024/2025 amounted to €1,185 million, up €111 million (or 10.4%) from FY 2023/2024, when the Club surpassed the €1 billion mark in operating income before disposal of non-current assets, something no other football club has yet to achieve.

All business lines recorded growth, except for broadcasting. This was because UEFA market pool revenue was no longer recognized as a result the new income distribution system and because the revenue received from La Liga in 2024/2025 was slightly lower than in 2023/2024. A key highlight was growth in competition, market and stadium revenue. In competitions and friendlies, revenue from the first part of the FIFA Club World Cup offset the decrease in Champions League revenue—Real Madrid won the title the year before—while there was also an increase in income from friendlies and Spain's King's Cup final. Regarding commercial activity, in 2024/2025, the Club boosted both merchandising and sponsorship activities, in the latter by signing new, major sponsorship deals. Turning to the stadium, FY 2024/2025 was the first year of operations without restrictions on availability caused by the works. It was also the first with a high level of operation of the various recurring revenue streams related to seating capacity and commercial operations. As a result, revenue rose sharply. Nevertheless, some business lines—especially catering and concert promotion—are still not at full operational capacity. Elsewhere, while marketing of "personal seat licenses" continued in FY 2024/2025, revenue from this product was lower than the year before as fewer seats were up for sale. Excluding these licenses, revenue from recurring capacity and commercial operations in FY 2024/2025 was 38% higher than the previous year.

This growth in revenue, after subtracting the increase in operating expenses related to this revenue and from operating activities, left operating profit before depreciation and amortization and disposals of non-current assets (EBITDA before disposals) of €208 million, up €65 million (or 45%) from the year before. This gave an EBITDA before disposals/revenue ratio of 18%, 4.3pp higher than the year before (13%) and illustrating the improvement in revenue and operational efficiency.

After including the gain on player disposals and disposals of other assets in FY 2024/2025 (€35 million), operating profit before depreciation and amortization (EBITDA) was €243 million, an increase of €87 million (or 55%) on the year before (€156 million of EBITDA and €13 million gain on disposals).

Net profit is calculated as EBITDA after depreciation and amortization, net finance income/(expense) and income tax.

Depreciation and amortization expenses were €33 million higher in FY 2024/2025 than the year before due to the depreciation charge for facilities as depreciation began on the investment in the stadium remodeling project on July 1, 2024, resulting in a charge for the year of €35 million.

Net finance expenses increased by €42 million in 2024/2025. This was primarily due to borrowing costs from the stadium financing, which were no longer capitalized from July 1, 2024, resulting in an expense for the year of €37 million. Moreover, finance income was €5 million lower in the year, due to the smaller balances available because of payments for works and the non-recurring income obtained the year before.

In 2024/2025, income tax expense amounted to €7 million (2023/2024: €4 million) after applying a nominal tax rate of 25% to accounting profit before tax adjusted for impacts of changes in tax legislation and recognizing the applicable tax credits.

After D&A, finance costs and income tax, the Club reported profit after tax for FY 2024/2025 of €24 million, up €9 million (or 56%) from the year before.

This positive performance extends the trend of the Club consistently ending every financial year since 2000 in the black, especially in the 5-year period from 2019/2020 to 2023/2024 affected by COVID-19 and, in the Club's specific case, the stadium remodeling works carried out during those years. All this was achieved by implementing measures to rein in costs and improve the business all around.

Notably in 2024/2025, the Club's operational efficiency improved, as illustrated by the level of EBITDA before disposals (€208 million) and EBITDA (€243 million), both record highs for the Club.

The Club has now been profit-making in the last 25 years, enabling it to build up equity of €598 million as at June 30, 2025.

INCOME STATEMENT: KEY HIGHLIGHTS

€ MILLION	2023/2024	2024/2025
OPERATING INCOME	**1,073**	**1,185**
Annual growth		**10%**
OPERATING PROFIT before depreciation and amortizacion and disposal of non-current assets (**EBITDA** before disposal of non-current assets)	**144**	**208**
% of revenue	**13%**	**18%**
OPERATING PROFIT before depreciation and amortizacion **(EBITDA)**	**156**	**243**
PROFIT AFTER TAX	**16**	**24**

TAX BALANCE: CONTRIBUTION BY REAL MADRID TO TAX REVENUE AND SOCIAL SECURITY

Real Madrid contributed €356.2 million directly to state and local taxes, and social security in 2024/2025. The breakdown by item is as follows:

- €251.8 million paid in state and local income tax, and social security, representing a cost of 21% of the Club's operating income (before disposal of non-current assets); i.e., for every €100 of income, Real Madrid allocates €21 to tax and social security payments.
- €104.4 million in VAT paid to the taxation authorities (difference between output VAT charged to customers and input VAT paid to suppliers), arising from Real Madrid's economic activity.

Real Madrid was current on the payment of all its tax obligations as at June 30, 2025, as it always has been.

TAX BALANCE

AMOUNTS PAID DURING THE 2024/2025 FISCAL YEAR	€ THOUSAND
Personnel income tax withholding and non-resident income tax (deductions from staff remuneration and image rights)	221,841
INCOME TAX	5,909
Property and other local taxes	5,321
SOCIAL SECURITY CONTRIBUTIONS (company)	15,534
SOCIAL SECURITY CONTRIBUTIONS (employee)	3,196
TOTAL COST OF TAXES AND SOCIAL SECURITY	**251,800**
% OF OPERATING INCOME (BEFORE DISPOSAL OF NON CURRENT ASSETS)	**21%**
NET VAT PAID	104,401
TOTAL CONTRIBUTION BY REAL MADRID TO TAX REVENUE AND SOCIAL SECURITY	**356,201**

INVESTMENTS (EXCLUDING THE STADIUM REMODELING PROJECT)

Excluding the stadium remodeling project, the Club invested €194 million in FY 2024/2025, of which €13 million went to upgrade and develop facilities and the IT platform; €6 million to repurchase rights/financing; €7 million to construction of the parking lot on Paseo de la Castellana, and €168 million to sports personnel, which included the cost of new acquisitions (players and technical team added in June 2025 for the FIFA Club World Cup) and the renewal of players, as well as the accrual of contingent costs arising from acquisitions made in prior periods.

Part of the investment in players was self-financed with proceeds from transfers, which amounted to €34 million. Net investment in sports personnel (acquisitions - transfers) was €134 million in FY 2024/2025, compared to €211 million the year before. Average annual net investment in the 2000-2025 period was €76 million.

In addition to investing in players, the Club allocated a significant amount to building and upgrading its facilities and for technological development. In the 2000-2025 period, Real Madrid invested:

€287 million on the stadium, modernizing the facilities and enhancing their quality and functionality for spectators, as well as providing the facilities with the resources and services to broaden the stadium's commercial offering and develop the Club's IT platform. All this investment has generated a considerable annual financial return. The amount does not include the stadium remodeling project, which is disclosed separately in another section of this report.

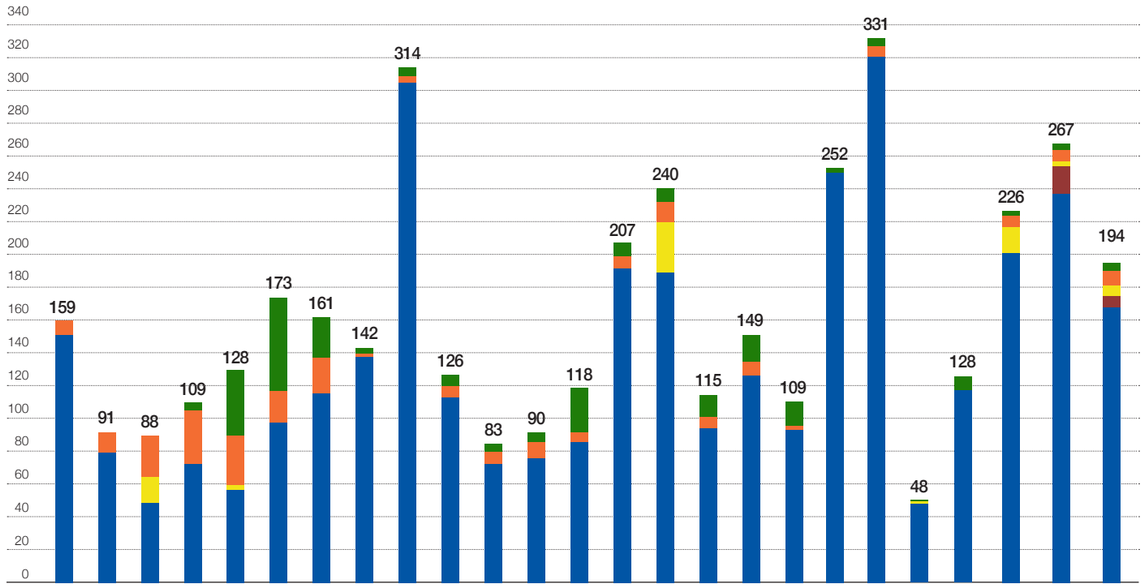
€250 million on the construction of Real Madrid City, considered the largest sports complex ever built by a football club, with a total surface area of 120 hectares, 10 times bigger than the former complex. Ideally located in one of the fastest growing areas of Madrid and with excellent public transportation, Real Madrid City is a strategic enclave and a first-rate sports and entertainment center. Noteworthy in recent years is the marked improvement made to the installations, with the construction of the first-team and youth team residences—a Club goal for many years—and a basketball training arena, three new training fields, and refurbishments and upgrades to the women's football facilities. In 2018, construction was completed on the new office building where the Club's various operating departments work, paying the way for a greater integration and freeing up space for use in the stadium.

€23 million for construction of the parking lot on Paseo de la Castellana, which began the year before in performance of the concession arrangement awarded by the Madrid Town Council to build and operate two parking lots, one on Paseo de la Castellana-Bernabéu and one on Padre Damián. Work continued on the Paseo de la Castellana parking lot in 2024/2025, but is currently suspended due to a court ruling. Construction of the Padre Damián parking lot has yet to begin.

Overall, these investments have helped drive Real Madrid's economic growth, social development and sports successes.

INVESTMENTS
(EXCLUDING THE STADIUM REMODELING PROJECT)

€ MILLION



DISPOSALS: INCOME FROM PLAYER TRANSFERS, €M

2000/01	2001/02	2002/03	2003/04	2004/05	2005/06	2006/07	2007/08	2008/09	2009/10	2010/11	2011/12	2012/13	2013/14	2014/15	2015/16	2016/17	2017/18	2018/19	2019/20	2020/21	2021/22	2022/23	2023/24	2024/25
67	11	6	40	24	43	36	33	56	102	20	14	41	102	114	28	54	108	124	139	121	67	100	28	34

Players · Stadium · Repurchase of Rights · Real Madrid Sport City · Santiago Bernabeu parking

SANTIAGO BERNABÉU STADIUM REMODELING PROJECT

On May 8, 2019, the Board of Directors awarded the remodeling contract to FCC Construcción, with a term of 39 months. However, the term was extended for expansion of the works to be carried out, as well as other circumstances.

The remodeling work has been carried out without affecting the matches scheduled or the stadium's normal activities.

The new stadium presents an immersive and avant-garde image thanks to a skin of steel bands and variable lines that will allow it to illuminate and project images. The project includes a fixed and retractable roof over the playing field protecting all seats.

The demolition of the shopping center and construction of two new towers on Paseo de la Castellana make the stadium safer and make access and evacuation easier. Spectator traffic will be safer and smoother, with new ramps, escalators, elevators and more entrance doors. This reform includes removal of architectural barriers to make room for nearly 1,000 new seats for people with various abilities.

Work is also being carried out to enhance the entire urban surrounding, with a large square on the Castellana of more than 20,000 square meters and another on the corner of Padre Damián of 5,500 square meters. Calle Rafael Salgado Street has been turned into a pedestrian street and the entire surroundings will be improved with a project covering over 66,000 square meters.

All the spaces and galleries inside the stadium have been transformed so spectators can enjoy a new entertainment and service offering. The museum near the La Castellana is much bigger and been converted into a new interactive museum equipped with the latest virtual reality technologies. The experience of the Bernabéu Tour will be extended with the creation of a panoramic tour around the entire stadium and a new entertainment and food service offering, making it one of the main attractions for tourists visiting Madrid. It is a new stadium, with new, cutting-edge stores and a broader offering and type of restaurants and gastronomic experiences.

Technology is pioneering and an essential feature of this major reform, with a spectacular video scoreboard that has become one of the most emblematic features of the new Santiago Bernabéu Stadium. It is a large digital stadium that turns into a large technological platform for interacting with fans, leading a real digital transformation.

The original project was subsequently expanded to include a large underground greenhouse, which was not included originally because of its complexity, but a technological solution was subsequently found. This greenhouse allows for the automatic removal of the pitch and its preservation in optimal conditions and in perfect shape to be used when a football match is to be held. In this way, the number of events that can be held without impacting the grass will be maximized.

The new Santiago Bernabéu Stadium is one of Real Madrid's biggest projects for the future, aiming to become a benchmark for the 21st century and an avant-garde and universal icon, and marks a major upgrade for the Club, not to mention its surroundings. It will be a modern, cutting-edge stadium, with maximum comfort and safety, using latest generation technology making it a venue where fans can feel one-of-a-kind sensations.

The remodeling will also provide a new and important source of revenue for the Club. Forecasts point to a sharp increase in revenue generation by the stadium on both match days and from the stadium's daily commercial operation. Higher net cash inflows will allow the Club to pay off the remodeling investment, while it continues to grow and remain competitive in an increasingly tough international football environment.

To fund the remodeling project, on April 12, 2019, the Real Madrid Board of Directors, under authorization by the Extraordinary General Assembly of Delegated Members held on September 23, 2018, arranged financing of €575 million for a term of 30 years and a fixed rate of 2.5%. The financing was structured through a loan with three drawdowns, one each in July 2019, July 2020 and July 2021, in line with scheduled payments for the works. The facility also includes a three-year grace period for repayment of principal. Therefore, Real Madrid will pay a fixed annual amount for these €575 million of approximately €29.5 million as from July 30, 2023, until maturity on July 30, 2049.

Subsequently, pursuant to the authorization received from the Extraordinary General Assembly of Delegated Members held on November 20, 2021, Real Madrid signed an extension of the financing of the works not originally included in the remodeling project on December 7, 2021, via the extension of the €225 million loan facility to 27 years, carrying a fixed interest rate of 1.53%. The amount was drawn down on May 31, 2022. The facility also includes a grace period for repayment of principal, whereby Real Madrid will not begin to repay the financing until July 30, 2024. Therefore, for these €225 million, Real Madrid will pay a fixed annual amount of approximately €10.5 million as from July 30, 2024, until maturity on July 30, 2049.

In addition, pursuant to the authorization received from the Extraordinary General Assembly of Delegated Members held on November 9, 2023, on November 15, 2023, Real Madrid signed an extension of the financing of the works, for a loan amount of €370 million and repayment over a 30-year period, with a 3-year grace period on repayment of principal. Real Madrid will not begin repaying the loan until November 15, 2027. From then, for this €370 million Real Madrid will pay a fixed annual amount of €26 million until maturity on November 15, 2053.

As a result, loans taken out to finance the stadium's remodeling total €1,170 million, with final maturity in November 2053 and carrying an average fixed interest rate of 3.2%. As at June 30, 2025, the loans had been drawn down in full.

Real Madrid closed these deals without having to provide any mortgage guarantees (only pledges on certain stadium revenue) or accepting any restrictions on the Group's management or debt (only compliance with a certain coverage ratio between the pledged stadium revenue and debt service, which it met), so it can carry out its normal activity with no impact from payment of the works.

SANTIAGO BERNABÉU STADIUM REMODELING PROJECT

€ MILLION	AT 06/30/2024	2024/2025
Investments	1,163	184
Cumulative		1,347
CASH AT JUNE 30	**126**	**10**
NET DEBT AT JUNE 30	**1,163**	**1,312**

As for the execution of works, in 2023/2024 work was gradually completed on the project's various structural components (e.g., facade, roof, retractable lawn) and significant progress was made on works related to development of businesses (e.g., VIP area, tour, experience, events, catering, store), which were the primary reason behind the remodeling project to begin with. Investment to June 30, 2024, amounted to €1,163 million. Over the course of 2024/2025, works continued, especially for development of businesses to complete the project in its entirety. Cumulative investment to June 30, 2025, amounted to €1,347 million, near the final total amount of the investment.

Based on these data, the main part of the works had been completed by the end of FY 2023/2024. Therefore, from the start of FY 2024/2025, investments in property, plant and equipment under construction that are now in full use have been reclassified to property, plant and equipment. Consequently, the related depreciation began and borrowing costs related to the project's financing were no longer capitalized as an increase in investments.

Regarding the loan facility, by November 2023 the entire €1,170 million of this facility had been drawn down. Moreover, after paying only interest in 2020/2021, 2021/2022 and 2022/2023, repayment of loan principal began in 2023/2024, with payment of €15 of loan principle, and continued in 2024/2025, with payment of another €23 million, leaving an outstanding balance on this loan as at June 30, 2025, of €1,132 million.

Net debt arising from the stadium remodeling project at June 30, 2025, amounted to €1,312 million. This is the net balance between payables of €1,322 million (€1,132 million loan, €28 million interest, €112 million outstanding invoices payable and €50 million Club-Stadium adjustment) and the cash available from the loan of €10 million.

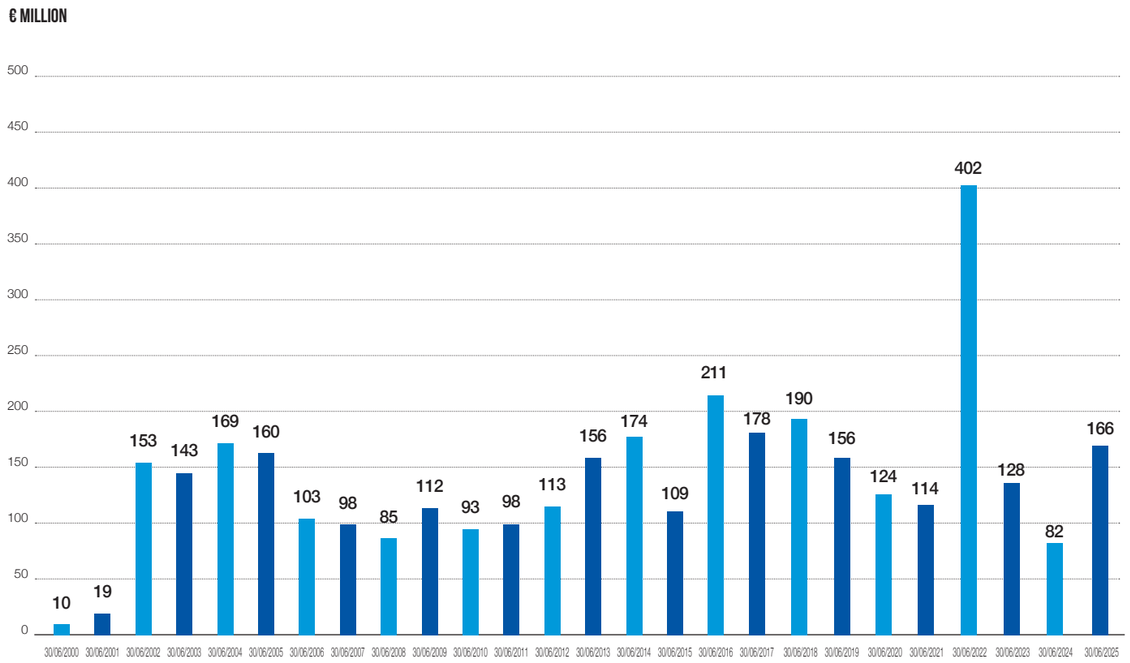
CASH AND CASH EQUIVALENTS (EXCLUDING PROCEEDS FROM THE LOAN FOR THE STADIUM REMODELING PROJECT)

The cash balance as at June 30, 2025, excluding cash from the stadium remodeling project loan, stood at €166 million, compared to €82 million as at June 30, 2024.

Cash flows from the Club's operating and financing activities in the year increased the cash balance by €84 million after all payments for operations and acquisitions of players and other investments, and to service the debt of the ICO loans (€40 million) and the loan for the stadium remodeling (€60 million).

In addition to the cash balance of €166 million, as at June 30, 2025, the Club also had €425 million of undrawn credit facilities. These undrawn facilities leave plenty of room to meet scheduled payment obligations.

CASH AND CASH EQUIVALENTS
(EXCLUDING PROCEEDS FROM THE LOAN FOR THE STADIUM REMODELING PROJECT)



WORKING CAPITAL (EXCLUDING THE STADIUM REMODELING PROJECT)

Working capital (i.e., the difference between current assets and current liabilities) as at June 30, 2025, excluding the stadium remodeling project, was a negative €157 million, broken down into operating working capital (€-219 million), financial working capital (€96 million) and other working capital (available-for-sale assets, provisions and taxes amounting to €-34 million).

The Club's working capital, barring certain moments of especially high cash, is inherently negative as the nature of its operations leads to operating working capital with large creditor balances (between €-110 million and €-290 million for player registrations, net trade payables and upfront collection of membership fees and season tickets).

Despite this structural feature, the Club goes to great lengths to contain and reduce its negative working capital balance. This is further illustrated by the trend of the working capital/revenue ratio, given the relationship between the volume of operations and the size of working capital. As at June 30, 2010, working capital was negative in an amount of €182 million, representing 41% of operating income before disposals. As at June 30, 2025, it was negative in an amount of €157 million, representing 13% (28 percentage points lower). Put another way, the value of working capital as at June 30, 2025, was not only slightly lower in absolute terms, but more importantly it was considerably lower in relative terms in relation to revenue, which is the main indicator of the Club's transaction volume.

This negative operating working capital is recurring; i.e., rolled over each year due to the intrinsic nature of operations, as reflected in the trend in balances; figures are broadly similar from year to year, with occasional variations due to operating trends each season (e.g., sport achievement prizes).

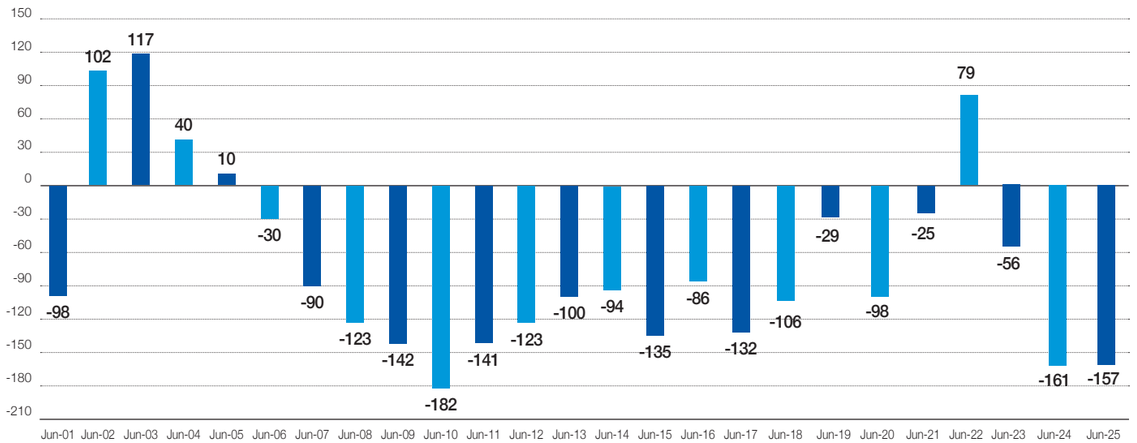
These balances are rolled over and, therefore, present similar amounts at each year-end, so they do not represent debt, or a liquidity or business continuity problem.

Due to the large volume of transactions carried out by the Club at present, the only way to offset recurring negative working capital would be to have a large positive financial working capital through an extremely large balance of cash equivalents.

Temporary situations with a large amount of cash relative to the size of the Club's balance sheet can arise from time to time but are not normal and not compatible with the objectives or not-for-profit status of the Club, which invests funds obtained in the development of its sports and its facilities.

WORKING CAPITAL

€ MILLION



CASH + SHORT TERM INVESTMENTS (€ MILLION)

Jun-01	Jun-02	Jun-03	Jun-04	Jun-05	Jun-06	Jun-07	Jun-08	Jun-09	Jun-10	Jun-11	Jun-12	Jun-13	Jun-14	Jun-15	Jun-16	Jun-17	Jun-18	Jun-19	Jun-20	Jun-21	Jun-22	Jun-23	Jun-24	Jun-25
19	153	143	169	160	103	98	85	112	93	98	154	156	174	109	211	178	190	156	124	114	402	128	82	166

WORKING CAPITAL

€ MILLION	6/30/09	6/30/10	6/30/11	6/30/12	6/30/13	6/30/14	6/30/15	6/30/16	6/30/17	6/30/18	6/30/19	6/30/20	6/30/21	6/30/22	6/30/23	6/30/24	6/30/25
OPERATING WORKING CAPITAL																	
Trade receivables + Inventories	32	58	71	66	54	46	57	67	108	103	90	163	103	148	251	343	313
Receivables from public administrations	4	1	1	1	1	1	7	0	0	0	0	0	0	0	0	0	0
Trade payables	-47	-74	-67	-75	-73	-63	-64	-66	-63	-63	-58	-35	-38	-62	-97	-143	-176
Payables to public administrations	-7	-11	-15	-13	-15	-15	-22	-15	-27	-23	-26	-15	-23	-36	-24	-43	-31
Salaries and wages payable (50% player registration, bonuses)	-50	-56	-71	-93	-82	-114	-104	-144	-197	-208	-149	-139	-135	-216	-175	-220	-223
Accruals	-48	-66	-69	-67	-60	-58	-62	-64	-85	-96	-124	-80	-57	-79	-98	-113	-102
Subtotal	**-116**	**-149**	**-151**	**-181**	**-176**	**-202**	**-189**	**-222**	**-265**	**-287**	**-267**	**-106**	**-150**	**-243**	**-143**	**-176**	**-219**
Financial Working Capital																	
Cash	112	93	98	113	156	174	109	211	178	190	156	124	114	402	128	82	166
Current investments	0	0	0	41	0	0	0	0	0	0	0	0	0	0	0	0	0
Player transfer receivables	13	34	28	21	24	36	58	53	20	52	79	44	83	35	59	48	49
Bank borrowings	-24	-48	-7	-43	-26	-16	0	0	0	-10	0	-52	-2	-38	-39	-39	-66
Club-Stadium adjustment											31	1	8	24	59	62	50
Player transfer and other investments payable	-146	-115	-92	-74	-76	-91	-111	-131	-70	-55	-108	-128	-79	-33	-91	-85	-102
Subtotal	**-45**	**-37**	**27**	**59**	**77**	**103**	**56**	**133**	**128**	**177**	**157**	**-10**	**124**	**390**	**116**	**68**	**96**
Other																	
Available-for-sale financial assets	29	0	0	0	0	0	0	0	0	0	79	7	0	22	11	0	0
Provisions	-10	-1	-1	-1	-2	-2	-3	-1	-2	-2	-2	-2	-1	-71	-53	-58	-37
Taxes	1	4	-17	0	1	7	1	5	7	6	4	13	2	-19	12	5	3
Subtotal	**20**	**4**	**-18**	**-1**	**-1**	**5**	**-2**	**4**	**5**	**4**	**81**	**18**	**1**	**-67**	**-30**	**-54**	**-34**
TOTAL WORKING CAPITAL	**-142**	**-182**	**-141**	**-123**	**-100**	**-94**	**-135**	**-86**	**-132**	**-106**	**-29**	**-98**	**-25**	**79**	**-56**	**-161**	**-157**

LIABILITIES AND GROSS DEBT (EXCLUDING THE STADIUM REMODELING PROJECT)

The Club had total liabilities at June 30, 2025, excluding the stadium remodeling project, of €969 million (June 30, 2024: €883 million). This, in addition to €598 million of equity (June 30, 2024: €574 million) and the liabilities related to the remodeling project of €1,271 million (June 30, 2024: €1,227 million), of which €1,132 million is long-term finance (June 30 2024: €1,155 million) and €140 million short- and long-term invoices and interests payable (June 30, 2024: €72 million), gives a total balance sheet value of €2,839 million (June 30, 2024: €2,684 million).

Liabilities comprise gross debt, trade payables (€399 million as at June 30, 2025, and €362 million as at June 30, 2024) and other liabilities, composed of provisions, accruals, and taxes (€282 million as at June 30, 2025, and €285 million as at June 30, 2024).

The Club's gross debt at June 30, 2025 excluding the stadium remodeling project, in accordance with Spanish GAAP, stood at €288 million, of which €142 million corresponded to bank borrowings and €147 million to debt relating to investments in players and facilities (June 30, 2024: €236 million, of which €77 million of bank borrowings and €159 million of investments).

The Club's gross debt increased by €52 million in 2024/2025:

- Bank borrowings increased by €64 million after further repayments of ICO-backed bank loans with final maturity in 2026. These ICO loans were taken out for €155 million in 2019/2020 to make up for the impact on cash flow of lost income caused by COVID-19.
- Debt from investments decreased by €12 million as payments made exceeded the addition of new outstanding amounts payable on new acquisitions during the year, all despite bringing forward acquisitions during the year to June because of the FIFA Club World Cup tournament.

REAL MADRID LIABILITIES AT JUNE 30, 2024

€ MILLION	CURRENT	NON-CURRENT	TOTAL
Borrowings	**124**	**112**	**236**
Trade and other payables	362		362
Financial liabilities	**487**	**112**	**599**
Provisions	58	33	92
Deferred taxes		28	28
Current tax	0		0
Public Administrations	43		43
Accruals	114	8	122
Total other liabilities	**216**	**69**	**285**
TOTAL LIABILITIES	**702**	**181**	**883**

REAL MADRID LIABILITIES AT JUNE 30, 2025

€ MILLION	CURRENT	NON-CURRENT	TOTAL
Borrowings	**168**	**120**	**288**
Trade and other payables	399		399
Financial liabilities	**568**	**120**	**688**
Provisions	37	27	64
Deferred taxes		16	16
Current tax	0		0
Public Administrations	31		31
Accruals	104	67	171
Total other liabilities	**172**	**110**	**282**
TOTAL LIABILITIES	**739**	**230**	**969**

NET DEBT (EXCLUDING THE STADIUM REMODELING PROJECT)

Gross debt was discussed in the previous section.

However, the Club's key metric is its net debt; it does not make sense to discuss what one owes without factoring in what one owns.

Net debt is gross debt minus cash and cash equivalents, of €166 million at June 30, 2025 (June 30, 2024: €82 million) and receivables from other clubs from player transfers (in keeping with a core principle of consistency, since gross debt includes amounts paid to other clubs for player acquisitions and as player acquisitions/sales are mirror sides of the business), of €62 million at June 30, 2025 (June 30, 2024: €85 million), recognized in "Financial assets" in the balance sheet.

The Club includes as debt the balance of advances on income accruing in the future, which stood at €1 million at June 30, 2025 (June 30, 2024: €1 million). Also included is the adjustment of Club-Stadium cash and cash equivalents, with a balance in favor of the Club at June 30, 2025 of €50 million (June 30, 2024: €62 million).

This left the Club's net debt as at June 30, 2025, at €12 million (June 30, 2024: €8 million), excluding the stadium remodeling project.

Net debt represents the external resources which, coupled with own funds, are used to fund the capital invested by the Club to carry out its activity.

NET DEBT AT JUNE 30, 2024

€ MILLION	CURRENT	NON-CURRENT	TOTAL
Payables for player transfers, works and repurchase of rights	85	74	159
Player transfer receivables	-48	-37	-85
Net investments/transfers	**36**	**38**	**74**
Bank borrowings	39	38	77
Cash	-82	0	-82
Cash advance	0	1	1
Club-Stadium adjustment	-62	0	-62
Subtotal other net debt	**-104**	**39**	**-65**
TOTAL NET DEBT	**-68**	**76**	**8**

NET DEBT AT JUNE 30, 2025

€ MILLION	CURRENT	NON-CURRENT	TOTAL
Payables for player transfers, works and repurchase of rights	102	45	147
Player transfer receivables	-49	-14	-62
Net investments/transfers	**54**	**32**	**85**
Bank borrowings	66	75	141
Cash	-166	0	-166
Cash advance	0	1	1
Club-Stadium adjustment	-50	0	-50
Subtotal other net debt	**-150**	**76**	**-74**
TOTAL NET DEBT	**-96**	**108**	**12**

MANAGEMENT BALANCE

€ MILLION	06/30/2024	06/30/2025
Players, facilities and other property	834	936
Provisions and other	-76	-107
Net operating working capital	-176	-219
TOTAL NET CAPITAL INVESTED	**583**	**610**
NET EQUITY	574	598
NET DEBT	8	12
TOTAL FUNDING SOURCES	**583**	**610**

NET DEBT (EXCLUDING THE STADIUM REMODELING PROJECT)

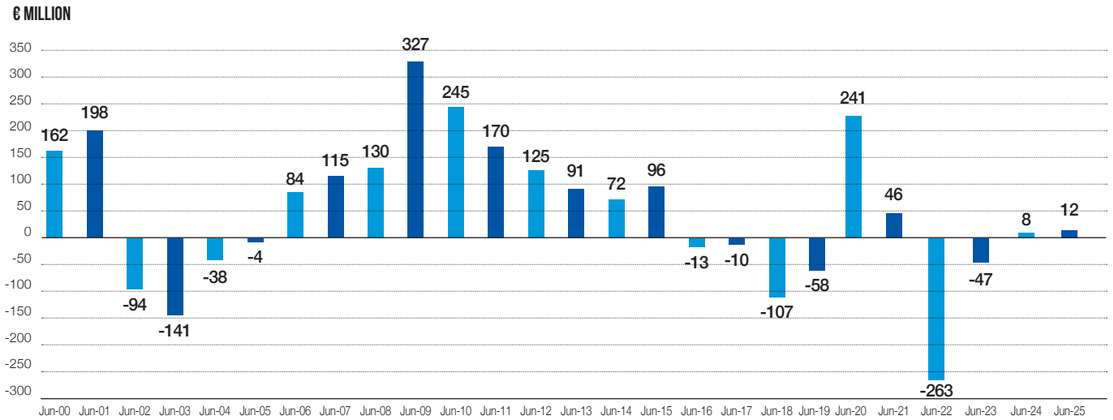
The Club's net debt excluding the stadium remodeling project at June 30, 2025, amounted to €12 million, largely in line with the level at June 30, 2024 (€8 million).

Net debt in 2024/2025 remained relatively unchanged, with cash inflows offset by the investment effort made. This effort amounted to €194 million, including investment on facilities (excluding the remodeling project) and players, which was brought forward to June and, accordingly, to FY 2024/2025, and acquisition of sports personnel for the FIFA 2025 FIFA Club World Cup.

Looking at long-run trends in net debt, since June 2009 the Club has made considerable efforts in paying down debt, even more so since the outbreak of the COVID-19 pandemic in 2020, which left the Club with net debt at €241 million. Comparing this with the current level of €12 million illustrates that the Club was able to offset nearly €400 million of lost revenue caused by the pandemic, which also decreased cash and increased debt, by implementing cost-saving and other business improvement measures.

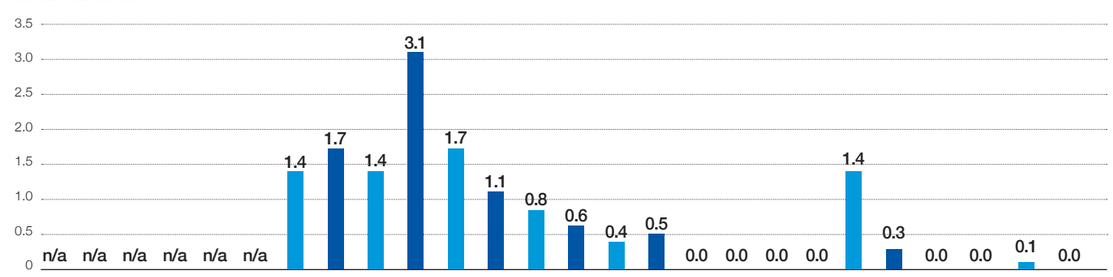
Comparing debt with the Club's payment capacity represented by ordinary cash flow (measured using EBITDA: €243 million), yields a debt/EBITDA ratio—one of the most commonly used solvency indicators—at June 30, 2025, of 0.0, which is commensurate with a maximum credit rating for financial institutions.

NET DEBT
(EXCLUDING THE STADIUM REMODELING PROJECT)
€ MILLION



Net debt: Bank borrowings + Payables/Receivables on acquisition/transfer of assets – Cash.
A negative sign means a net liquidity position. Debt also includes the balance of non-current advances.

NET DEBT/EBITDA RATIO



EBITDA : Operating profit before depreciation and amortization. As of 2008/09, with new Spanish GAAP, it includes gains/(losses) on disposals and impairment of non-current assets.

EQUITY

Equity represents the Club's own funds; i.e., the funds which, with borrowings, finance the Club's needs to carry out its activities.

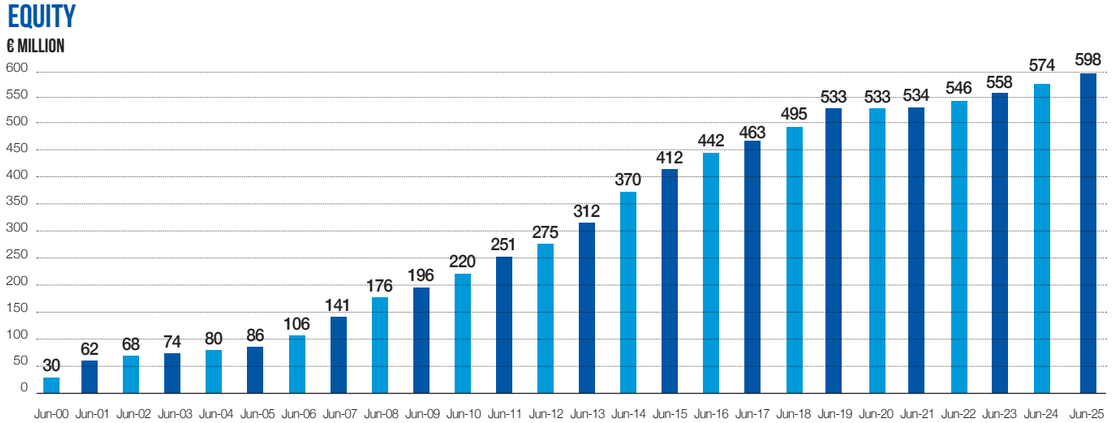
Equity is the accounting measure of enterprise value. For an entity like Real Madrid, which does not distribute dividends, the annual change in equity relates to annual profit after tax (and any balance sheet revaluation).

Through the profits it obtains, the Club has increased equity each year, to €598 million at June 30, 2025. The Club managed to stay profit-making in the five financial years affected by the pandemic and/or the stadium remodeling—2019/2020 to 2023/2024—despite the lost revenue. This, coupled with the profit obtained in 2024/2025, has enabled the Club to increase its equity by €66 million relative to the level at June 30, 2019; i.e., before the pandemic and the start of remodeling work.

The greater the amount of equity relative to debt, the higher the Club's value, solvency and financial autonomy, as capital invested is financed more by equity than debt. The debt/equity ratio is used as an indicator of solvency and financial autonomy: the lower this ratio, the higher the Club's solvency and financial autonomy.

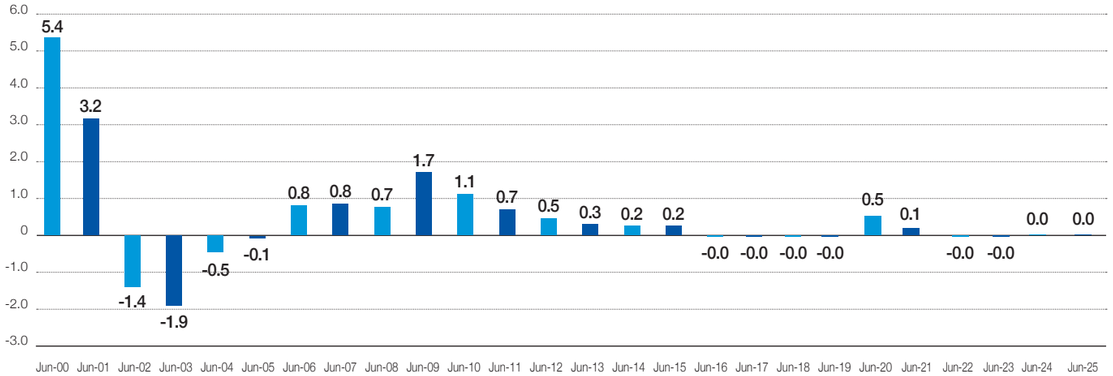
The debt/equity ratio at June 30, 2025, excluding the stadium remodeling project, was 0.0, which indicates maximum solvency and financial autonomy.

EQUITY
€ MILLION



NET DEBT/EQUITY RATIO

Net debt: Bank borrowings + Payables/Receivables on acquisition/transfer of assets – Cash.
A negative sign means a net liquidity position. Debt also includes the balance of non-current advances.



BALANCE SHEET

ASSETS

€ THOUSAND	06/30/2025	06/30/2024
Sports intangible assets	499,459	449,059
Other intangible assets	66,726	45,842
Property, plant and equipment	1,557,294	1,425,334
Investment properties	13,880	11,147
Non-current player transfers receivable	13,584	36,875
Deferred tax assets	35,748	45,678
Other financial assets	110,021	64,937
TOTAL NON-CURRENT ASSETS	**2,296,712**	**2,078,872**
Assets held for sale	0	0
Inventories	20,507	18,141
Current player transfers receivable	48,540	48,366
Trade receivables	292,153	324,705
Current tax assets	3,144	4,792
Cash and cash equivalents	175,827	208,265
Accruals	2,051	1,323
TOTAL CURRENT ASSETS	**542,222**	**605,592**
TOTAL ASSETS	**2,838,934**	**2,684,464**

EQUITY AND LIABILITIES

€ THOUSAND	06/30/2025	06/30/2024
Social fund and reserves	570,122	554,510
Profit (loss) for the year	24,322	15,627
CAPITAL AND RESERVES	**594,444**	**570,137**
Socios externos	398	401
Grants received	3,411	3,555
EQUITY	**598,253**	**574,093**
Provisions for liabilities and charges	26,960	33,239
Bank borrowings	74,904	37,644
Non-current payables for player acquisitions	38,454	45,631
Non-current payables for stadium and Real Madrid Sport City works	1,117,356	1,163,921
Payables for Repurchase of rights/other	330	395
Other non-current payables	66,018	6,303
Deferred tax liabilities	15,760	28,204
Accruals	1,250	1,250
TOTAL NON-CURRENT LIABILITIES	**1,341,032**	**1,316,587**
Provisions for liabilities and charges	36,967	58,301
Bank borrowings	66,110	39,390
Current payables for player acquisitions	97,107	98,853
Current payables for stadium and Real Madrid City works	165,460	77,417
Current payables for repurchase of rights/others	65	66
Trade and other payables	206,989	186,029
Current tax liabilities	0	0
Wages and salaries payable	223,198	219,258
Accruals	103,752	114,199
TOTAL CURRENT LIABILITIES	**899,648**	**793,783**
TOTAL EQUITY AND LIABILITIES	**2,838,934**	**2,684,464**

Assets/liabilities at June 30, 2025, amounted to €2,839 million, an increase of €155 million from the year before.

Highlights on the assets side: The carrying amount of sports intangible assets increased by €50 million due to the net result of investment made in the year less amortization, disposals, impairment and transfers to available-for-sale assets. The value of other intangible assets increased by €21 million due to the IT investments the stadium project, the investment in parking lots recognized under this item as they arose from a concession arrangement, and the development of an IT platform to provide service to both members and fans. The value of property, plant and equipment increased by €132 million due to the net result of investment made in the year (primarily in the stadium remodeling project) less depreciation. The balance of investment properties increased by €3 million for the revaluation of land. The value of other financial assets increased by €45 million due to the net impact of the increase sports personnel contract bonuses and financial investments and the decreases in the balance of non-current trade receivables. Current and non-current receivables for player transfers decreased by €23 million following receipt of an amount of the outstanding balance of transfers from prior years that was higher than the outstanding amounts added for transfers during the current year, since revenue from transfers was similar. Despite the pickup in activity, the balance of trade receivables decreased by €32 million, primarily from the collection during the current year of revenue from the sale of VIP licenses made at the end of the previous year, as well as of other receivables from business partners and public authorities. Inventories increased by €2 million on the back of increased merchandising activity. The balance of current tax assets decreased by €2 million as the income tax refund for 2024/2025 in favor of the Club (as prepayments exceed the amount payable according to the settlement at the end of the financial year), which will be received as of January 2026 when the return is filed, is lower than the refund received in 2023/2024. The balance of cash and cash equivalents totaled €176 million, of which: €10 million related to cash from the stadium remodeling project loan facility, €116 less than the year before due to repayments made during the year on amounts drawn down the year before, and €166 million related to the Club's cash excluding the remodeling project; i.e. €84 million more than the year before for the reasons already explained in other notes in this report.

Highlights on the liabilities side: Bank borrowings increased by €64 million after further repayments of ICO-backed bank loans with final maturity in 2026. Outstanding payables on investments (long- and short-term) were €33 million higher. Of the total, an increase of €44 million was due to the stadium remodeling project (the balance of the loan decreased by €23 million following repayments in the year, while outstanding invoices payable increased by €68 million). Conversely, payables for player acquisitions and other investments decreased by €12 million as payments made outstripped the amounts outstanding on payments for new acquisitions during the year. The balance of non-current and current provisions for liabilities decreased by €28 million as the amount of provisions recognized in the year was lower than the amount of provisions derecognized the year before as either the related contingency arose or the provisions was no longer considered to be necessary. There was an increase of €60 million in other non-current payables related to long-term payment obligations with sports personnel. Trade payables rose by €21 million, mostly due to payments owed on business arrangements. Current tax liabilities (income tax payable) amounted to €0 since there was no balance for this item at either June 30, 2025 or June 30, 2024, but rather an amount receivable by the Club was recognized under assets. The balance of remuneration payable increased by €4 million due to the net impact of the reduction in bonuses for sports achievements from the previous year and the increase in the contractual amount payable for the second part of the player registration (payable in July) and other remuneration payable to players. The balance of non-current plus current accruals (amounts received which accrue in subsequent periods) decreased by €10 million following conclusion in the year of a business arrangement that gave rise to payable balances in this item in previous years. Equity at the end of the reporting period amounted to €598 million, up €24 million from the year before, due to the profit after tax obtained in FY 2024/2025.

OTHER MANAGEMENT INFORMATION

NATURE AND EXTENT OF RISKS ARISING FROM FINANCIAL INSTRUMENTS

Real Madrid has established a series of procedures and controls that make it possible to identify, measure, and manage the risks arising from financial instrument activity. Financial instrument activity exposes the Club to credit, market, and liquidity risk.

CREDIT RISK

Credit risk is the risk that a Club counterparty will not meet its contractual obligations, i.e., the possibility that financial assets will not be recovered at their carrying amount within the established time frame.

With regard to trade receivables, the Club has a procedure in place to measure, manage and control the risks arising from each of its loans. The procedure covers risk measurement and the initial authorization, ongoing monitoring of the exposure and subsequent controls. The Club, through its various departments, assesses and monitors these exposures on a monthly basis with a view to identifying risky situations and collection delays, taking the necessary precautions, including legal measures if warranted, to enable recovery of amounts past due as quickly as possible. In many cases, in order to guarantee collection of receivables, the Club often demands suitable collateral and guarantees. As a result of all these measures the Club's losses on uncollectible receivables are insignificant in relation to the its annual revenue.

The Club's investment policies establish that financial investments must be made in accordance with the following guidelines: They must be arranged with financial institutions domiciled in Spain and of renowned solvency and liquidity. Acceptable investment products include bank deposits, repos, commercial paper issued by highly solvent financial institutions, interest-bearing accounts and other similar financial products. Specifically, investment in speculative financial products or those in which the counterparty is not clearly and explicitly identified are expressly prohibited. Investments should be diversified to ensure that the risk is not significantly concentrated in any one institution. However, temporarily, undrawn facilities may, depending on market conditions, concentrated in certain highly solvent institutions. Investments in current financial assets must be liquid assets with a maturity of three months or less, with a repurchase commitment or a secondary market that guarantees their immediate liquidity if required. Compliance with these requirements minimizes investment risk and therefore the Club has seen no impairment on any of its financial investments since 2000, the first year for analysis of the Club's economic and financial performance considered in this management report.

MARKET RISK

Interest rate risk

Market risk entails interest rate risk caused by uncertainty over the future performance of the financial markets and interest rates, which can potentially have a negative impact on the Club's results and cash flows.

The Club's most important financing by far is the stadium project, with an outstanding balance payable at June 30, 2025, of €1,132 million. This financing is for 30 years at fixed rates, thereby eliminating any risk of a transaction that is so large and over a long period of time. Also at June 30, 2025, there was a balance of bank borrowings of €138 million falling due in the short and medium term, part of which is arranged at a fixed rate and part floating rates. This includes the financing raised in 2019/2020 to cushion the impact of COVID-19. The rest of the Club's financing sources comprise short-/medium-term credit facilities carrying floating interest rates indexed to the Euribor, of which no amounts had been drawn down as at June 30, 2025. Therefore, fluctuations in interest rates barely had any impact on the Group's income statement. Given its financing mix, the Club does not enter into any derivatives as interest rate hedges.

Inflation

Inflation peaked in July 2022 (at 10.8% yoy), before falling sharply to 2.3% yoy in June 2025. In any case, given its cost structure, the Club has seen only a moderate impact of inflation on its expenses. It does not consume any commodities; energy consumption is largely insignificant; and the portion of expenditure on external services and non-sports personnel linked to short-term inflation represents less than 20% of the Club's total expenses. Moreover, the part of the inflation-induced increase in expenses will be offset by corresponding increases in certain revenue items.

LIQUIDITY RISK

Liquidity risk is the risk that the Club will have a shortage of funds or lack access to sufficient funds at an acceptable cost to meet its payment obligations at all times. To address this risk the Club aims to maintain sufficient available funds to carry out its operating activities and make the investments it requires at any given time. As at June 30, 2025, the Club had a cash balance of €176 million (of which €10 million related to the cash inherent in the stadium remodeling project and €166 million to the rest of the Club's cash and cash equivalents) and undrawn credit facilities amounting to €425 million at a floating interest rate plus a highly competitive spread.

These funds, plus the cash flows generated regularly by the Club through its operating activities, allow it to comfortably meet all its payment commitments.

OTHER MANAGEMENT INFORMATION

AVERAGE SUPPLIER PAYMENT PERIOD

The Club's average supplier payment period in 2024/2025 was 41 days. Payments were made amounting to €425 million, of which €369 million (87% of the total) were paid within 60 days.

PERSONNEL

In FY 2024/2025, the Club had an average of 1,193 employees, of whom 564 were players and coaches (2023/2024: 1,118 and 535, respectively).

At June 30, 2025, the Club had 1,222 employees (June 30, 2024: 1,163), of whom 571 (June 30, 2024: 557) were players and coaches.

ENVIRONMENTAL DISCLOSURES

Given the nature of its activities, the Club has no environmental liabilities, expenses, assets, provisions or contingencies that could have a significant effect on its equity, financial position and financial performance.

Real Madrid, in compliance with its sustainability and energy efficiency policy, continues to study and carry out measures to reduce its consumption and ensure the responsible management of resources.

RESEARCH, DEVELOPMENT AND INNOVATION

Given the nature of the Club activities, its most relevant activities in this area are the innovative design of various sections of the stadium remodeling project, and the design and development of the technology platform and other tools to support its digital activities. Also included are sports health-related activities and the development of new IT tool.

TREASURY SHARES

As the Club is a sports association, it has no shares and therefore no treasury shares.

EVENTS AFTER THE REPORTING PERIOD

The most significant events that occurred between the end of the reporting period and the date of authorization for issue of these financial statements were as follows:

- Player transfers to other clubs were carried out amounting to approximately €10,000 thousand.

- Acquisitions of player transfer rights for approximately €50,000 thousand.

OUTLOOK

In FY 2025/26 financial year, the final works to complete the stadium remodeling will be carried out, including certain catering activities and noise-reduction measures for concerts.

Depending on the conditions approved for concerts to resume, the Club expects further growth in revenue from VIP seats, RM Experience, and other commercial operations at the stadium. A highlight for the new year will be the hosting of an NFL game.

As for international competitions, notably Real Madrid reached the semi-finals of the FIFA Club World Cup held from June 15 to July 13, 2025. Because of those dates, part of the tournament fell within FY 2024/2025 and part within FY 2025/2026. For this reason, revenue and expenses from the first part of the tournament were recognized in 2024/2025, while the revenue and expenses from the second will be recognized in 2025/2026.

As for commercial activity, the Club expects further increases in sponsorship revenue, as well as from merchandising, supported by the strong brand impact thanks to the composition of teams and sports achievements, not to mention the stadium's remodeling.

The Club expects to build on the success of its sport model, pursuing further sports successes in football and basketball, which have set the Club apart throughout its history and especially in recent years. To this end, the Club bolstered staff with new players and a new coaching team.

This performance must be supported by an economic model that aims to achieve self-sustaining growth, where, through the combination of diversified revenue and contained costs, a profitability and financial structure are achieved to provide the solvency that enables the Club to make the investments it needs to carry out its business.

CONSOLIDATED FINANCIAL STATEMENTS

For the year ended June 30, 2025.

The Financial Statements of Real Madrid Club de Fútbol and Subsidiaries is presented below.

CONSOLIDATED BALANCE SHEET AS AT JUNE 30, 2025

ASSETS

€ THOUSAND	NOTES	6/30/2025	6/30/2024
NON-CURRENT ASSETS		**2,296,712**	**2,078,872**
Sports intangible assets	4	**499,459**	**449,059**
Other non-sports intangible assets	5	**66,726**	**45,842**
Property, plant and equipment	6	**1,557,294**	**1,425,334**
Investment properties	7	**13,880**	**11,147**
Non-current financial investments	8.1	**27,793**	**62,246**
Non-current accruals	15.1	**95,812**	**39,566**
Deferred tax assets	16	**35,748**	**45,678**
CURRENT ASSETS		**542,222**	**605,592**
Non-current assets held for sale	4.2	**-**	**-**
Inventories	9	**20,507**	**18,141**
Trade and other receivables	8.2	**343,837**	**377,863**
Current accruals	15.1	**2,051**	**1,323**
Cash and cash equivalents	10	**175,827**	**208,265**
TOTAL ASSETS		**2,838,934**	**2,684,464**

EQUITY AND LIABILITIES

€ THOUSAND	NOTES	6/30/2025	6/30/2024
EQUITY		**598,253**	**574,093**
Capital and reserves	11	**594,443**	**570,137**
Reserves		512,139	498,401
Revaluation reserve RD 7/96		8,548	8,548
Revaluation reserve law 16/2012		20,277	20,277
Legal reserve		-	-
Capitalization reserve		17,361	15,802
Other reserves		1	-
Reserves in fully consolidated companies		11,795	11,482
Profit for the year		24,322	15,627
Grants, donations and bequests received	12	**3,411**	**3,555**
Non-controlling interests	11	**399**	**401**
NON-CURRENT LIABILITIES		**1,341,032**	**1,316,587**
Non-current provisions	13.1	**26,960**	**33,239**
Non-current loans and borrowings	14.1	**1,231,044**	**1,247,591**
Bank borrowings		74,904	37,644
Other financial liabilities		1,156,140	1,209,947
Non-current payables	14.2	**66,018**	**6,303**
Deferred tax liabilities	16	**15,760**	**28,204**
Non-current accruals	15.2	**1,250**	**1,250**
CURRENT LIABILITIES		**899,649**	**793,784**
Current provisions	13.2	**36,967**	**58,301**
Current loans and borrowings	14.3	**328,742**	**215,726**
Bank borrowings		66,110	39,390
Other financial liabilities		262,632	176,336
Trade and other payables	14.4	**430,188**	**405,558**
Current accruals	15.2	**103,752**	**114,199**
TOTAL EQUITY AND LIABILITIES		**2,838,934**	**2,684,464**

CONSOLIDATED INCOME STATEMENT FOR THE YEAR ENDED JUNE 30, 2025

€ THOUSAND	NOTES	2024/2025	2023/2024
CONTINUING OPERATIONS			
Revenue			
Membership fees, ticket sales and stadium revenue		326,092	306,970
International and friendly matches		189,566	150,784
Broadcasting revenue		162,086	179,257
Marketing revenue		481,164	406,629
	17.1	**1,158,908**	**1,043,640**
Self-constructed assets	17.1	272	9,437
Cost of sales			
Raw materials and other consumables used	17.2	**(87,697)**	**(65,718)**
Other operating income	17.1	**2,114**	**12,052**
Sports and non-sports personnel expenses	17.3	**(514,230)**	**(504,974)**
Other operating expenses			
Losses on, impairment of and changes in trade provisions	17.4	(2,947)	3,157
Other operating expenses	17.4	(371,519)	(362,111)
		(374,466)	**(358,954)**
Depreciation and amortization	4, 5, 6, 7	**(167,798)**	**(134,419)**
Non-financial and other capital grants	12, 17.1	**192**	**193**
Provision surpluses	13.1, 13.2	**23,201**	**7,890**
Impairment, gains/(losses) on disposal of non-current assets and other exceptional gains/(losses)			
Impairment and losses	17.5	2,190	(15,084)
Gains/(losses) on disposal and other	17.5	32,457	27,792
		34,647	**12,708**
OPERATING PROFIT		**75,143**	**21,855**
Finance income			
Marketable securities and other financial instruments	17.6	5,358	10,191
Capitalization of borrowing costs	17.6	-	29,727
		5,358	**39,918**
Finance costs	17.6	**(49,148)**	**(41,854)**
NET FINANCE INCOME/(EXPENSE)		**(43,790)**	**(1,936)**
PROFIT BEFORE TAX		**31,353**	**19,919**
Income tax (expense)/income	16.1	**(7,033)**	**(4,291)**
PROFIT FOR THE YEAR FROM CONTINUING OPERATIONS		**24,320**	**15,628**
PROFIT FOR THE YEAR		**24,320**	**15,628**
Attributable to equity holders of the parent		**24,322**	**15,627**
Attributable to non-controlling interests		**(2)**	**1**

CONSOLIDATED STATEMENT OF CHANGES IN EQUITY FOR THE YEAR ENDED JUNE 30, 2025

A) Consolidated statement of recognized income and expense for the year ended June 30, 2025.

€ THOUSAND	NOTES	2024/2025	2023/2024
Profit for the year		**24,322**	**15,627**
Income and expense recognized directly in equity		**-**	**-**
Amounts transferred to the income statement			
Grants, donations and bequests received	12	(192)	(193)
Tax effect	12	48	48
Total amounts transferred to the income statement		**(144)**	**(145)**
Total recognized income and expense		**24,178**	**15,482**

B) Consolidated statement of total changes in equity for the year ended June 30, 2025.

€ THOUSAND	RESERVES (NOTE 11)	REVALUATION RESERVES (NOTE 11)	CAPITALIZATION RESERVE (NOTE 11)	RESERVES IN CONSOLIDATED COMPANIES (NOTE 11)	PROFIT FOR THE YEAR	TOTAL EQUITY	GRANTS, DONATIONS AND BEQUESTS RECEIVED (NOTE 12)	NON-CONTROLLING INTERESTS	TOTAL EQUITY
Balance at June 30, 2023	**487,997**	**28,825**	**13,378**	**12,403**	**11,826**	**554,429**	**3,700**	**-**	**558,129**
Distribution of prior year profit/(loss)	10,404	-	1,156	266	(11,826)	-	-	-	-
Transfer to recapitalization reserve	-	-	1,268	(1,268)	-	-	-	-	-
Inclusion of new company to the group	-	-	-	-	-	-	-	400	400
Other changes	-	-	-	81	-	81	-	-	81
Total recognized income and expense for the year ended June 30, 2024	-	-	-	-	15,627	15,627	(145)	1	15,483
Balance at June 30, 2024	**498,401**	**28,825**	**15,802**	**11,482**	**15,627**	**570,137**	**3,555**	**401**	**574,093**
Distribution of prior year profit/(loss)	13,738	-	1,559	330	(15,627)	-	-	-	-
Transfer to recapitalization reserve	-	-	-	-	-	-	-	-	-
Inclusion of new company to the group	-	-	-	-	-	-	-	-	-
Other changes	-	-	-	(16)	-	(16)	-	-	(16)
Total recognized income and expense for the year ended June 30, 2025	-	-	-	-	24,322	24,322	(144)	(2)	24,176
Balance at June 30, 2025	**512,139**	**28,825**	**17,361**	**11,796**	**24,322**	**594,443**	**3,411**	**399**	**598,253**

CONSOLIDATED STATEMENT OF CASH FLOWS FOR THE YEAR ENDED JUNE 30, 2025

€ THOUSAND	NOTES	2024/2025	2023/2024
OPERATING ACTIVITIES			
Profit for the year before tax		**31,353**	**19,919**
Adjustments for:		**152,984**	**110,275**
Depreciation and amortization	4, 5, 6, 7	167,798	134,419
Impairment losses	17.5	(2,190)	15,084
Change in provisions	13.1, 13.2, 17.4	(24,666)	(10,472)
Grants recognized in the income statement	12	(192)	(193)
Proceeds from derecognition and disposals of non-current assets	17.5	(32,457)	(27,792)
Finance income	17.6	(5,358)	(39,918)
Finance costs	17.6	49,148	41,854
Other income and expenses		901	(2,707)
Working capital adjustments		**58,318**	**43,660**
Inventories		(2,366)	(8,870)
Trade and other receivables		31,168	(74,692)
Other current assets		(728)	106
Trade and other payables		19,795	101,138
Other current liabilities		12,451	49,330
Other non-current assets and liabilities		(2,002)	(23,352)
Other cash flows from operating activities		**(42,474)**	**9,513**
Interest paid		(40,909)	(5,998)
Interest received		4,134	9,097
Income tax received/(paid)		(5,699)	6,414
NET CASH FLOWS FROM OPERATING ACTIVITIES		**200,181**	**183,367**
INVESTING ACTIVITIES			
Payments for investments		**(329,347)**	**(613,838)**
Sports intangible assets		(181,991)	(224,876)
Other intangible assets		(16,760)	(11,599)
Property, plant and equipment		(124,596)	(373,602)
Investment properties		-	(11)
Other financial assets		(6,000)	(3,750)
Proceeds from sale of investments		**58,779**	**68,682**
Sports intangible assets		58,697	66,859
Other intangible assets		-	-
Property, plant and equipment		9	22
Other financial assets		73	1,801
NET CASH FLOWS USED IN INVESTING ACTIVITIES		**(270,568)**	**(545,156)**
FINANCING ACTIVITIES			
Proceeds from and payments for equity instruments		**-**	**401**
Issue of equity instruments		-	401
Proceeds from and payments for financial liability instruments		**37,949**	**316,296**
Proceeds from other loans and borrowings		100,000	370,000
Redemption and repayment of bank borrowings		(39,155)	(38,297)
Redemption and repayment of other borrowings		(22,896)	(15,407)
NET CASH FLOWS FROM FINANCING ACTIVITIES		**37,949**	**316,697**
NET FOREIGN EXCHANGE DIFFERENCE			
NET INCREASE/DECREASE IN CASH AND CASH EQUIVALENTS		**(32,438)**	**(45,092)**
Cash and cash equivalents at beginning of period		208,265	253,357
Cash and cash equivalents at end of period	10	175,827	208,265

NOTES TO THE CONSOLIDATED FINANCIAL STATEMENTS FOR THE YEAR ENDED JUNE 30, 2025

1. CORPORATE INFORMATION

Real Madrid, Club de Fútbol (the "Club") was formed in 1902 as a sports entity to engage in, and use its assets for, primarily and principally, the promotion of football at all levels and ages and, in general, of all sports.

Its sporting activities focus currently on playing and promoting football and basketball. The Club has women's and men's teams competing at various levels in both of these sports.

The Club is the parent of a group composed of the following subsidiaries:

NAME	DATE OF INCORPORATION	COST OF STAKE	% STAKE	REGISTERED ADDRESS	ACTIVITY
Real Madrid Beijing Co, Ltd.	3/24/2015	137	100%	3021-3022 Units, South Tower Beijing Kerry Centre, 1 Guanghua Road, Chaoyang District, Beijing, China	Support Real Madrid's expansion in China and other countries in Asia.
Real Madrid Estadio, S.L.U.	8/27/2021	3	100%	Avda Concha Espina, 1	Management of all kinds of venues. Parking lot construction and operation.
Aparcamientos del Santiago Bernabéu, S.L.	10/31/2023	19,600	98%	Avda. Concha Espina, 1	Parking lot construction and operation.

Real Madrid Aparcamientos del Santiago Bernabéu, S.L. is 98%-owned by subsidiary Real Madrid Estadio, S.L.U and 2% by non-Group company SABA Aparcamientos, S.A.

Real Madrid Club de Fútbol's and Real Madrid Estadio, S.L.U.'s financial year begins on July 1 each year and ends on June 30 the following year, whereas the financial year of subsidiaries Real Madrid Beijing, Ltd and Aparcamientos del Santiago Bernabéu, S.L. is the calendar year.

2. BASIS OF PREPARATION

These consolidated financial statements have been authorized for issue by the Board of Directors of Real Madrid Club de Fútbol, the parent of the consolidated group.

The figures shown herein are in thousands of euros (€ thousand), unless stated otherwise.

2.1 FAIR PRESENTATION

These consolidated financial statements have been prepared from the auxiliary accounting records of the Club and its subsidiaries included in the scope of consolidation in accordance with Spanish GAAP (*Plan General de Contabilidad*) and other prevailing accounting legislation to present fairly the equity, financial position and results of operations of the consolidated group.

Specifically, these consolidated financial statements have been prepared in accordance with Spanish GAAP (*Plan General de Contabilidad*) approved by Royal Decree 1514/2007, of November 16, which has been amended several times since its publication, the latest by Law 7/2024, of December 20, and the rules for the preparation of consolidated financial statements approved by Royal Decree 1159/2010, of September 17. They also considered the specifics contained in Spanish GAAP applicable to sporting public limited companies (*sociedades anónimas deportivas*) and sports entities.

The statement of cash flows was prepared to present fairly the source and use of the Group's cash flows represented by cash and cash equivalents.

2.2 BASIS OF CONSOLIDATION

The consolidated group includes all companies over which the parent, Real Madrid Club de Fútbol, has or could have, directly or indirectly, control, understood to be the power to govern the business and financial policies of a company.

These consolidated financial statements have been prepared applying the full consolidation method.

In preparing these consolidated financial statements, all significant balances and transactions between consolidated companies and the significant results of those transactions were eliminated.

In addition, in the preparation of these consolidated financial statements, uniformity adjustments were made to the most significant accounting principles and policies to make them uniform them with those used by the parent. For Aparcamientos del Santiago Bernabéu, S.L. and Real Madrid Beijing Ltd., whose financial year is the calendar year, uniformity of timing adjustments were made to their financial information included in the consolidated financial statements.

2.3 COMPARATIVE INFORMATION

In accordance with company law, for comparative purposes the Group has included, for each item of the consolidated balance sheet, the consolidated income statement, the consolidated statement of changes in equity and the consolidated statement of cash flows, in addition to figures for the year ended June 30, 2025, those for the year ended June 30, 2024.

Quantitative information for the previous period or year is also included in the notes to the financial statements unless an accounting standard specifically states that this is not required.

2.4 CRITICAL ISSUES REGARDING THE MEASUREMENT AND ESTIMATION OF UNCERTAINTIES

The Group's Board of Directors has prepared the consolidated financial statements using estimates based on historical experience and other factors considered reasonable under the circumstances. The carrying amounts of assets and liabilities, which were not readily apparent from other sources, were established on the basis of these estimates. Although the Group reviews these estimates on an ongoing basis, there is a series of risks and uncertainties that depend on the future outcome of certain assumptions and considerations described herein that could result in the need to revise the carrying amounts of assets and liabilities in future periods or other disclosures contained in these notes.

The key assumptions concerning the future and other key sources of estimation uncertainty at the reporting date, that have significant risk of causing a material adjustment to the carrying amounts of assets and liabilities within the next financial year, are described below.

- **Impairment of non-current assets and non-current assets held for sale recognized as current assets**

The measurement of non-current assets requires estimates to determine their recoverable amount (Notes 3.6) for assessing whether there is any impairment. To determine recoverable amount, where it is not possible to use a market value, the Group's directors estimate, as at the date of authorization for issue of the consolidated financial statements and whenever feasible, the present value of the estimated and probable future cash flows to be generated by the assets discounted using an appropriate discount rate. The Group also makes estimates to

determine fair value less costs to sell for assets classified as non-current assets held for sale (Note 3.5). These estimates are based primarily on offers received by the Group for the assets and on the analysis of comparable transactions in the market.

- **Deferred tax assets**

Deferred tax assets are recognized for the carry forward of unused tax credits and any unused tax losses to the extent that it is probable that the Club and its subsidiaries will have future taxable profit available against which they can be utilized and, accordingly, the assets recovered. To determine the amount of deferred tax assets that can be recognized, the Club and its subsidiaries estimate the amounts and dates on which future taxable profits will be obtained, and the period of reversal of taxable temporary differences.

- **Provisions**

The Group makes judgments and estimates regarding the probability of occurrence of risks that could require the recognition of a provision and, where appropriate, the related amounts. A provision is recognized only when the risk is considered probable, in which case the cost that would be arising from the obligating event is estimated. On other occasions, the cost is determined after the reporting date and prior to the authorization for issue of the consolidated financial statements, once additional information and documentation has been obtained that confirms the assessment or estimate of the risk materializing at the end of the reporting period.

- **Calculation of fair value, value in use and present value**

Calculating fair value, value in use and present value entails, in certain cases, calculating future cash flows and making assumptions on the future amounts of the cash flows, as well as the applicable discount rates. The estimates and related assumptions are based on historical experience and various other factors considered reasonable under the circumstances.

- **Operating lease commitments — The Group as lessor**

The Group has entered into leases to carry out its business. Based on an evaluation of the terms and conditions of the arrangements, it has determined that the lessor retains all the risks and rewards of ownership of the assets. Therefore, it accounts for these arrangements as operating leases. Operating lease payments are recognized as expenses in the income statement on a straight-line basis over the lease term.

2.5 DISTRIBUTION OF PROFIT

The distribution of 2024/2025 profit proposed by the Real Madrid Club de Fútbol's Board of Directors and expected to be approved at the General Assembly of Delegated Members is as follows:

€ THOUSAND	2024/2025
Basis of distribution	
Profit for the year	24,322
	24,322
Distribution of profit	
Reserves	23,648
Legal reserve	-
Capitalization reserve	780
Voluntary reserves	29
Prior year' losses	(135)
	24,322

The amount allocated to the Capitalization Reserve is the 5% differential (15%-10%) between the increase in equity (profit from the prior year) required to reduce taxable profit in accordance with new regulations applicable as disclosed in Notes 11 and 16.3.

2.6 BALANCE SHEET REVALUATION

In 1996/1997, the Group availed itself of the balance sheet revaluation provided for in RD Law 7/1996, of June 7, increasing the net value of its property, plant, and equipment by €8,548 thousand. The impact on the depreciation charge for the year ended June 30, 2025 was €159 thousand (June 30, 2024: €160 thousand).

Similarly, in 2013/2014, the Group decided to avail itself of the revaluation provided for in Law 16/2012, of December 27, resulting in a net increase in its property, plant and equipment of €21,344 thousand. At the Extraordinary General Assembly held on September 22, 2013, the revaluations were approved, along with the ad hoc balance sheet issued by the Board of Directors.

The ad hoc balance sheet and the breakdown of the revaluations of the various items of property, plant, and equipment were provided in the 2013/2014 consolidated financial statements. The impact on the depreciation charge for the year ended June 30, 2025 was €520 thousand (June 30, 2024: €520 thousand).

3. ACCOUNTING POLICIES

The significant accounting policies applied by the Group in the preparation of the accompanying consolidated financial statements for the year ended June 30, 2025, are as follows:

3.1 SPORTS INTANGIBLE ASSETS

Sports intangible assets includes mainly player transfer rights ("transfers") and the costs incurred to acquire such rights. These rights are measured at acquisition cost and amortized from the moment they are acquired on a straight-line basis over the term of each player's contract. These intangible assets are initially recognized on the date the related acquisition agreement becomes effective.

Following initial recognition, these assets are carried at cost less accumulated amortization and any accumulated impairment.

The cost of the agency services in player acquisitions or renewals is recognized as an increase in the acquisition cost and amortized on a straight line basis over the life of the player's contract.

At the end of each reporting period, these intangible assets are assessed for indications of impairment. If there is objective and clear evidence that the Group's sports intangible assets are impaired before the date of authorization for issue of the consolidated financial statements, the related impairment loss is recognized.

Player purchase options not exercised at the end of the reporting period are measured at cost, given the difficulties inherent in estimating the options' fair value, as there are no active market or comparable transactions for these assets.

In general, players are derecognized at the date of disposal, transfer, cancellation of the contract, or expiry of the contractual rights over the players. Even though contact may have been initiated with other clubs, agents, or the players themselves, for the purpose of negotiating their departure from the Club, and given the difficulties and uncertainties that arise before signing agreements, in general, the related gain or cost is not recognized until either the sale or transfer contract has been signed, or until the player's contract expires, since up to that moment there is no real transfer of rights and risks incidental to ownership of the contractual rights over the Club's players. However, if at the end of the period the Group considers that certain players meet the requirements for the related sports intangible assets to be classified as non-current assets held for sale (Note 3.5), the player is reclassified to this item and measured in accordance with the policy explained in the related note.

3.2 OTHER NON-SPORTS INTANGIBLE ASSETS

Other intangible assets are initially recognized at cost. The cost of intangible assets acquired in a business combination is their fair value at the date of acquisition. Following initial recognition, these intangible assets are carried at cost less any accumulated amortization and accumulated impairment losses.

This type of intangible asset is recognized if, and only if, it is probable that it will generate future benefits for the Group, its cost can be measured reliably and it is identifiable.

Intangible assets are amortized on a systematic basis in accordance with their estimated useful life and residual value. Amortization methods and periods are reviewed at the end of each reporting period, and adjusted prospectively where applicable. Intangible assets are tested for impairment at least at each financial period end. If any such indication exists, the company estimates the recoverable amount and recognizes the related impairment.

- **Concessions**

This item includes the following concessions:

a) Operating concession

This includes expenditure made to obtain the concession for certain of the Group's activities. These arrangements are amortized on a straight-line basis over the concession term of seven years. The Club's concession assets are fully amortized.

b) Operator's license for a TV channel

This line item includes the grant of an operator's license for free-to-air broadcasting via TDT through an HD TV channel. The license was granted to the Club by the Ministry for Industry via Ministerial Order of November 19, 2015, following a public tender held in accordance with the tender terms approved by the Council of Ministers on April 17, 2015. The amount recognized is the present value of the fees payable for use of the concession over its 15-year term, which is also its amortization period.

c) **Concession to build and operate two parking lots**

In September 2023, the Group was awarded an administrative concession to build and operate two underground parking lots located on both sides of the Santiago Bernabéu stadium. The concession term is 40 years.

The Group classifies the concession arrangement as an intangible asset since the consideration received entails the right to collect rates based on the level of usage of the public service. The Group assumes the demand risk.

Construction of the infrastructure will be carried out by third parties. Therefore, the consideration received is accounted for at the fair value of the infrastructure received, which is equal to the cost plus the construction margin. During the construction period, the liability assumed with third parties is recognized as an advance of an intangible asset.

Also included under this item is the present value of the annual fee payable to the Town Council over the term of the arrangement.

- **Industrial property, trademarks and similar rights**

This items reflects the amounts paid to register the Club's trademark. This asset is amortized on a straight-line basis over a period of 10 years.

Also included is the audiovisual production forming part of the Bernabéu museum and tour content, which is amortized on a straight-line basis over six years.

- **Computer software and IT platforms**

These assets are amortized on a straight-line basis over periods ranging from three to six years. Software maintenance costs are recognized as an expense when incurred.

- **Other non-sports intangible assets**

This item includes:

a) Merchandising rights

Merchandising rights includes the value of rights repurchased by the Club on June 26, 1998, for €80,070 thousand, for merchandising, rights to use the sporting facilities, and adjacent bars and restaurants, audiovisual broadcasting rights to matches in European competitions, and static and dynamic in-game advertising and sponsorship of the football and basketball teams. These rights were amortized on a straight-line basis over periods ranging from four to 21 years, which ended in prior period. These rights were derecognized in the current period.

These rights also include other management and exploitation rights repurchased by the Club in 2002/2003 over several boxes located in the Santiago Bernabéu stadium from Palcos Blancos, S.L. for €9,423 thousand. These rights were fully amortized as at June 30, 2024, and were derecognized in the current period.

Finally, this item includes the merchandising, image, website and distribution rights repurchased by the Club from the former owners of the discontinued Real Madrid Gestión de Derechos, S.L. subsidiary for €29,610 thousand. These rights were fully amortized as at June 30, 2024, and were derecognized in the current period.

b) **Exploitation rights to stadium boxes acquired in business combinations**

This item includes the rights acquired in 2002/2003 arising from the business combination carried out by the Club that year with Inversiones Incas 2000, S.L. and Real Madrid Eventos Deportivos, S.L. These two companies operated a number of boxes in the Santiago Bernabéu stadium that were acquired by the Club that year for €955 thousand and €4,029 thousand, respectively. These rights were fully amortized as at June 30, 2024, and were derecognized in the current period.

c) Other rights

This includes the recovery by the Group of €16,164 thousand of rights to use seats for the season in the stadium included in the collective bargaining agreement in favor of employees. These rights were recovered in the first half of 2022/2023 and are amortized over a period of 25 years, i.e., the remaining years of useful life of the rights at the time of recovery.

3.3 PROPERTY, PLANT AND EQUIPMENT

Property, plant, and equipment are measured initially at cost, determined as the purchase price or production cost, including all costs and expenses related directly to the assets acquired until they are in operating condition. Cost also includes the revaluations made in accordance with legislation (Note 2.6).

After initial recognition, property, plant and equipment are carried at cost less accumulated depreciation and accumulated impairment losses, if any.

Borrowing costs arising from external financing to construct property, plant and equipment accrued until assets that required more than one year to be brought into working condition are ready to enter service are included in the purchase price or production cost of the asset.

Expenses for repairs that do not extend the useful life of the assets, as well as maintenance expenses, are taken to profit or loss for the period in which they are incurred. Costs incurred to enlarge or improve items of property, plant and equipment which increase capacity or productivity or extend the useful life of the asset are capitalized as an increase in the value of the asset.

When available for use, property, plant and equipment are depreciated on a straight-line basis over their estimated useful life.

The years of estimated useful life of property, plant and equipment are as follows:

	YEARS OF USEFUL LIFE
Sports stadiums and pavilions	50 - 75
Other installations, equipment and furniture	5 - 25
Other PP&E	5 - 20

The Group reviews the assets' residual value, useful lives and depreciation methods at the end of each reporting year or period and adjusts them prospectively where applicable.

Items of property, plant and equipment are derecognized on disposal or when no future economic benefits are expected from them. The gain or loss on derecognition of an item of property, plant or equipment (calculated as the difference between the net disposal proceeds and the carrying amount of the asset) is recognized in profit or loss for the year or period when the asset is derecognized.

3.4 INVESTMENT PROPERTIES

Investment property include assets held to earn rentals or for capital appreciation, as well as assets that are not used in operations and do not form part of the Group's ordinary course of business. The Santiago Bernabéu stadium facilities leased to third parties are classified as investment properties.

The criteria set out for measuring and depreciating property, plant, and equipment are applied to investment properties.

3.5 NON-CURRENT ASSETS HELD FOR SALE

The Group classifies a non-current asset as held for sale if its carrying amount will be recovered principally through a sale transaction rather than through continuing use and provided that the following requirements are met:

- the asset is available for immediate sale in its present condition subject only to terms that are usual and customary for sales of such assets;
- an active program to locate a buyer has been initiated; and
- the sale is highly probable within a year from the date of classification as a non-current asset held for sale.

Non-current assets held for sale are measured at the lower of their carrying amount and fair value less costs to sell. These assets are not depreciated and, where necessary, the corresponding impairment is recognized so that the carrying amount does not exceed the fair value less costs to sell.

When an asset no longer meets the conditions for classification as held for sale, it is reclassified according to its nature and measured at the lower of the carrying amount before it was classified as held for sale, adjusted for any depreciation, amortization or impairment that would have been recognized had the asset not been classified as held for sale, and the recoverable amount at the reclassification date. Any difference is recognized in the income statement according to its nature.

These measurement provisions do not apply to deferred tax assets, assets arising from employee benefits and financial assets not related to equity investments in group companies, jointly controlled companies and associates included in the category of assets non-current assets held for sale, which are covered by specific standards.

Any related liabilities that may be canceled when the asset is sold are classified under "Liabilities associated with non-current assets held for sale".

3.6 IMPAIRMENT OF NON-FINANCIAL ASSETS

The Group assesses, at least at the end of each financial year or period, whether there is an indication that a non-current asset or, where applicable, a cash-generating unit, may be impaired. If any such indication exists, the Club estimates the asset's recoverable amount and recognizes an impairment.

Impairment and any reversals thereof are recognized in the income statement. Impairment losses are reversed only if the circumstances that gave rise to the impairment cease to exist. Impairment is only reversed up to the limit of the carrying amount of the asset that would have been determined had the impairment loss not been recognized.

To determine whether there are indications of impairment, the Group carries out the following analysis:

a) Sports intangible assets / Sports property, plant and equipment

For sports intangible assets, the Group considers that, due to the complexity of negotiations to determine market value upon acquisition of the sports intangible asset, the lack of an active and transparent market, the difficulties identifying comparable transactions and the significant changes in market value that can occur from one day to the next as a function of player performance and/or injuries, the differing economic circumstances of the selling and buying clubs, and the stance of players/agents, among others, in general it is not possible to determine the fair value of each of these assets objectively and reasonably until their sale. Nevertheless, the Club performs a detailed (individual and collective) analysis of the value of players' potential based on certain sports and financial parameters to identify whether there are any indications that a sports intangible asset may be impaired. If any clear indication or objective evidence of impairment exists, the Club's management estimates the asset's recoverable amount based on the best information available at the date of authorization for issue of the consolidated financial statements and recognizes an impairment loss.

Sports property, plant, and equipment (e.g., sports stadiums and pavilions) present the same challenges to determine the market value, as there is no active and transparent market in which comparable transactions can be identified. To assess whether these assets may be impaired, the Club analyzes whether the future cash flows are sufficient to cover the carrying amounts of the assets to the extent necessary to cover the related depreciation charges and other operating expenses.

b) Other intangible assets, other property, plant and equipment and investment property

The recoverable amount is the higher of fair value less costs to sell and value in use. The asset is considered impaired when its carrying amount exceeds its recoverable amount. The value in use is the present value of the expected future cash flows, discounted using a market risk-free rate and adjusted for any risks specific to the asset. For those assets that do not generate cash inflows that are largely independent of those from other assets or groups of assets, the recoverable amount is determined for the cash-generating unit to which the asset belongs.

In addition, the Group recognizes impairment on assets classified as non-current assets held for sale (Notes 2.4, 3.1 and 3.5).

3.7 LEASES

Arrangements are classified as finance leases when the economic conditions of the lease indicate that substantially all the risks and rewards incidental to ownership of the asset are transferred. All other lease arrangements are classified as operating leases.

- **Group as lessee**
  Operating lease payments are recognized as expenses in the income statement when accrued.

- **Group as lessor**
  Rental income from operating leases is recognized in the income statement when accrued.

3.8 FINANCIAL ASSETS

a) Classification, recognition and initial measurement

The Group classifies all its financial assets, at initial recognition, into one of the categories listed below, which determines how the asset will be measured initially and subsequently:

- Financial assets at fair value through profit or loss
- Financial assets at amortized cost
- Financial assets at fair value through equity
- Financial assets at cost

Given the Group's activity, it only has financial assets at amortized cost and financial assets at cost.

- **Financial assets at amortized cost**

The Group classifies a financial asset into this category, even if it is admitted to trading on an exchange, when the financial asset is held within a business model whose objective is to collect contractual cash flows.

In general, this category includes receivables from trade transactions and receivables from non-trade transactions.

Financial assets classified in this category are measured initially at fair value. In the absence of evidence to the contrary, this is presumed to be the transaction price, which is equivalent to the fair value of the consideration given plus directly attributable transaction costs. These are costs inherent in the transaction, which are capitalized.

Nonetheless, trade receivables falling due within one year for which there is no contractual interest rate and loans to personnel, dividends receivable and receivables on called-up equity instruments expected to be collected in the short term are measured at their nominal amount, provided that the effect of not discounting the cash flows is not material.

Security deposits provided on operating leases are measured at the amount given, which does not differ significantly from fair value.

They are measured subsequently at amortized cost. Accrued interest is recognized in profit or loss as finance income using the effective interest rate method.

Receivables falling due within one year, as explained previously, are measured both initially and subsequently at their nominal amount unless they are credit-impaired.

In general, when the contractual cash flows of a financial asset at amortized cost are modified as a result of financial difficulties of the issuer, the Group tests the asset for impairment.

These amounts are classified as current (less than a year) or non-current (more than a year) depending on the period of settlement.

- **Financial assets at cost**

The Group includes, in any event, the following assets into this category:

- Equity investments in group companies, jointly controlled entities and associates (in the separate financial statements).
- Other equity investments whose fair value cannot be determined by reference to a quoted price in an active market for an identical instrument or cannot be estimated reliably, and derivatives in which the underlyings are these investments.
- Contributions made under unincorporated joint venture or similar agreements.
- Any other financial asset classified initially in the portfolio of financial assets at fair value through profit or loss when it is not possible to obtain a reliable estimate of fair value.

The investments included in this category are initially measured at cost, which is equivalent to the fair value of the consideration delivered plus directly attributable transaction costs. These are costs inherent in the transaction, which are capitalized.

The investment is also subsequently measured at cost, less any accumulated impairment.

Contributions made under unincorporated joint venture agreements are measured at cost, increased or decreased by the share of profits or losses, respectively, that correspond to the Company as non-managing venturer, less impairment losses, if any.

b) Derecognition

Financial assets are derecognized when the contractual rights to the cash flows from the financial asset expire or have been transferred, provided that substantially all the risks and rewards of ownership have been transferred.

If the Group has neither transferred nor retained substantially all the risks and rewards, it derecognizes the financial asset when it has not retained control over that asset. If the Group retains control over the asset, it continues to recognize the asset at the amount of the exposure to variability in the value of the transferred asset; that is, to the extent of its continuing involvement in the financial asset. The associated liability is also recognized.

The gain or loss on derecognition of the financial asset is determined as the difference between the consideration received net of attributable transaction costs, including any new asset obtained less any liability assumed, and the carrying amount of the financial asset, plus any accumulated amount recognized directly in equity. The gain or loss is recognized in profit or loss for the reporting period in which it arises.

c) Impairment of financial assets

The Group adjusts the carrying amount of financial assets with a charge to profit or loss when there is objective evidence that the asset is impaired.

- **Financial assets at amortized cost**

At least at the end of each reporting period, the Group assesses whether there is objective evidence that a financial asset, or group of financial assets with similar risk characteristics assessed on a collective basis, is impaired as a result of one or more events that occurred after initial recognition that result in a reduction or delay in the estimated future cash flows due to debtor insolvency.

Where such evidence exists, the impairment loss is calculated as the difference between the carrying amount of the asset and the present value of the future cash flows, including any cash flows from enforcement of collateral and personal guarantees, expected to be generated by the asset discounted at the effective interest rate calculated at initial recognition. For floating-rate financial assets, the effective interest rate at the reporting date, in accordance with the contractual terms, is used. The Group uses formula-based approaches or statistical methods to determine impairment losses in a group of financial assets.

Impairment losses and reversals thereof where the amount of the impairment loss decreases due to an event occurring after recognition are recognized as an expense or income, respectively, in profit or loss. The reversal is limited to the carrying amount of the asset that would have been recognized at the reversal date had no impairment loss been recognized.

- **Financial assets at cost**

In this case, the impairment loss is measured as the difference between the carrying amount and the recoverable amount. The recoverable amount is the higher of the fair value less costs to sell and the present value of future cash flows from the investment, estimated as either those from dividends expected to be received from the investee and the disposal or derecognition of the investment, or from the share in the cash flows expected to be generated by the investee in the ordinary course of business and from disposal or derecognition. When estimating impairment of these types of assets, the investee's equity is taken into consideration, corrected for any unrealized gains existing at the measurement date, net of the related tax effect, unless better evidence of the recoverable amount of the investment in equity instruments is available.

Impairment losses are recognized as an expense in profit or loss by directly reducing the carrying amount of the equity instrument. Where applicable, reversals of impairment are recognized as income in profit or loss. The loss can only be reversed up to the limit of the carrying amount of the investment that would have been disclosed at the reversal date had the impairment loss not been recognized.

d) Interest and dividends from financial assets

Interest and dividends accrued on financial assets after acquisition are recognized in profit or loss. Interest is accounted for using the effective interest method, while dividends are recognized when the right to receive payment is established.

If distributed dividends are clearly derived from profits generated prior to the acquisition date because amounts have been distributed which are higher than the profits generated by the investee since acquisition, the difference is accounted for as a reduction in the carrying amount of the investment and not recognized as income.

Judgment about whether gains have been generated by the investee is made based exclusively on profits recognized in the separate financial statements from the acquisition date, unless the dividend charged to those profits clearly represents a recovery of the investment for the entity receiving the dividend.

3.9 FINANCIAL LIABILITIES

a) Classification, recognition and initial measurement

The Group classifies all its financial liabilities, at initial recognition, into one of the categories listed below, which determines how the liability will be measured initially and subsequently:

- Financial liabilities at amortized cost.
- Financial liabilities at fair value through profit or loss.

The Group only has financial liabilities at amortized cost.

- **Financial liabilities at amortized cost**

This category includes financial liabilities arising on the purchase of goods and services in the course of the Group's trade operations, and non-trade payables that are not derivatives.

Financial liabilities included in this category are initially measured at fair value. In the absence of evidence to the contrary, this is the transaction price, which is equivalent to the fair value of the consideration, adjusted for directly attributable transaction costs. These are costs inherent in the transaction, which are capitalized.

Nonetheless, trade payables falling due within one year for which there is no contractual interest rate and called-up equity holdings expected to be settled in the short term are measured at their nominal amount, provided that the effect of not discounting the cash flows is immaterial.

They are measured subsequently at amortized cost. Accrued interest is recognized in profit or loss as a finance cost using the effective interest method.

Nonetheless, payables falling due within one year measured at the nominal amount, in accordance with the preceding section, continue to be measured at that amount.

Contributions received under unincorporated joint venture agreements or similar are measured at cost, increased or decreased by the share of profits or losses, respectively, that correspond to the non-managing venturers.

b) Derecognition

The Group recognizes a previously recognized financial liability when the obligation is extinguished because the debtor has paid the creditor to discharge the liability (with cash or other goods or services) or the debtor is legally released from any responsibility for the liability.

Derecognition of a financial liability is accounted for as follows: the difference between the carrying amount of a financial liability (or part of that liability) extinguished and the consideration paid, including attributable transaction costs and any non-cash asset transferred or liability assumed, is recognized in profit or loss for the reporting period in which it arises.

3.10 FAIR VALUE

Fair value is the price that would be received to sell an asset or paid to transfer a liability in an orderly transaction between market participants at the measurement date. Fair value is determined without any deduction for transaction costs that may be incurred on sale or other disposal. The amount an entity would receive or pay in a forced transaction, involuntary liquidation or distress sale is not considered fair value.

Fair value is estimated for a specific date and given that market conditions can vary over time, that value might not be valid for another date. In addition, in estimating fair value the Company takes into account the characteristics of the asset or liability if market participants would take those characteristics into account when pricing the asset or liability at the measurement date.

As a general rule, fair value is calculated by reference to a reliable market input. The fair value of financial assets and liabilities for which there is an active market is determined using valuation models and techniques. Those models and valuation techniques include referencing recent arm's length transactions between knowledgeable, willing parties, if available, and the fair value of substantially identical assets, discounted cash flow methodology and the models widely used to value options.

In all instances the valuation techniques used must be consistent with the methodologies widely accepted by and used in the market to set prices, using to the extent possible

the methodology that has proven the most reliable estimator of prices. The calculations rely on observable market data and other factors market participants would take into account when pricing the asset, minimizing the use of subjective judgments or unobservable or unverifiable data.

The Group assesses the effectiveness of the valuation techniques it uses regularly using observable prices in recent transactions in the same asset class as is being measured and prices based on data or indices that are observable in the market that are available and applicable.

3.11 INVENTORIES

Inventories are measured at purchase price. The purchase price comprises the amount invoiced by the seller, after deducting any discounts, rebates or other similar items, plus any additional costs incurred to bring the goods to a saleable condition.

As the Group's inventories do not require a period of more than one year to be in a saleable condition, purchase price or production cost does not include borrowing costs.

The Group uses the weighted average cost method to allocate value to inventories.

When the net realizable value of inventories is lower than cost, the Club recognizes an impairment loss with an expense in the income statement.

3.12 CASH AND CASH EQUIVALENTS

Cash and cash equivalents include cash, current accounts, short-term deposits and purchases of assets under resale agreements which meet the following criteria:

- They are convertible to cash,
- They have a maturity of three months or less from the date of acquisition,
- There is no significant risk of changes in value, and
- They form part of the Group's usual cash management strategy.

For the purposes of the statement of cash flows, cash may also include occasional overdrafts when these form an integral part of the Group's cash management.

3.13 PROVISIONS

The Group recognizes provisions when it has a present obligation (legal, contractual, constructive or tacit) arising from past events that is known before the end of the financial year or reporting period, it is probable that an outflow of resources will be required to settle the obligation and a reliable estimate can be made of the amount of the obligation.

In other situations where no present obligation exists yet or there is clear uncertainty with respect to the outcome of an event (e.g., claims, appeals), the Group and its legal or tax advisors assess the prospects of a future event that could result in a gain or loss for the Group. If the future occurrence of a particular event is highly probable, the resulting contingent asset or liability is estimated.

Provisions are measured at the present value of the best estimate of the amount required to settle the obligation or transfer it to a third party. Adjustments arising from the discounting of the provision are recognized as a finance expense when accrued. Provisions expiring within one year are not discounted where the financial effect is not material. Provisions are reviewed at the end of each reporting period and adjusted to reflect the current best estimate of the obligation at the date of authorization for issue of the consolidated financial statements.

3.14 LIABILITIES ARISING FROM LONG-TERM EMPLOYEE BENEFITS

Neither the Group employees to which its collective labor agreement is applicable nor management are entitled to any supplementary pension benefits.

3.15 INCOME TAX

Income tax expense (tax income) for the year is calculated as the sum of current tax expense (current tax income) resulting from applying the corresponding tax rate to taxable profit (tax loss) for the year, less deductions and other tax relief, taking into account changes during the year in recognized deferred tax assets and liabilities. The tax expense (tax income) is recognized in profit or loss, except when it relates to transactions recognized directly in equity, in which case the related tax is likewise recognized in equity.

Deferred taxes are recognized for temporary differences at the reporting date between the tax bases of assets and liabilities and their carrying amounts. The tax base of an asset or liability is the amount attributed to it for tax purposes.

The tax effect of temporary differences is included in "Deferred tax assets" or "Deferred tax liabilities" on the balance sheet, as applicable.

Current tax assets and liabilities are measured at the amount expected to be recovered from or paid to the taxation authorities using the tax rates prevailing at the reporting date, including any other adjustments for taxes from prior years. Companies in the tax group distribute the tax charge so that the parent settles the tax assets and liabilities arising with subsidiaries from taxable profits or tax losses contributed by them to the tax group.

The Group recognizes deferred tax liabilities for all temporary differences, except where disallowed under prevailing tax legislation.

The Group recognizes deferred tax assets for all deductible temporary differences, the carry forward of unused tax credits and any unused tax losses. Deferred assets are recognized to the extent that it is probable that taxable profit will be available against which the deferred tax assets can be utilized, except where disallowed by prevailing tax legislation.

At the end of each reporting period, the Group reassesses recognized and previously unrecognized deferred tax assets. Based on this analysis, the Group then derecognizes previously recorded deferred tax assets when recovery is no longer probable, or recognizes a previously unrecorded deferred tax asset to the extent that it is probable that future taxable profit will enable its application.

Deferred tax assets and liabilities are measured using the tax rates expected to prevail upon their reversal, based on tax legislation approved, and in accordance with the manner in which the assets are reasonably expected to be recovered and liabilities settled.

Deferred tax assets and deferred tax liabilities are not discounted and are classified as non-current assets or non-current liabilities.

3.16 CURRENT VERSUS NON-CURRENT CLASSIFICATION

Assets and liabilities are presented in the balance sheet based on current/non-current classification. Accordingly, assets and liabilities are classified as current when they are associated with the Group's normal operating cycle and it is expected that they will be sold, consumed, realized or settled within that cycle; they are expected to mature, or to be sold or realized within one year; they are held for trading; or are cash and cash equivalents whose use is not restricted for a period of over one year.

3.17 REVENUE AND EXPENSES

a) Recognition and measurement

In accordance with the accruals principle, revenue and expenses are recognized when the goods or services represented by them take place, regardless of when actual payment or collection occurs. Amounts received in a period related to income of the subsequent period are recognized under liabilities in the balance sheet as current or non-current accruals, as appropriate. Amounts paid in a period related to expenses of the subsequent period are recognized under assets in the balance sheet as current or non-current accruals, as appropriate.

The Group recognizes revenue following a five-step process:

- Identify the contract(s) with the customer, understood as an agreement between two or more parties that creates enforceable rights and obligations.

- Identify the performance obligation or obligations in the contract, i.e., the promise to transfer goods or provide services to the customer.

- Determine the transaction price, or the amount of consideration to which it expects to be entitled from the contract in exchange for transferring promised goods or services to a customer.

- Allocate the transaction price to the performance obligations on a relative stand-alone selling price basis of each distinct good or service promised in the contract or, where applicable, based on an estimate of the stand-alone selling price when it is not directly observable.

- Recognize revenue when (or as) the Group satisfies a performance obligation by transferring a promised good or

service. A good or service is considered to be transferred when the customer obtains control, so the amount of revenue recognized is the amount allocated to the performance obligation satisfied.

- **Recognition**

Revenue is recognized when it is probable that the profit or economic benefits associated with the transaction will flow to the Group and the amount of revenue and costs incurred or to be incurred can be measured reliably.

The Group recognizes revenue from a contract when it transfers to the customer control of the promised goods or services (i.e. the performance obligation or obligations).

For each performance obligation identified, the Group determines at contract inception whether it satisfies the performance obligation over time or at a point in time.

Revenue from performance obligations satisfied over time is recognized in general on a straight-line basis over that period of time provided that the stage of completion or progress towards complete satisfaction of the contractual obligations cannot be measured.

For contractual obligations satisfied at a point in time, the contract revenue is recognized on satisfaction at that date.

Satisfaction of the performance obligation over time

The Group transfers control of an asset over time if one of the following criteria are met:

a) The customer simultaneously receives and consumes the benefits provided by the Group's performance as the Group performs.

b) The Group creates or enhances an asset that the customer controls as the asset is created or enhanced.

c) The Group's performance does not create an asset with an alternative use to the Group and the Group has an enforceable right to payment for performance completed to date.

Performance obligations satisfied at a point in time

To identify the point in time at which a customer obtains control of the asset, the Group considers the following indicators:

a) The customer assumes the significant risks and rewards of ownership of the asset.

b) The Group transfers physical possession of the asset.

c) The customer receives the asset in accordance with the agree-upon specifications.

d) The Group is entitled to collect consideration for transferring the asset.

e) The customer has title to the asset.

- **Measurement**

Revenue from the sale of goods and the rendering of services is measured at the monetary amount or, where applicable, the fair value of the consideration received or receivable. The consideration is the agreed price for the assets transferred to the customer less the amount of any trade discount, rebates or similar items granted by the Group.

b) Contract balances

- **Contract assets**

Unconditional right to consideration
When the Group has an unconditional right to consideration, irrespective of whether control of the assets has been transferred, it recognizes the right in the corresponding line items of trade receivables under current or non-current assets as appropriate in accordance with its maturity and bearing in mind the normal operating cycle. However, trade receivables that, while still within the normal operating cycle, fall due in over one year (long-term) are classified as "Trade and other receivables" under current assets.

Entitlement to consideration for the transfer of control
When the Group transfers control of a contract asset without having an unconditional right to receive revenue, the Group recognizes a right to consideration for the transfer of control. That right to consideration for the transfer of control is derecognized

when the Group has an unconditional right to that consideration. Contract assets are assessed for impairment the end of each reporting period in the same manner as receivables.

Contract assets are likewise presented within “Trade and other receivables”. They are classified as current or non-current depending on their maturity.

Costs incurred to obtain a contract
Costs incurred to obtain a contract are included under current or non-current accruals, as appropriate.

- **Contract liabilities**

Contractual obligations
If a customer pays consideration or has a right to an amount of consideration that is unconditional before the Group transfers a good or service to the customer, the Group recognizes a contract liability when the payment is made or is due.

These contract liabilities are presented within “Trade payables - Other payables - Advances from customers”, or current or non-current accruals on their maturity.

3.18 FOREIGN CURRENCY TRANSACTIONS

The Group’s functional and presentation currency is the euro.

Foreign currency transactions are translated into euros at the spot exchange rate prevailing at the date of the transaction.

Monetary assets and liabilities denominated in foreign currency are translated at the spot rate prevailing at the reporting date.

Exchange gains or losses arising on this process and on settlement of these assets and liabilities are recognized in the income statement for the financial year or reporting period in which they occur.

3.19 JOINT OPERATIONS

In 2017/2018, the Group signed an unincorporated joint venture agreement related to management of its sponsorship revenue (Note 17.1.4), as regulated by articles 239 to 243 of the Spanish Commercial Code. The Group, acting as “managing venturer” recognizes any operating profit or loss related to management of its sponsorship income, calculated in accordance with the annual contribution of the “non-managing venturer.”

3.20 GOVERNMENT GRANTS

Monetary grants are measured at the fair value of the consideration awarded.

Grants are classified as non-repayable when the conditions attaching to them are met, at which time they are recognized directly in equity, net of the related tax effect.

Repayable grants are recognized as liabilities until they meet the criteria for classification as non-repayable. Until then, no income is recorded.

Grants awarded to finance specific expenses are recognized as income in the reporting period in which the financed expenses are incurred. Grants awarded to acquire property, plant and equipment or settle liabilities are recognized as income for the reporting period in proportion with the depreciation charges for those assets.

3.21 ENVIRONMENTAL ASSETS AND LIABILITIES

Expenses relating to decontamination and restoration work in contaminated areas, as well as the elimination of waste and other expenses incurred to comply with environmental protection legislation, are recognized in the year in which they are incurred, unless they correspond to purchases of assets incorporated in equity to be used over an extended period. In this case, they are recognized in the corresponding line of “Property, plant and equipment” and depreciated using the same criteria as described in Note 3.3 above.

At June 30, 2025, the Group had not incurred any such environmental expenditure or recognized any property, plant or equipment of this kind in the balance sheet.

3.22 RELATED PARTY TRANSACTIONS

Related party transactions are measured using the same criteria described above.

The Group considers members of the Club’s Board of Directors, key managers, and the Real Madrid Foundation as related parties.

4. SPORTS INTANGIBLE ASSETS AND NON-CURRENT ASSETS HELD FOR SALE

Reconciliation of the carrying amount of sports intangible assets at the beginning and end of the year:

2024/2025

€ THOUSAND	OPENING BALANCE	ADDITIONS AND ALLOWANCES	RETIREMENTS AND DISPOSALS	TRANSFERS FROM CURRENT (*)	TRANSFERS TO CURRENT (*)	CLOSING BALANCE
Men's football						
Cost	922,047	167,731	(17,692)	-	-	1,072,086
Accumulated amortization	(464,819)	(115,564)	15,484	-	-	(564,899)
Impairment	(8,249)	-	-	-	-	(8,249)
Carrying amount	**448,979**	**52,167**	**(2,208)**	**-**	**-**	**498,938**
Women's football						
Cost	233	150	(213)	-	-	170
Accumulated amortization	(207)	(82)	201	-	-	(88)
Impairment	-	-	-	-	-	-
Carrying amount football	**26**	**68**	**(12)**	**-**	**-**	**82**
Basketball						
Cost	1,594	580	(40)	-	-	2,134
Accumulated amortization	(1,540)	(195)	40	-	-	(1,695)
Impairment	-					
Carrying amount	**54**	**385**	**-**	**-**	**-**	**439**
TOTAL CARRYING AMOUNT	**449,059**	**52,620**	**(2,220)**	**-**	**-**	**499,459**

* Transfers to/from current = Transfers to/from non-current assets held for sale.

2023/2024

€ THOUSAND	OPENING BALANCE	ADDITIONS AND ALLOWANCES	RETIREMENTS AND DISPOSALS	TRANSFERS FROM CURRENT (*)	TRANSFERS TO CURRENT (*)	CLOSING BALANCE
Men's football						
Cost	725,513	238,795	(53,453)	11,192	-	922,047
Accumulated amortization	(400,760)	(117,258)	53,199	-	-	(464,819)
Impairment	-	(8,249)	-	-	-	(8,249)
Carrying amount	**324,753**	**113,288**	**(254)**	**11,192**	**-**	**448,979**
Women's football						
Cost	410	20	(197)	-	-	233
Accumulated amortization	(295)	(109)	197	-	-	(207)
Impairment	-	-	-	-	-	-
Carrying amount football	**115**	**(89)**	**-**	**-**	**-**	**26**
Basketball						
Cost	4,324	30	(2,760)	-	-	1,594
Accumulated amortization	(4,213)	(60)	2,733	-	-	(1,540)
Impairment	-	-	-	-	-	-
Carrying amount	**111**	**(30)**	**(27)**	**-**	**-**	**54**
TOTAL CARRYING AMOUNT	**324,979**	**113,169**	**(281)**	**11,192**	**-**	**449,059**

* Transfers to/from current = Transfers to/from non-current assets held for sale.

4.1 DESCRIPTION OF THE MAIN MOVEMENTS IN THE PERIOD

Additions of sports intangible assets relate to investments in new players for the professional football and basketball teams and include the amount of transfers and other acquisition costs incurred in the related transactions.

The acquisition cost recorded in the year ended June 30, 2025, for intermediation or agency services, including the tax expense assumed for taxation on payments, amounted to €69,051 thousand (June 30, 2024: €48,110 thousand).

As explained in Note 3.6, the Group recognizes impairment when there are clear indications and evidence of impairment of its sports intangible assets up to the date of authorization of the financial statements. Impairment losses are reversed only if the circumstances that gave rise to the impairment cease to exist.

In this respect, the Group, where required and based on the best information available at the date of authorization for issue of the financial statements, recognized impairment losses with a write down to realizable value for a total of €8,249 thousand. As at the reporting date, there were no circumstances resulting in a further impairment.

4.2 NON-CURRENT ASSETS HELD FOR SALE

As explained in Note 3.5, the Group classifies a non-current asset as held for sale if its carrying amount will be recovered principally through a sale transaction rather than through continuing use and provided that the following requirements are met: the asset is available for immediate sale, an active program to locate a buyer has been initiated, and the sale is highly probable within a year. Non-current assets held for sale are measured at the lower of their carrying amount and fair value less costs to sell.

At the end of the current and previous reporting period, the requirements were not met for the reclassification from intangible assets to "Non-current assets held for sale".

4.3 OTHER INFORMATION

For the year ended June 30, 2025, the Club obtained revenue of approximately €34,232 thousand (June 30, 2024: €27,876 thousand) on disposals from the transfer of rights over several players to other clubs. The net gain from all disposals after deducting the carrying amount was €32,012 thousand (June 30, 2024: €20,957 thousand) (see Note 17.5).

Fully amortized player acquisition rights at June 30, 2025, amounted to €58,080 thousand (June 30, 2024: €50,914 thousand).

At June 30, 2025, there were firm investment commitments amounting to €66,500 thousand, but no firm player transfer commitments. There were no firm investment or player transfer commitments at June 30, 2024.

There were also no player purchase options at June 30, 2025.

The average duration of the contracts of players signed to the Professional Football League (LNFP for its initials in Spanish) is five years.

The Group's policy is to arrange the insurance policies necessary to cover any risk to which members of its professional football and basketball squads may be exposed.

5. OTHER NON-SPORTS INTANGIBLE ASSETS

Reconciliation of the carrying amount at the beginning and end of the year:

2024/2025

€ THOUSAND	OPENING BALANCE	ADDITIONS AND ALLOWANCES	RETIREMENTS AND DISPOSALS	TRANSFERS	CLOSING BALANCE
Cost:					
Concessions	6,930	-	-	-	6,930
Industrial property, trademarks and similar rights	1,519	179	(462)	13,595	14,831
Computer software	24,051	-	(4,485)	8,335	27,901
Other intangible assets	142,616	-	(125,047)	-	17,569
Advances	15,091	13,448	-	(9,277)	19,262
Total cost	**190,207**	**13,627**	**(129,994)**	**12,653**	**86,493**
Accumulated amortization:					
Concessions	(2,674)	(147)	-	-	(2,821)
Industrial property, trademarks and similar rights	(924)	(2,384)	462	-	(2,846)
Computer software	(14,383)	(2,218)	4,485	-	(12,116)
Other intangible assets	(126,339)	(647)	125,047	-	(1,939)
Total accumulated amortization	**(144,320)**	**(5,396)**	**129,994**	**-**	**(19,722)**
Impairment:					
Computer software	**(45)**	**-**	**-**	**-**	**(45)**
CARRYING AMOUNT	**45,842**	**8,231**	**-**	**12,653**	**66,726**

2023/2024

€ THOUSAND	OPENING BALANCE	ADDITIONS AND ALLOWANCES	RETIREMENTS AND DISPOSALS	TRANSFERS	CLOSING BALANCE
Cost:					
Concessions	2,934	3,996	-	-	6,930
Industrial property, trademarks and similar rights	1,308	211	-	-	1,519
Computer software	21,876	28	-	2,147	24,051
Other intangible assets	141,211	392	-	1,013	142,616
Advances	1,210	16,028	-	(2,147)	15,091
Total cost	**168,539**	**20,655**	**-**	**1,013**	**190,207**
Accumulated amortization:					
Concessions	(2,577)	(97)	-	-	(2,674)
Industrial property, trademarks and similar rights	(811)	(113)	-	-	(924)
Computer software	(12,678)	(1,705)	-	-	(14,383)
Other intangible assets	(125,692)	(647)	-	-	(126,339)
Total accumulated amortization	**(141,758)**	**(2,562)**	**-**	**-**	**(144,320)**
Impairment:					
Computer software	**(45)**	**-**	**-**	**-**	**(45)**
CARRYING AMOUNT	**26,736**	**18,093**	**-**	**1,013**	**45,842**

Additions and transfers in the year related largely to the audiovisual production included for the stadium remodeling, applications for internal use of Group companies, and developments in progress related to member and VIP customer service platforms.

Also included in additions during the year were costs for executing the administrative concession contract to build and operate two underground parking lots located on both sides of the Santiago Bernabéu stadium with subsidiary Real Madrid Estadio, S.L.U, executed by Aparcamientos del Santiago Bernabéu, S.L.

Disposals in the year related to fully amortized rights as disclosed in Note 3.2 Other non-sports intangible assets.

5.1 OTHER INFORMATION

The following table presents a summary of the cost of fully amortized non-sports intangible assets:

€ THOUSAND	6/30/2025	6/30/2024
Concessions	2,103	2,103
Industrial property, trademarks and similar rights	3	351
Computer software	8,544	12,973
Other intangible assets	-	125,047
	10,650	**140,474**

6. PROPERTY, PLANT AND EQUIPMENT

Reconciliation of the carrying amount at the beginning and end of the year:

2024/2025

€ THOUSAND	OPENING BALANCE	ADDITIONS AND ALLOWANCES	RETIREMENTS AND DISPOSALS	TRANSFERS	CLOSING BALANCE
Cost:					
Sports stadiums and pavilions	325,963	80	-	924,272	1,250,315
Other land and buildings	70,389	306	(966)	3,297	73,026
Plant and other items	130,733	2,541	(55,992)	348,703	425,985
Property, plant and equipment under construction and advances	1,157,063	188,353	-	(1,288,925)	56,491
Total cost	**1,684,148**	**191,280**	**(56,958)**	**(12,653)**	**1,805,817**
Accumulated depreciation:					
Sports stadiums and pavilions	(135,667)	(19,300)	-	-	(154,967)
Other buildings	(18,185)	(1,800)	852	-	(19,133)
Plant and other items	(104,295)	(25,453)	55,992	-	(73,756)
Total accumulated depreciation	**(258,147)**	**(46,553)**	**56,844**	**-**	**(247,856)**
Impairment					
Buildings and other PP&E	**(667)**	**-**	**-**	**-**	**(667)**
CARRYING AMOUNT	**1,425,334**	**144,727**	**(114)**	**(12,653)**	**1,557,294**

2023/2024

€ THOUSAND	OPENING BALANCE	ADDITIONS AND ALLOWANCES	RETIREMENTS AND DISPOSALS	TRANSFERS	CLOSING BALANCE
Cost:					
Sports stadiums and pavilions	325,325	-	-	638	325,963
Other land and buildings	70,380	9	-	-	70,389
Plant and other items	122,326	8,010	(105)	502	130,733
Property, plant and equipment under construction and advances	891,701	267,515	-	(2,153)	1,157,063
Total cost	**1,409,732**	**275,534**	**(105)**	**(1,013)**	**1,684,148**
Accumulated depreciation:					
Sports stadiums and pavilions	(128,684)	(6,983)	-	-	(135,667)
Other buildings	(16,231)	(1,954)	-	-	(18,185)
Plant and other items	(98,893)	(5,485)	83	-	(104,295)
Total accumulated depreciation	**(243,808)**	**(14,422)**	**83**	**-**	**(258,147)**
Impairment					
Buildings and other PP&E	**(667)**	**-**	**-**	**-**	**(667)**
CARRYING AMOUNT	**1,165,257**	**261,112**	**(22)**	**(1,013)**	**1,425,334**

6.1 DESCRIPTION OF THE MAIN MOVEMENTS IN THE PERIOD

Aside from minor investments in the Sports City, additions in the year related to work on the Santiago Bernabéu stadium remodeling project.

Since the start of this season, with the main part of the works having been completed, items of property, plant and equipment under construction were transferred to property, plant and equipment for nearly the entire amount of fully operational investments related to this project, for €1,287 million, resulting in the start of depreciation. Nevertheless, several actions are still being carried out for full completion of the project, which is expected to occur next season.

The total amount of investment in property, plant and equipment and intangible assets to June 30, 2025, stood at €1,347 million.

On May 8, 2019, the Board of Directors awarded the remodeling contract to FCC Construcción, with a term of 39 months. However, the term was extended for a variety of different reasons.

The remodeling work has been carried out without affecting the matches scheduled or the stadium's normal activities

The new stadium presents an immersive and avant-garde image thanks to a skin of steel bands and variable lines. The project includes a fixed and retractable roof over the playing field protecting all seats.

The demolition of the shopping center and construction of two new towers on Paseo de la Castellana make the stadium safer and make access and evacuation easier. Spectator traffic will be safer and smoother, with new ramps, escalators, elevators and more entrance doors. This reform includes removal of architectural barriers to make room for nearly 1,000 new seats for people with various abilities.

Work is also being carried out to enhance the entire urban surrounding, with a large square on the Castellana of more than 20,000 square meters and another on the corner of Padre Damián of 5,500 square meters. Calle Rafael Salgado Street will be turned into a pedestrian street and the entire surroundings will be improved with a project covering over 66,000 square meters.

All the spaces and galleries inside the stadium will be transformed so spectators can enjoy a new entertainment and service offering. The museum near the La Castellana is much bigger and has been converted into a new interactive museum equipped with the latest virtual reality technologies. The experience of the Bernabéu Tour has been, and will continue to be, extended with the creation of a panoramic tour around the entire stadium and a new entertainment and food service offering, making it one of the main attractions for tourists visiting Madrid. It is a new stadium, with new, cutting-edge stores and a broader offering and type of restaurants and gastronomic experiences.

Technology is pioneering and an essential feature of this major reform, with a spectacular video scoreboard that has become one of the most emblematic features of the new Santiago Bernabéu Stadium. It is a large digital stadium that turns into a large technological platform for interacting with fans, leading a real digital transformation.

The original project was subsequently expanded to include a large underground greenhouse, which was not included because of its complexity, but a technological solution was subsequently found. This greenhouse allows for the automatic removal of the pitch and its preservation in optimal conditions and in perfect shape to be used when a football match is to be held. In this way, the number of events that can be held without impacting the grass will be maximized.

The new Santiago Bernabéu Stadium is one of Real Madrid's biggest projects for the future, aiming to become a benchmark for the 21st century and an avant-garde and universal icon, and marks a major upgrade for the Club, not to mention its surroundings. It will be a modern, cutting-edge stadium, with maximum comfort and safety, using latest generation technology making it a venue where fans can feel one-of-a-kind sensations.

The remodeling will also provide a new and important source of revenue for the Group. Forecasts point to a sharp increase in revenue generation by the stadium on both match days and from the stadium's daily commercial operation. Higher net

cash inflows will allow the Group to pay off the remodeling investment, while it continues to grow and remain competitive in an increasingly tough international football environment.

To fund the remodeling project, on April 12, 2019, the Real Madrid Board of Directors, under authorization by the Extraordinary General Assembly of Delegated Members held on September 23, 2018, arranged financing of €575 million for a term of 30 years and a fixed rate of 2.5%. The financing was structured through a loan facility with three drawdowns, one each in July 2019, July 2020 and July 2021, in line with scheduled payments for the works. The facility also includes a three-year grace period for repayment of principal. Therefore, Real Madrid began repayment on July 30, 2024, with a fixed annual amount of approximately €29.5 million as from July 30, 2023, until maturity on July 30, 2049.

Subsequently, pursuant to the authorization received from the Extraordinary General Assembly of Delegated Members held on November 20, 2021, Real Madrid signed an extension of the financing of the works not originally included in the remodeling project on December 7, 2021, via the extension of the €225 million loan facility to 27 years, carrying a fixed interest rate of 1.53%. The amount was drawn down on May 31, 2022. The facility also includes a grace period for repayment of principal. Therefore, Real Madrid began repayment on July 30, 2024, with a fixed annual amount of approximately €10.5 million as from July 30, 2024, until maturity on July 30, 2049.

In addition, pursuant to the authorization received from the Extraordinary General Assembly of Delegated Members held on November 9, 2023, on November 15, 2023, Real Madrid signed an extension of the financing of the works, for a loan amount of €370 million and repayment over a 30-year period, with a 3-year grace period on repayment of principal. Real Madrid will not begin repaying the loan until November 15, 2027. From then, Real Madrid will pay a fixed annual amount of €26 million for these €370 million until maturity on November 15, 2053.

As a result, loans taken out and drawn down in full to finance the stadium's remodeling total €1,170 million, with final maturity in November 2053 and carrying an average fixed interest rate of 3.2%.

Real Madrid closed these deals without having to provide any mortgage guarantees (only pledges on certain stadium revenue) or accepting any restrictions on the Group's management or debt (only compliance with a certain coverage ratio between the pledged stadium revenue and debt service, which it met), so it can carry out its normal activity with no impact from payment of the works.

6.2 URBAN DEVELOPMENT UNITS

The Club acquired urban development units to existing plots in the Valdebebas area. These units were registered with the respective property registers (as an annotation in the original property inscription).

These development units have, for all intents and purposes, the same consideration as the land contributed, since the units are ultimately what generate the right to obtain a plot adjudication once the Land Redistribution Project is prepared. In fact, both the purchase deeds and the registry inscriptions establish that these units will be applied to the resulting plot earmarked for private sports usage in the amount of 16,401.6 development units and approximately 1,200,000m2 of land under the Land Redistribution Project.

Real Madrid Club de Fútbol presented these development rights to the "Parque de Valdebebas" Compensation Board, and on November 25, 2009, definite approval was received from the Madrid City Council through administrative channels for the Land Redistribution Project, by virtue of which Real Madrid won the replacement plot. Real Madrid Club de Fútbol was duly registered as the owner of said plot in Madrid Property Registries 11 and 33.

Following the definitive approval of the Land Redistribution Project, the Madrid taxation authorities issued payment notices to the former owners for capital gains tax arising from the increase in the value of the related urban land. These payment notices were appealed, since both the former owners and the Club disagree, given that the Club assumed the obligation to pay or put up surety for this tax in the purchase deeds. Prior to the appeals process, the Club provided the required guarantees for the amounts claimed, which total approximately €2.3 million. The majority of the rulings in the appeals process have been in favor of the Club,

resulting in the release of the bulk of the amount guaranteed as the rulings become final and the release of the guarantee is executed.

6.3 OPERATING LEASES

- **Group as lessee**

As at June 30, 2025 and 2024, the Group had entered into operating leases on certain items of property, plant, and equipment, primarily buildings, technical installations and computer hardware. The lease terms range from one to five years, depending on the leased asset. In most cases, the leases are updated in accordance with the annual CPI. The Club is in no way encumbered by virtue of these leases.

Payments in the year ended June 30, 2025 on these leases amounted to €3,232 thousand (June 30, 2024: €3,337 thousand) (Note 17.4).

Future minimum rentals payable under operating leases are as follows:

€ THOUSAND	6/30/2025	6/30/2024
Within one year	3,160	2,648
After one year but not more than five years	2,319	1,221
More than five years		-
	5,479	**3,869**

6.4 OTHER INFORMATION

As at June 30, 2025, fully depreciated items of property, plant, and equipment, mainly plant, amounted to €28,979 thousand (June 30, 2024: €79,382 thousand).

As at June 30, 2025, the Group had purchase commitments with suppliers for costs related to the Santiago Bernabéu stadium remodeling project (Note 6.1). Although there is still some work remaining to complete the project, the investment made as at the reporting date represents the bulk of the total planned investment.

No borrowing costs were capitalized in the year ended June 30, 2025. In 2023/2024, borrowing costs amounting to €29,727 thousand were capitalized (Note 17.6), related to the interest accrued in the period on loans to fund the remodeling project (Note 6.1).

The Group's policy is to arrange the insurance policies necessary to cover the risks to which its property, plant and equipment are exposed.

In previous years, the Club received a grant related to assets amounting to €9,607 thousand to finance the acquisition of property, plant and equipment. The breakdown of these assets is as follows:

2024/2025

€ THOUSAND	COST	ACCUMULATED DEPRECIATION	CARRYING AMOUNT
Buildings	9,607	(5,057)	4,550

2023/2024

€ THOUSAND	COST	ACCUMULATED DEPRECIATION	CARRYING AMOUNT
Buildings	9,607	(4,865)	4,742

As at June 30, 2025, this grant was recognized in equity for an amount of €3,411 thousand (Note 12) (June 30, 2024: €3,555 thousand) and in deferred tax liabilities for €1,137 thousand (June 30, 2024: €1,185 thousand) (Note 16.2).

7. INVESTMENT PROPERTIES

Reconciliation of the carrying amount at the beginning and end of the year:

2024/2025

€ THOUSAND	OPENING BALANCE	ADDITIONS AND ALLOWANCES	RETIREMENTS AND DISPOSALS	TRANSFERS	CLOSING BALANCE
Cost					
Land	13,620	-	-	-	13,620
Buildings	379	-	-	-	379
Installations	48	-	(48)	-	-
Construction in progress	26	1	-	-	27
Total cost	**14,073**	**1**	**(48)**	**-**	**14,026**
Accumulated depreciation					
Buildings	(139)	(7)	-	-	(146)
Installations	(47)	(1)	48	-	-
Total accumulated depreciation	**(186)**	**(8)**	**48**	**-**	**(146)**
Impairment					
Land	(2,740)	-	2,740	-	-
Total impairment	**(2,740)**	**-**	**2,740**	**-**	**-**
CARRYING AMOUNT	**11,147**	**(7)**	**2,740**	**-**	**13,880**

2023/2024

€ THOUSAND	OPENING BALANCE	ADDITIONS AND ALLOWANCES	RETIREMENTS AND DISPOSALS	TRANSFERS	CLOSING BALANCE
Cost					
Land	13,620	-	-	-	13,620
Buildings	379	-	-	-	379
Installations	48	-	-	-	48
Construction in progress	15	11	-	-	26
Total cost	**14,062**	**11**	**-**	**-**	**14,073**
Accumulated depreciation					
Buildings	(131)	(8)	-	-	(139)
Installations	(47)	-	-	-	(47)
Total accumulated depreciation	**(178)**	**(8)**	**-**	**-**	**(186)**
Impairment					
Land	(2,740)	-	-	-	(2,740)
Total impairment	**(2,740)**	**-**	**-**	**-**	**(2,740)**
CARRYING AMOUNT	**11,144**	**3**	**-**	**-**	**11,147**

"Land" includes mainly the plots related to the agreement signed with the Madrid City Council, and correspond to the sale of plots 1, zones 1 and 3, 4 and 5 zone 2 of the API 11.12 "Mercedes Arteaga, Jacinto Verdaguer" and the TER. 02. 189-A1 tertiary plot of the 4.01 UPN "Ciudad Aeroportuaria parque de Valdebebas" obtained through the segregation of the TER. 02 189-A plot.

"Buildings" includes mainly capital expenditure by the Group to equip a number of premises for hospitality and catering usage, operated by third parties which pay Real Madrid Club de Fútbol a royalty. The direct royalty revenue generated by this activity in the year ended June 30, 2025 amounted to €1,166 thousand (June 30, 2024: €158 thousand).

As explained in Note 3.6, at the end of each reporting period, the Group engages an independent expert to perform an appraisal, recognizing an impairment loss to reduce the carrying amount of the assets to market value where appropriate. As a result of the appraisal performed at June 30, 2025, the Group reversed the previously recognized impairment loss, of €2,740 thousand at June 30, 2024, since the market value of the land exceeded its carrying amount.

Future minimum rentals receivable under operating leases are as follows:

€ THOUSAND	6/30/2025	6/30/2024
Within one year	3,606	3,678
After one year but not more than five years	16,266	17,855
More than five years	16,483	19,375
	36,355	**40,908**

8. FINANCIAL ASSETS

The breakdown of financial assets, excluding investments in group companies, jointly controlled entities and associates, is as follows:

2024/2025

€ THOUSAND	EQUITY INSTRUMENTS	LOANS AND OTHER FINANCIAL ASSETS	TOTAL
Non-current financial assets			
Financial assets at amortized cost	-	25,448	25,448
Financial assets at cost	2,345	-	2,345
	2,345	**25,448**	**27,793**
Current financial assets			
Financial assets at amortized cost (*)	-	266,870	266,870
	-	**266,870**	**266,870**
TOTAL FINANCIAL ASSETS	**2,345**	**292,318**	**294,663**

(*) Does not include public administrations.

2023/2024

€ THOUSAND	EQUITY INSTRUMENTS	LOANS AND OTHER FINANCIAL ASSETS	TOTAL
Non-current financial assets			
Financial assets at amortized cost	-	59,901	59,901
Financial assets at cost	2,345	-	2,345
	2,345	**59,901**	**62,246**
Current financial assets			
Financial assets at amortized cost (*)	-	294,114	294,114
	-	**294,114**	**294,114**
TOTAL FINANCIAL ASSETS	**2,345**	**354,015**	**356,360**

(*) Does not include public administrations.

8.1 NON-CURRENT FINANCIAL INVESTMENTS

The breakdown and movement in this item are as follows:

2024/2025

€ THOUSAND	OPENING BALANCE	ADDITIONS	RETIREMENTS AND DISPOSALS	TRANSFERS TO CURRENT	CLOSING BALANCE
Equity instruments	2,345	-	-	-	2,345
Non-current receivables from sports entities for player transfers	36,875	15,188	-	(38,479)	13,584
Non-current trade receivables	15,259	-	-	(15,529)	-
Other non-current receivables	6,487	6,789	-	(2,741)	10,535
Other financial assets	1,280	106	(57)	-	1,329
Total non-current financial investments	**62,246**	**22,083**	**(57)**	**(56,479)**	**27,793**

2023/2024

€ THOUSAND	OPENING BALANCE	ADDITIONS	RETIREMENTS AND DISPOSALS	TRANSFERS TO CURRENT	CLOSING BALANCE
Equity instruments	2,773	-	(428)	-	2,345
Non-current receivables from sports entities for player transfers	70,990	6,145	-	(40,260)	36,875
Non-current trade receivables	29,362	-	-	(14,103)	15,259
Other non-current receivables	3,047	3,856	(416)	-	6,487
Other financial assets	480	807	(7)	-	1,280
Total non-current financial investments	**106,652**	**10,808**	**(851)**	**(54,363)**	**62,246**

- "Equity instruments" includes the Group's ownership interests in several unlisted entities that organize competitions in which the Club's professional teams participate and over which the Group exercises neither control nor significant influence. The Group has measured these investments at cost rather than at fair value, as it does not have sufficient information to determine their fair value reliably.

The most significant amount relates to European Superleague Company, S.L., in which Real Madrid Club de Fútbol has an interest together with other European clubs to promote new competitions.

- "Non-current receivables from sports entities for player transfers" includes the amounts receivable from a number of sports entities primarily relating to the sale of rights over professional players. These amount do not accrue explicit interest. The detail by maturity is as follows:

€ THOUSAND	6/30/2025	6/30/2024
Year 2	10,168	31,585
Year 3	1,943	1,890
Year 4 and beyond	1,473	3,400
	13,584	**36,875**

The aforementioned amounts are recognized using the amortized cost method, which includes the financial effect of discounting. Accrued finance income in the year ended June 30, 2025 amounted to €1,652 thousand (2024: €1,279 thousand) (Note 17.6).

Additions during the year corresponded mainly to the sale of player transfer rights. Transfers to current liabilities include balances on loans which fall due within one year from the date of the accompanying balance sheet.

- "Non-current trade receivables" includes outstanding amounts receivable on trade transactions with long-term maturities arising from multi-year sponsorship agreements.

- "Other non-current receivables" includes primarily amounts receivable on basketball player disposals and other receivables from several entities.

8.2 TRADE AND OTHER RECEIVABLES

The breakdown of "Trade and other receivables" is as follows:

€ THOUSAND	6/30/2025	6/30/2024
Trade receivables (Note 17.1)		
Stadium revenues	31,026	70,696
Broadcasting rights	736	1,094
Marketing revenues	117,530	104,704
	149,292	176,494
Receivables from sports entities		
Player transfers	48,540	48,366
Other receivables from sports entities (Note 17.1)	19,100	14,629
	67,640	62,995
Other financial assets		
Other receivables	3,649	33,198
Personnel	46,289	21,427
	49,938	54,625
Total current financial assets	**266,870**	**294,114**
Current tax assets and other (Note 16)	3,144	4,792
Other receivables from public administrations (Note 16)	39,871	47,518
Madrid City Council for the EU Las Tablas proceedings (Note 13.4)	23,526	23,526
Madrid City Council for the property tax Adjustments (Note 13.4)	10,426	7,913
Total receivables from public administrations	**76,967**	**83,749**
TOTAL TRADE AND OTHER RECEIVABLES	**343,837**	**377,863**

- **Trade receivables.**

The balance is presented net of loss allowance. Changes in loss allowance:

€ THOUSAND	6/30/2025	6/30/2024
Initial loss allowance	15,049	18,412
Arising during the year (Note 17.4)	3,207	1,031
Utilized during the year (Note 17.4)	(385)	(232)
Unused amounts reversed (Note 17.4)	(248)	(4,162)
Transfer in the year	-	-
Final loss allowance	**17,623**	**15,049**

The breakdown of foreign currency balances included in this item as at June 30, 2025 is as follows:

THOUSANDS	FOREIGN CURRENCY AMOUNT	EURO AMOUNT
US dollars (USD)	3,056	2,608
Pound sterling (GBP)	-	-
Australian dollars (AUD)	24	13
Total		**2,621**

The breakdown of foreign currency balances included in this item as at June 30, 2024 is as follows:

THOUSANDS	FOREIGN CURRENCY AMOUNT	EURO AMOUNT
US dollars (USD)	2,519	2,353
Pound sterling (GBP)	130	154
Australian dollars (AUD)	24	15
Total		**2,522**

- **Current receivables from sports entities**

The balance is presented net of loss allowance. Changes in loss allowance:

€ THOUSAND	6/30/2025	6/30/2024
Initial loss allowance	198	206
Arising during the year (Note 17.4)	22	-
Utilized in the year	-	-
Unused amounts reversed (Note 17.4)	(34)	(36)
Transfer in the year	-	28
Final loss allowance	**186**	**198**

"Other receivables from sports entities" as at June 30, 2024 includes a balance with the National Professional Football League of €4,775 thousand confirmed with the latter (June 30, 2024: €3,975 thousand).

The breakdown of foreign currency balances included in this item as at June 30, 2025 is as follows:

THOUSANDS	FOREIGN CURRENCY AMOUNT	EURO AMOUNT
US dollars (USD)	-	-
Pound sterling (GBP)	14,525	17,160
		17,160

The breakdown of foreign currency balances included in this item as at June 30, 2024 is as follows:

THOUSANDS	FOREIGN CURRENCY AMOUNT	EURO AMOUNT
Pound sterling (GBP)	28,881	34,123
		34,123

- **Madrid City Council for the property tax adjustments**

This amount reflects the total excess amounts paid by the Club for property taxes on Real Madrid City for the 2010 to 2024 periods as the value for tax purposes did not match the amounts of the property taxes charged. Claims have been submitted and are in different legal stages, but the Town Council has yet to refund the excess amounts. Nevertheless, the Group considers collection of the amount recognized to be highly probable.

9. INVENTORIES

The value of inventories in the balance sheet as at June 30, 2025 was €20,507 thousand (June 30, 2024: €18,141 thousand) and included a write-down of €292 thousand (June 30, 2024: €292 thousand).

10. CASH AND CASH EQUIVALENTS

The breakdown of these items is as follows:

€ THOUSAND	6/30/2025	6/30/2024
Demand current accounts	175,827	208,265
Cash and cash equivalents	**175,827**	**208,265**

The cash balance as at June 30, 2025, was composed of:

- €10 million (June 30, 2024: €126 million) in the cash account related to the stadium remodeling project.
- €166 million (June 30, 2024: €82 million) in the Group's general cash accounts.

11. EQUITY – CAPITAL AND RESERVES AND NON-CONTROLLING INTERESTS

The reconciliation of "Capital and reserves" at the beginning and end of the year is shown in the statement of changes in equity.

- **Reserves**

"Reserves" consists mainly of the initial endowment and subsequent contributions arising from the distribution of profits. In addition, the impact of the transition to the new General Accounting Plan in Spain were recognized under this item which, as required therein, must be recorded in unrestricted reserve accounts.

- **Revaluation reserve RD 7/96**

The revaluation reserve allocated by the Club in 1996/1997 may be used to offset tax losses or to increase the "Reserves" account or unrestricted reserves, once the revalued assets have been fully depreciated or derecognized from inventories.

- **Revaluation reserve law 16/2012**

In 2013/2014 the Club availed itself of the balance sheet revaluation provided in Law 16/2012 of December 27 (Note 2.6). Amounts arising from the accounting revaluations were recognized under "Revaluation Reserve Law 16/2012 of December 27." Since the period for verifying the revaluation by the Taxation Authorities has expired, the balance of this account may be used to offset losses and increase share capital, or after 10 years have transpired from the date of the balance sheet in which the revaluations were made, allocated to unrestricted reserves. This balance may only be distributed, indirectly or directly, when the revalued assets have either been fully depreciated, disposed of or derecognized.

- **Capitalization reserve**

Until the 2023/2024 season, in accordance with article 25 of Law 27/2014, of November on income tax (the CIT Law), the Group included in the calculation of income tax a reduction in taxable profit for the year of 10% of the increase in equity of the prior year, up to 10% of taxable profit for the year.

Group companies allocated the "Capitalization reserve" in compliance with the requirements of the CIT Law to be eligible for this reduction. This reserve was restricted for a period of five years.

With enactment of Royal Decree-Law 4/2024, of June 26, the reduction of the tax base was increased to 15% of the amount of the increase in entities' equity, while the number of years that the amount of the increase in equity must be maintained, from the related year of the reduction, was reduced from five to three, except in the event of accounting losses.

In the current period, the Group allocated 10% of the prior year's profit to this reserve in accordance with the proposed distribution of profit for that year. The adjustment of the capitalization reserve to the new percentage of 15% will occur in 2025/2026, after approval of the distribution of the current year's profit. This new allocation will be made within the legal deadline.

- **Non-controlling interests**

The balance of "Non-controlling interests" reflects the 2% shareholding and the share of profit for the year attributable to Real Madrid Aparcamientos del Santiago Bernabéu, S.L. as non-controlling shareholder (see Note 1).

12. EQUITY - GRANTS, DONATIONS, AND BEQUESTS RECEIVED

Changes in non-repayable capital grants included the consolidated statement of changes in equity:

2024/2025

€ THOUSAND	OPENING BALANCE	ADDITIONS	TAX EFFECT OF ADDITIONS	AMOUNTS TRANSFERRED TO PROFIT OR LOSS (NOTE 17.1)	TAX EFFECT OF TRANSFERS	CLOSING BALANCE
Non-repayable grants	3,555	-	-	(192)	48	3,411
Total non-repayable grants	**3,555**	**-**	**-**	**(192)**	**48**	**3,411**

2023/2024

€ THOUSAND	OPENING BALANCE	ADDITIONS	TAX EFFECT OF ADDITIONS	AMOUNTS TRANSFERRED TO PROFIT OR LOSS (NOTE 17.1)	TAX EFFECT OF TRANSFERS	CLOSING BALANCE
Non-repayable grants	3,700	-	-	(193)	48	3,555
Total non-repayable grants	**3,700**	**-**	**-**	**(193)**	**48**	**3,555**

The grants awarded are mainly grants related to assets from by sports bodies, primarily the National Professional Football League, Spain in conjunction with certain capital expenditure made by the Club during the 1996/1997 season (Note 6.4).

The Club's Board believes it fulfilled all the conditions attaching to the grants for consideration as non-repayable.

13. PROVISIONS AND CONTINGENCIES

13.1 NON-CURRENT PROVISIONS

Carrying amount at the beginning and end of the year:

2024/2025

€ THOUSAND	OPENING BALANCE	ADDITIONS	ARISING DURING THE YEAR	UNUSED AMOUNTS REVERSED	NET TRANSFERS	CLOSING BALANCE
Other provisions	33,239	12,656	(6,989)	(3,801)	(8,145)	26,960
Total non-current provisions	**33,239**	**12,656**	**(6,989)**	**(3,801)**	**(8,145)**	**26,960**

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€ THOUSAND	OPENING BALANCE	ADDITIONS	ARISING DURING THE YEAR	UNUSED AMOUNTS REVERSED	NET TRANSFERS	CLOSING BALANCE
Other provisions	45,833	15,490	(18,307)	(4,847)	(4,930)	33,239
Total non-current provisions	**45,833**	**15,490**	**(18,307)**	**(4,847)**	**(4,930)**	**33,239**

This year, based on available estimates, the Group recognized provisions for liabilities and charges of €12,656 thousand to cover risks (2023/2024: €15,490 thousand).

In addition, in 2024/2025, the Group utilized €6,989 thousand of provisions for their intended purposes (2023/2024: €18,307 thousand) and reversed €3,801 thousand (2024/2024: €4,847 thousand) since the circumstances that gave rise to them no longer existed.

13.2 CURRENT PROVISIONS

Carrying amount at the beginning and end of the year:

2024/2025

€ THOUSAND	OPENING BALANCE	ADDITIONS	ARISING DURING THE YEAR	UNUSED AMOUNTS REVERSED	NET TRANSFERS	CLOSING BALANCE
Current provisions for liabilities and charges	58,301	5,524	(15,603)	(19,400)	8,145	36,967
Total current provisions	**58,301**	**5,524**	**(15,603)**	**(19,400)**	**8,145**	**36,967**

2023/2024

€ THOUSAND	OPENING BALANCE	ADDITIONS	ARISING DURING THE YEAR	UNUSED AMOUNTS REVERSED	NET TRANSFERS	CLOSING BALANCE
Current provisions for liabilities and charges	53,022	32,635	(29,243)	(3,043)	4,930	58,301
Total current provisions	**53,022**	**32,635**	**(29,243)**	**(3,043)**	**4,930**	**58,301**

In the current year, the Group recognized provisions for liabilities and charges amounting to €5,524 thousand (2023/2024: €32,635 thousand) to cover certain risks that could materialize in the short term.

Meanwhile, it utilized provisions for their intended purposes in 2024/2025 in an amount of €15,603 thousand (2023/2024: €29,243 thousand) and reversed €19,400 thousand of unused provisions (2023/2024: €3,043 thousand).

13.3 GUARANTEES AND DEPOSITS GIVEN

The Group has granted guarantees and deposits to third parties for different purposes.

The breakdown of these guarantees by maturity is as follows:

€ THOUSAND	6/30/2025	6/30/2024
Indefinite	41,649	28,817
2024/2025	-	169
2025/2026	1,047	700
2028/2029	336	173
Total guarantees and deposits given	**43,032**	**29,859**

The bulk of the amount drawn down on guarantees with indefinite maturity relate to guarantees issued to ensure fulfillment of the obligations related to urban work and waste treatment during the stadium remodeling project, to claims arising from settlement of tax on the increase in the value of urban land in Valdebebas (Note 16.4.8), to appeals against tax-related claims, and to guarantees provided to comply with the commitments of the grant of a license to broadcast an HD channel through TDT and the concession to build and operate two car parks around the Santiago Bernabéu stadium.

No liabilities are expected to arise from these guarantees.

13.4 COMMITMENTS, CONTINGENT ASSETS, AND LIABILITIES

For some of the following agreements, information is provided regarding different issues without any indication of financial amounts, as this is confidential commercial information and its disclosure could be damaging for the Group.

1. As at June 30, 2025, variable collection rights from different clubs and image/sponsorship contracts were recognized amounting to €850 thousand (June 30, 2024: €16,050 thousand), while liabilities related to these variable rights amounting to €6,688 thousand were recognized (June 30, 2024: €33,750 thousand).

There are also potential assets related to agreements with sports entities and sponsorship agreements that are contingent upon fulfillment of established sports objectives in future seasons. In the unlikely event that all the objectives were met, the maximum amount to be received over the term of all the agreements up until their expiration would be €21,950 thousand (June 30, 2024: €41,950 thousand).

In addition, there are potential liabilities arising from agreements with sports entities that would be triggered if certain sports objectives are achieved in future seasons. In the unlikely event that all the objectives were to be met, the maximum amount to be recognized over the term of all the agreements up until their expiration would amount to €29,695 thousand (June 30, 2024: €36,250 thousand). If payment were made, these amounts would be correlated to increased revenue from sports competitions, especially the Champions League.

2. On July 29, 2011, an agreement was signed and ratified by public deed on December 21, 2011 with the Madrid City Council legalizing the earlier agreements entered into between the two parties on May 29, 1998 and December 20, 2001.

This agreement included compensation from the Madrid City Council due to the legal impossibility of transferring the entire "Las Tablas" plot as stipulated in the agreement signed on May 29, 1998, as well as Real Madrid Club de Fútbol's compensation for breach of the main obligation of the underground parking lot on the Paseo de la Castellana's lateral section established in the Agreement dated December 20, 2001.

The Madrid City Council paid the compensation by transferring a plot of land located between Rafael Salgado, Paseo de la Castellana, and Concha Espina on API 05.12 "Santiago Bernabéu", recognized in property, plant and equipment (Note 6) and Plots 1, zone 1 and 3, 4 and 5 Zone 2 of API 11.12 "Mercedes Arteaga, Jacinto Verdaguer" and the tertiary plot TER. 02 189-A1 of UNP 4.01 "Ciudad Aeroportuaria parque de Valdebebas" obtained by segregating plot TER.02 189-A. The "Mercedes Arteaga, Jacinto Verdaguer" plots and the Valdebebas tertiary plot are recognized under investment properties (Note 7).

All the property, plant, and equipment included in the scope of the agreement were appraised by the Technical Services Department of the Sub-Directorate General of Urban Adaptation under the General Directorate for Town Planning Management of the Government, Development and Housing Area.

At the end of each reporting period, the Group engages an independent expert to appraise its real estate assets (see Note 3.6), recognizing an impairment loss to reduce the carrying amount of the assets to market value where appropriate. As a result of the appraisal performed at June 30, 2025, the Group reversed the previously recognized impairment loss, of €2,740 thousand at June 30, 2024 (Note 7), since the market value of the land exceeded its carrying amount.

On March 21, 2012, Madrid Federal Court of Appeals 14 upheld the request for an injunction filed regarding the agreement between the Club and the Madrid City Council on July 21, 2011, entailing suspension of enforcement of the agreement. Both the Club and the City Council appealed the injunction, and on July 12, 2012, the Administrative Appeals section of the Madrid Supreme Court handed down a sentence revoking the injunction issued by the Judge from the Madrid Court of Administrative Appeals 14, considering that there were no grounds for the injunction.

Regarding the main legal proceeding, on April 25, 2012, a claim was filed before the Court against the agreement signed on July 29, 2011, seeking its annulment and restitution of the assets to their situation prior to the signing of the agreement, along with the related cancellation of any files on register, and requiring a new appraisal of the obligations arising from the agreements signed in 1991 and 1998. The Administrative Appeals court handed down a ruling on October 10, 2013, notified on October 15, 2013, rejecting the appeal and upholding the sentence, which was ruled as final through an organization procedure dated November 20, 2013.

For its part, the European Commission notified Spain of its decision to initiate proceedings regarding alleged State aid arising from the appraisal of a plot of land located in Las Tablas (Madrid), which the Madrid City Council was forced to turn over to Real Madrid Club de Fútbol, in compliance with a land-swap agreement signed by the parties in 1998. Due to the legal impossibility of handing the plot over, it was appraised by the City Council at its value for tax purposes, and replaced by other land of equivalent value.

On July 4, 2016, the European Commission issued a decision concluding that the Club obtained an advantage of €18.4 million from the over-evaluation of a plot of land. The Club, considering that this did not constitute State aid since the Club received, via the delivery of other land, an amount equivalent to that which it was entitled to receive, appealed this decision before the General Court of the European Union seeking the annulment of the decision.

Irrespective of the appeal, on October 28, 2016, the Club paid the City Council the required €18.4 million plus €1.9 million of late payment interest (for a total of €20.33 million).

On May 22, 2019, the General Court of the European Union issued its judgment, annulling the contested decision of the European Commission of July 4, 2016, which concluded that the Madrid Town Council granted State aid to Real Madrid

of €18.4 million. The European Commission had two months from notification of the ruling (i.e. to July 23, 2019) to bring an appeal before the European Court of Justice. It did not file an appeal, so the ruling became final during 2019/2020. As a result, Real Madrid Club de Fútbol claimed reimbursement of undue revenue with the Madrid City Council. It requested reimbursement of the €20,330 thousand paid on October 28, 2016, plus late payment interest from that date to the date of the reimbursement. Accordingly, in the 2020/2021 season, the Club recognized in the income statement the income from the reimbursement and accrued late payment interest for a total of €23,145 thousand. It recognized the related receivable from the City Council under trade and other receivables in the balance sheet since the reimbursement has yet to be made.

During 2021/2022, the Club learned that the Commission, using a real estate expert, appraised the plots of land given to the Club by the City Council as compensation for the appraisal of the land of Las Tablas according to the 2011 agreement. The result of this new appraisal was similar to the one used in the agreement. After the Commission reopened the procedure for State aid, this appraisal was performed as provided for in the 2019 ruling of the EU General Court, which rendered the Commission's state aid decision null on the grounds that it had failed to appraise those plots when it made its decision. Following this assessment, the Commission will likely defend the legality of the decision annulled and issue a new decision on State aid for a similar amount to the one issued in 2016.

As a result of this situation, although the Club and its expert advisors disagree strongly with the appraisals of both the Las Tablas land and the plots and will therefore continue to file the appropriate appeals, the Club has recognized a provision amounting to €23,526 thousand (Note 8.2) to cover the potential risk of the receivable from the City Council not being paid, at least in the near future.

3. In December 2013, the European Commission notified Spain of its decision to commence proceedings regarding alleged State aid to different Spanish football clubs, including Real Madrid Club de Fútbol, for applying legislation to this type of entity that, for tax purposes, included a lower tax rate.

On July 4, 2016, the European Commission issued a decision in which it considered that by being taxed at a lower rate, the clubs benefited by an estimated €0 to €5 million per club, the precise amount of which the Spanish authorities needed to determine on a case-by-case basis. The Club considers that the application of this legislation did not constitute state aid, since the tax benefits come in addition to other prejudices; an analysis of the years contemplated by the European Commission regarding the Club's tax returns showed that the Club would have suffered economic damage amounting to €7 million had it been taxed as a limited liability company (sociedad anónima). This favorable economic assessment for the Club was also included in the European Commission's decision of July 4, 2016.

In addition, the previous year the Club was subject to a tax audit regarding the EU case by the Spanish taxation authorities. This procedure was resolved without requiring any material adjustment to the economic loss estimated by the Club.

In light of this situation, in FY 2016/2017, the Club commenced a procedure to claim reimbursement of the amount of economic loss caused by the discriminatory treatment of the legislation, plus late payment interest. It subsequently filed an appeal with the Supreme Court. On February 12, 2019, the Supreme Court issued its judgment, rejecting the appeal and considering unjustified the claim for reimbursement on the grounds that the liability suit was brought before there was any effective loss since the Commission's decision was not final as other clubs had contested it and since the procedure for recovering the State aid granted had just begun when the financial liability claim was lodged.

On February 26, 2019, the General Court of the European Union issued a judgment annulling the Commission's decision of July 4, 2016 classifying the tax regime of four Spanish professional football clubs as State aid. The Commission appealed this ruling before the Court of Justice, which on March 4, 2021 overturned the General Court's ruling.

On April 24, 2019, the taxation authorities ruled on the procedure for recovering State aid, rejecting the request for reimbursement presented by the Club. It considered that the reimbursement arises directly from the Commission decisions

annulled by the General Court, so the request should be denied. In addition, the recovery of the aid is not warranted since it would imply the return of the €7 million higher amount taxed relative to the general regime claimed by the Club and recognition of tax assets for an equal amount, which would go against the purpose pursued in the proceedings of State aid.

The Club filed an appeal against the decision by the Tax Agency that is pending a vote on and ruling by the National Court of Administrative Appeals.

Also, after the Commission's decision was considered final through a ruling by the Court of Justice of the European Union of March 4, 2021, the Club, on March 4, 2022, refiled its claim for reimbursement against the State, requesting compensation of €6,631 thousand (equivalent to the excess taxation borne by the Club from FY 1999/00 to FY 2014/15, compared to the tax it would have borne had it been taxed under the general regime) plus related interest.

4. On April 30, 2015, Royal Decree Law 5/2015 governing the joint operation of TV rights was approved. This Royal Decree became effective in the 2016/17 season, marking the first year that clubs no longer had individual rights.

Real Madrid filed an appeal against this agreement with the LFP in its Assembly held during the 2015/2016 season regarding the distribution of the year's TV broadcast rights, as it considered that since the Royal Decree had not yet entered into force during the season, the distribution of the capital gains generated by the overall management of the individual contracts made by the LFP was not yet applicable. It considered that, in accordance with the LFP bylaws for the distribution of the remaining joint LFP income (e.g. sponsorships, advertising, football pool revenue), the distribution should be made by attributing 60% of income to the 20 first division clubs (an even 3% each), and 40% for the 22 second division clubs (an even 1.82% each). Failing this, Real Madrid proposed an even distribution between the 42 LFP clubs.

A decision on the appeal was handed down on June 29, 2023, by the National Court of Administrative Appeals partially upholding the appeal. However, regarding the specific part related to the distribution referred to above, the Court stated that it was not the court of competent jurisdiction for ruling on this matter. However, an appeal for judicial review was filed and currently pending resolution by the Third Chamber of the Supreme Court.

14. FINANCIAL LIABILITIES

The breakdown of "Financial liabilities" is as follows:

2024/2025

€ THOUSAND	BANK BORROWINGS	OTHER FINANCIAL LIABILITIES	TOTAL
Non-current financial liabilities			
Financial liabilities at amortized cost			
Non-current loans and borrowings	74,904	1,156,140	1,231,044
Non-current payables	-	66,018	66,018
	74,904	**1,222,158**	**1,297,062**
Current financial liabilities			
Financial liabilities at amortized cost			
Current loans and borrowings	66,110	262,632	328,742
Trade and other payables (*)	-	399,122	399,122
	66,110	**661,754**	**727,864**
TOTAL FINANCIAL LIABILITIES	**141,014**	**1,883,912**	**2,024,926**

(*) Does not include public administrations.

2023/2024

€ THOUSAND	BANK BORROWINGS	OTHER FINANCIAL LIABILITIES	TOTAL
Non-current financial liabilities			
Financial liabilities at amortized cost			
Non-current loans and borrowings	37,644	1,209,947	1,247,591
Non-current payables	-	6,303	6,303
	37,644	**1,216,250**	**1,253,894**
Current financial liabilities			
Financial liabilities at amortized cost			
Current loans and borrowings	39,390	176,336	215,726
Trade and other payables (*)	-	362,417	362,417
	39,390	**538,753**	**578,143**
TOTAL FINANCIAL LIABILITIES	**77,034**	**1,755,003**	**1,832,037**

(*) Does not include public administrations.

14.1 NON-CURRENT LOANS AND BORROWINGS

The breakdown of "Non-current loans and borrowings" is as follows:

€ THOUSAND	6/30/2025	6/30/2024
Bank borrowings	**74,904**	**37,644**
Other financial liabilities		
Suppliers of fixed assets	31,643	38,610
Sports entities for player transfers	15,258	39,465
Other financial liabilities	1,109,239	1,131,872
	1,156,140	**1,209,947**
TOTAL NON-CURRENT LOANS AND BORROWINGS	**1,231,044**	**1,247,591**

- **Bank borrowings**

The Group has bank loans for a total nominal amount of €255,000 thousand, including loans granted in April 2022 and backed by Spain's official credit institute, Instituto de Crédito Oficial (ICO), as part of the facilities provided by the Government to mitigate the impact of COVID-19. The ICO loans originally matured in five years and had a one-year grace period, but both the grace period and the maturity were extended by one year in accordance with RDL 34/2020 of November 17.

The nominal amount of outstanding principal as at June 30, 2025, on the four loans stood at €75,000 thousand, with long-term maturities net of expenses of €74,904 thousand (June 30, 2024: €37,683 thousand and €37,644 thousand, respectively).

Meanwhile, the Group had credit facilities as at June 30, 2025 totaling €425,000 thousand, with no amounts drawn down and of which €365,000 thousand have long-term maturities (June 30, 2024: €395,000 thousand, with no amounts drawn down and of which €370,000 thousand had long-term maturities).

Virtually all ICO transactions are at fixed rates, while the rest are floating-rate borrowings indexed to the Euribor rate plus a market spread.

The repayment schedule for the nominal amounts of long- and short-term loans is as follows:

JUNE 30, 2025

€ THOUSAND	2025/2026	2026/2027	2027/2028	2028/2029	SUBSEQUENT YEARS	TOTAL
Bank borrowings	62,666	25,000	25,000	25,000	-	137,666

JUNE 30, 2024

€ THOUSAND	2024/2025	2025/2026	2026/2027	2027/2028	SUBSEQUENT YEARS	TOTAL
Bank borrowings	39,030	37,683	-	-	-	76,713

- **Other financial liabilities**

The breakdown of this item by year of maturity is as follows:

JUNE 30, 2025

€ THOUSAND	2026/2027	2027/2028	2028/2029	2029/2030	SUBSEQUENT YEARS	TOTAL
Suppliers of fixed assets	16,382	10,277	122	133	4,729	31,643
Sports entities for player transfers	14,829	429	-	-	-	15,258
Other financial liabilities	24,272	31,063	31,841	32,730	989,333	1,109,239
Total	**55,483**	**41,769**	**31,963**	**32,863**	**994,062**	**1,156,140**

JUNE 30, 2024

€ THOUSAND	2025/2026	2026/2027	2027/2028	2028/2029	SUBSEQUENT YEARS	TOTAL
Suppliers of fixed assets	29,220	3,247	1,209	122	4,812	38,610
Sports entities for player transfers	39,465	-	-	-	-	39,465
Other financial liabilities	23,381	24,051	30,929	31,788	1,021,723	1,131,872
Total	**92,066**	**27,298**	**32,138**	**31,910**	**1,026,535**	**1,209,947**

"Suppliers of fixed assets" includes, in addition to borrowings for purchases of property, plant and equipment, non-sports intangible assets, and investment properties, liabilities arising from managing intermediation services in player acquisitions or renewal, with long-term maturities. "Sports entities for player acquisitions" includes amounts owed on player acquisitions. These payables do not bear explicit interest. These amounts were measured at amortized cost, which includes the financial effect of discounting. Accrued finance expenses in the year ended June 30, 2025, amounted to €3,226 thousand (June 30, 2024: €5,664 thousand).

The balance of "Other financial liabilities" at June 30, 2025 includes unmatured long-term principal and interest on loans taken out to fund the stadium remodeling (see Note 6.1). These loans have mandatory debt service coverage ratios throughout the contractual term. All of the covenants were met as at June 30, 2025.

The breakdown of foreign currency balances included in this item as at June 30, 2025 (there were no foreign currency balances at June 30, 2024) is as follows:

JUNE 30, 2025

THOUSANDS	FOREIGN CURRENCY AMOUNT	EURO AMOUNT
US dollars (USD)	-	-
Pound sterling	13,289	15,534
		15,534

14.2 NON-CURRENT PAYABLES

The breakdown of this item by year of maturity is as follows:

JUNE 30, 2025

€ THOUSAND	2026/2027	2027/2028	2028/2029	2029/2030	SUBSEQUENT YEARS	TOTAL
Non-current payables	32,720	15,223	15,593	2,482	-	66,018

JUNE 30, 2024

€ THOUSAND	2025/2026	2026/2027	2027/2028	2028/2029	SUBSEQUENT YEARS	TOTAL
Non-current payables	1,333	4,970	-	-	-	6,303

This item includes payables for long-term sports personnel contract bonuses.

These amounts were measured at amortized cost, which includes the financial effect of discounting. Accrued finance expenses in the year ended June 30, 2025, amounted to €2,123).

14.3 CURRENT LOANS AND BORROWINGS

The breakdown of "Current loans and borrowings" is as follows:

€ THOUSAND	6/30/2025	6/30/2024
Bank borrowings	**66,110**	**39,390**
Other financial liabilities		
Suppliers of fixed assets	134,729	43,622
Sports entities for player transfers	76,746	81,559
Other financial liabilities	51,157	51,155
	262,632	**176,336**
TOTAL CURRENT LOANS AND BORROWINGS	**328,742**	**215,726**

- **Bank borrowings**

As explained in Note 14.1 above, the Group has four bank loans, of which €62,666 thousand of outstanding principal is payable in the short term, along with €66,110 thousand of interest and expenses.

Regarding the credit facilities described in Note 14.1, of the total €425,000 thousand, €60,000 thousand mature in the short term (June 30, 2024: €25,000 thousand of short-term credit facilities). At June 30, 2025 and 2024, there were no current loans and borrowings since no amounts had been drawn down.

- **Other financial liabilities**

Other financial liabilities include balances of the same items as in Note 14.1; i.e., payables to suppliers of fixed assets, payables to sports entities for player transfers, and loans from entities to fund stadium remodeling work.

In the year ended June 30, 2025, payments for agency work in player acquisition, renewal and transfer amounted to €30,507 thousand (2023/2024: €51,202 thousand).

There were no non-current loans and borrowings denominated in foreign currency as at June 30, 2025 and 2024.

14.4 TRADE AND OTHER PAYABLES

The breakdown of "Trade and other payables" is as follows:

€ THOUSAND	6/30/2025	6/30/2024
Trade payables	116,223	113,522
Marketing payables	52,747	18,688
Sports entities for services rendered	6,954	10,679
Sports personnel	208,485	205,188
Non-sports personnel	14,713	14,340
Total financial liabilities	**399,122**	**362,417**
Other payables to public administrations (Note 16)	31,066	43,141
Current tax liabilities	-	-
Total payables to public administrations	**31,066**	**43,141**
TOTAL TRADE AND OTHER PAYABLES	**430,188**	**405,558**

"Marketing payables" includes the amounts owed in respect of the unincorporated joint venture agreement.

The amount of "Sports personnel" relates primarily to remuneration payable to players and coaches of the first football team in

accordance with their contracts, the terms of which stipulate that these payments are made generally in July and December. Also included are performance bonuses for sports achievements which, under the terms of the contracts, are paid the following season. Therefore, at June 30, 2025, the second amount maturing for 2024/2025 was payable which, contractually, will be made in July of the 2025/2026. Also, as stipulated, payments of bonuses for sports achievements accrued in 2023/2024 were made in the year ended June 30, 2025. As at June 30, 2025, payment of bonuses for sports achievements accrued in 2024/2025 were pending.

The breakdown of "Sports personnel" is as follows:

€ THOUSAND	6/30/2025	6/30/2024
First football team players and coaching staff	206,445	201,315
Other football team players and coaching staff	-	100
Basketball players and coaching staff	2,040	3,773
Total payables to sports personnel	**208,485**	**205,188**

The breakdown of foreign currency balances is as follows:

JUNE 30, 2025

THOUSANDS	FOREIGN CURRENCY AMOUNT	EURO AMOUNT
US dollars (USD)	67	58
Pound sterling	13,192	15,420
Moroccan dirham	692	65
Total		**15,543**

JUNE 30, 2024

THOUSANDS	FOREIGN CURRENCY AMOUNT	EURO AMOUNT
US dollars (USD)	64	59
Pound sterling	3,566	4,213
Moroccan dirham	694	65
Total		**4,337**

14.5 WORKING CAPITAL

Working capital is the difference between current assets and current liabilities on the balance sheet.

Working capital at June 30, 2025 was a negative €357 million (June 30, 2024: €-188 million). The increase in the negative amount of working capital was due solely to the stadium remodeling project for the reduction in cash related to the project for payments of invoices for work completed and the higher balance of invoices payable in the short term.

The Group's working capital is inherently negative, in line with the intrinsic workings of the Group, the large operations-driven accounts payable (purchases and services, player signings, upfront collection of membership dues/season tickets), which are recurring; i.e. renewed annually.

Current recurring payables at June 30, 2025 amounted to €534 million (purchases and services: €207 million; signings/other personnel: €223 million; and accruals of €104 million), up from €520 million at June 30, 2024 (purchases and services: €186 million; signings/other personnel: €220 million; and accruals of €114 million). These recurring balances contribute the most negative effect on working capital at the end of each reporting period.

These balances will be rolled over, and therefore will reflect similar amounts at each year-end. Accruals are amounts collected before the end of the previous period or beginning of the current period, which generate an accrued liability that is canceled over the entire season and does not represent any payment.

The remaining current loans and borrowings as at June 30, 2025 related to amounts owed for investments, which will be paid comfortably with the cash flows generated by the Group each month from operating activities, plus available cash and undrawn facilities.

In sum, important here is that with the stadium remodeling completed and with growth in revenue from the reform now consolidated—as being confirmed at present—the Group expects to deliver considerable operating profit, with operating income outstripping operating expenses. Therefore, the Group will generate a considerable cash surplus after meeting the payment obligations arising from its operations to meet its investment payment commitments.

Considering the above and taking into account the current cash balance, cash projections made using conservative assumptions for the coming seasons, and the undrawn available credit lines at June 30, 2025, of €425 million, of which €365 million are long-term (Note 14.1), the Group should be able to meet its payment obligations comfortably. Therefore, there are no doubts surrounding potential liquidity risk or the Group's financial position due to working capital.

15. ACCRUALS IN ASSETS AND LIABILITIES

15.1 ACCRUALS IN ASSETS

Non-current and current accruals in assets:

€ THOUSAND	6/30/2025	6/30/2024
Non-current accruals	95,812	39,566
Current accruals	2,051	1,323

- **Non-current accruals**

These relate mainly to sports personnel contract bonuses accruing in the long term.

- **Current accruals**

These relate to a variety of prepaid expenses accrued during the next calendar year.

15.2 ACCRUALS IN LIABILITIES

Non-current and current accruals:

€ THOUSAND	6/30/2025	6/30/2024
Non-current accruals		
Non-current advances	1,250	1,250
	1,250	**1,250**
Current accruals		
Membership fees, ticket sales and stadium revenue	77,051	70,642
International and friendly matches	35	13
Broadcasting revenue	145	157
Marketing revenue	26,521	43,387
	103,752	**114,199**

- **Non-current advances**

This item relates primarily to discounted amounts received in advance and pending accrual arising on various marketing agreements.

- **Deferred income**

a) **Membership fees, ticket sales and stadium revenue**
This item comprises mainly membership fees and season tickets and income from stadium boxes received before June 30, 2025, which accrue in 2025/2026.

b) **Marketing revenue**
The balance of this item relates to the amounts received by the Group under business agreements entered into before June 30, 2025, which accrue in 2025/2026.

16. TAXATION

The Group availed itself of the special tax regime provided for in Chapter VII of Title VII of the CIT Law for tax periods beginning on or after July 1, 2022. The tax consolidation group is composed of Real Madrid Club de Fútbol (the parent) and Real Madrid Estadio S.L.U. (subsidiary) as stipulated in article 58.1 of that law. Companies in the tax group distribute the tax charge so that the parent settles the tax assets and liabilities arising with subsidiaries from taxable profits or tax losses contributed by them to the tax group.

Tax consolidation applies only to corporate income tax. All other taxes are settled individually by each company. Therefore, the consolidated financial statements may present amounts receivable from or payable to the taxation authorities at the end of each reporting period.

The breakdown of tax assets is as follows:

€ THOUSAND	6/30/2025	6/30/2024
VAT and similar taxes refundable	18	310
Recoverable taxes	39,853	47,208
Other receivables from public administrations (Note 8.2)	**39,871**	**47,518**
Withholdings and payments on account	3,144	4,792
Current tax assets (note 8.2)	**3,144**	**4,792**
Deferred tax assets for deductible temporary differences	12,042	18,460
Tax credits	23,706	27,218
Deferred tax assets (non-current assets)	**35,748**	**45,678**

The amount of tax receivable relates primarily to the refund from the tax authorities due, first, to the request by the Group for reimbursement of undue revenue after adapting the accounting treatment to the criteria of the last audit with assessments signed in agreement over the tax treatment of payments made by the Group for services rendered and invoiced to the Group by agents in purchases and sales of player transfer rights (Note 16.4.7), and second, the impacts of the decisions by Supreme Court and National Court in favor of the Club in the same connection with respect to the tax assessments, complementary tax returns and rectification requests explained in Notes 16.4.1 to 16.4.5.

The breakdown of tax liabilities is as follows:

€ THOUSAND	6/30/2025	6/30/2024
VAT payable	17,154	35,564
Personal income tax payable	9,848	4,036
Corporate income tax payable (non-resident income tax)	2	27
Local income tax payable	2,227	2,222
Social security payable	1,835	1,292
Other payables to public administrations (Note 14.4)	**31,066**	**43,141**
Income tax liabilities, current tax (Note 14.4)	**-**	**-**
Liabilities arising from taxable temporary differences	15,760	28,204
Deferred tax liabilities	**15,760**	**28,204**

The Group is current with all its tax obligations and has no past-due amounts with the taxation authorities, or agreements with the taxation authorities for deferring any payments.

Accordingly, all amounts recognized under tax liabilities at the end of the reporting period are the result of applying ordinary tax regulations:

- VAT payable: balance payable for transactions in the month of June, with settlement on July 30.
- Personal income tax payable: balance payable for transactions in the month of June, with settlement on July 20.
- Local income tax payable: expense accrued from January to June for local taxes, mainly regarding property and business taxes, with settlement in November.
- Social Security payable: balance payable for Social Security obligations in the month of June, with settlement on July 31.
- Liabilities arising from taxable temporary differences: the balance of corporate income tax to be settled by deferred payments, in accordance with tax deferral regulations (e.g. reinvestment of profits, accelerated depreciation).

16.1 CALCULATION OF INCOME TAX EXPENSE

On March 29, 2022, the Board of the Club, as parent, agreed to begin filing consolidated taxes in accordance with Chapter VI of Title VII of Law 27/2014, of November 27, on Corporate Income Tax.

It notified this to the tax authorities on April 26, 2022, and received authorization on July 8, 2022, applicable for tax periods beginning on or after July 1, 2022.

In accordance with article 58.1 of that law, the tax consolidation group is composed of entities resident in Spanish territory that meet the legal requirements and permanent establishments of non-resident entities in Spain that likewise meet the requirements. Real Madrid Group's tax consolidation group is composed of Real Madrid Club de Fútbol and Real Madrid Estadio S.L.U.

Companies in the tax group distribute the tax charge so that the parent settles the tax assets and liabilities arising with subsidiaries from taxable profits or tax losses contributed by them to the tax group.

In accordance with article 62.1.a of the CIT Law, the Group's taxable profit or tax loss is the aggregate of the individual taxable profits and tax losses of all Group companies. Therefore, if one entity generates taxable profit and another a tax loss, the two are offset for inclusion in the tax group's aggregate taxable profit or tax loss. The aggregated tax base is taxed at a 25% rate, although certain reductions to the tax base or deductions to the resulting tax payable may be applied.

Income tax expense includes taxes in the United States on income from Real Madrid's participation in the Soccer Champions Tour summer friendly matches tournament held there. As Real Madrid has a share in the tournament's profits, under U.S. tax regulations, Real Madrid has an interest in a permanent establishment in the United States even though it has no shareholding in the tournament's management company. Therefore, it must be pay tax on its income, less any expenses attributed to that establishment.

The reconciliation of net income and expense with taxable profit (tax loss) in the provision for income tax recognized at the end of each period is as follows:

2024/2025

€ THOUSAND	PROFIT/(LOSS) FOR THE YEAR	INCOME AND EXPENSE RECOGNIZED DIRECTLY IN EQUITY
Income and expense for the year		
Continuing operations	24,321	(144)
Income tax		
Continuing operations	7,033	(48)
Income and expense for the year before tax	**31,354**	**(192)**
Permanent differences	**14,403**	**-**
Temporary differences		
Originating in the current year	(11,403)	-
Originating in prior years	36,800	192
	25,397	**192**
Reduction of taxable profit arising from the recapitalization reserve	**(2,340)**	**-**
Utilization of tax losses	**(15,357)**	**-**
TAXABLE PROFIT (TAX LOSS) FOR THE YEAR	**53,457**	**-**

2023/2024

€ THOUSAND	PROFIT/(LOSS) FOR THE YEAR	INCOME AND EXPENSE RECOGNIZED DIRECTLY IN EQUITY
Income and expense for the year		
Continuing operations	15,628	(145)
Income tax		
Continuing operations	4,291	(48)
Income and expense for the year before tax	**19,919**	**(193)**
Permanent differences	**13,365**	**-**
Temporary differences		
Originating in the current year	21,483	-
Originating in prior years	10,419	193
	31,902	**193**
Reduction of taxable profit arising from the recapitalization reserve	**(2,476)**	**-**
		-
Utilization of tax losses	**(45,602)**	
		-
TAXABLE PROFIT (TAX LOSS) FOR THE YEAR	**17,108**	

The amount of permanent differences reflects the contributions made to Real Madrid Foundation to carry out its initiatives, which are recovered through tax credits for donations and, more importantly, to amortization on player disposals related to agency expenses capitalized as an increase in player acquisition costs, as described in Note 4.1.

Reconciliation of income tax expense/(income) recognized and the result of multiplying total recognized income and expenses by the applicable tax rate, differentiating the amount reported in the income statement, is as follows:

2024/2025

€ THOUSAND	PROFIT/(LOSS) FOR THE YEAR	INCOME AND EXPENSE RECOGNIZED DIRECTLY IN EQUITY
Income and expense for the year before tax	31,354	(192)
Permanent differences	14,403	-
	45,757	(192)
Effective tax rate	25%	25%
Theoretical tax charge	**11,439**	**(48)**
Tax credits	**(3,825)**	**-**
Adjustment for provision/settlement of income tax 2023/24	**3**	
Capitalization reserve	**(584)**	
EFFECTIVE INCOME TAX EXPENSE	**7,033**	**(48)**

2023/2024

€ THOUSAND	PROFIT/(LOSS) FOR THE YEAR	INCOME AND EXPENSE RECOGNIZED DIRECTLY IN EQUITY
Income and expense for the year before tax	19,919	(193)
Permanent differences	13,365	-
	33,284	(193)
Effective tax rate	25%	25%
Theoretical tax charge	**8,321**	**(48)**
Tax credits	**(3,482)**	**-**
Adjustment for provision/settlement of income tax 2022/23	**2**	**-**
Adjustment of non-tax-deductible expenses from temporary to permanent	**68**	**-**
Capitalization reserve	**(618)**	**-**
EFFECTIVE INCOME TAX EXPENSE	**4,291**	**(48)**

The breakdown of income tax expense/(income) is as follows:

2024/2025

€ THOUSAND	PROFIT/(LOSS) FOR THE YEAR	INCOME AND EXPENSE RECOGNIZED DIRECTLY IN EQUITY
Current tax	10,534	-
Utilization of tax losses	3,839	-
Tax credits and other relief	(1,126)	-
Changes in deferred tax assets for deductible temporary differences	6,047	-
Changes in deferred tax liabilities for taxable temporary differences	(12,396)	-
Grants, donations and bequests received		(48)
Double taxation deductions utilized in the year	27	-
Adjustment of prior year income tax	108	-
Total income tax expense/(refund)	**7,033**	**(48)**

2023/2024

€ THOUSAND	PROFIT/(LOSS) FOR THE YEAR	INCOME AND EXPENSE RECOGNIZED DIRECTLY IN EQUITY
Current tax	2,116	-
Utilization of tax losses	11,400	-
Tax credits and other relief	(1,982)	-
Changes in deferred tax assets for deductible temporary differences	893	-
Changes in deferred tax liabilities for taxable temporary differences	(8,801)	-
Grants, donations and bequests received	-	(48)
Double taxation deductions utilized in the year	665	-
Adjustment of prior year income tax	-	-
Total income tax expense/(refund)	**4,291**	**(48)**

The calculation of income tax recoverable or payable is as follows:

€ THOUSAND	6/30/2025	6/30/2024
Current tax	(10,534)	(2,116)
Withholdings	3,368	1,254
Payments on account	10,298	5,653
Current tax assets/(liabilities)	**3,132**	**4,791**

16.2 DEFERRED TAX ASSETS AND LIABILITIES

Reconciliation of the balances items comprising deferred tax assets and deferred tax liabilities at the beginning and end of the year:

2024/2025

€ THOUSAND		CHANGES REFLECTED IN			
	OPENING BALANCE	PROFIT/(LOSS) FOR THE YEAR	EQUITY	TRANSFERS AND OTHER	CLOSING BALANCE
Deferred tax assets					
Deferred tax assets for deductible temporary differences					
Provisions and other	18,039	(5,880)	-	(371)	11,788
Amortization and depreciation	421	(167)	-	-	254
Tax credits					
Tax credits and tax relief	5,679	1,126	-	645	7,450
Double taxation deductions	2,563	-	-	(2,563)	-
Carry forward of unused tax losses	18,976	(3,839)	-	1,119	16,256
	45,678	**(8,760)**	**-**	**(1,170)**	**35,748**
Deferred tax liabilities					
Liabilities for taxable temporary differences					
Deferred capital gains for reinvestment	2,318	(83)	-	-	2,235
Deferred capital gains due to deferred payment	23,613	(12,288)	-	-	11,325
Free depreciation	838	(25)	-	-	813
Grants (Note 6.4)	1,185	-	(48)		1,137
Other	250	-	-	-	250
	28,204	**(12,396)**	**(48)**	**(1,170)**	**15,760**

2023/2024

€ THOUSAND		CHANGES REFLECTED IN		
	OPENING BALANCE	PROFIT/(LOSS) FOR THE YEAR	EQUITY	CLOSING BALANCE
Deferred tax assets				
Deferred tax assets for deductible temporary differences				
Provisions and other	18,753	(714)	-	18,039
Amortization and depreciation	600	(179)	-	421
Tax credits				
Tax credits and tax relief	3,697	1,982	-	5,679
Double taxation deductions	633	1,930	-	2,563
Carry forward of unused tax losses	30,376	(11,400)	-	18,976
	54,059	**(8,381)**	**-**	**45,678**
Deferred tax liabilities				
Liabilities for taxable temporary differences				
Deferred capital gains for reinvestment	2,400	(82)	-	2,318
Deferred capital gains due to deferred payment	32,301	(8,688)	-	23,613
Free depreciation	869	(31)	-	838
Grants (Note 6.4)	1,233	-	(48)	1,185
Other	250	-	-	250
	37,053	**(8,801)**	**(48)**	**28,204**

- **Deferred tax assets - Unused tax credits**

The Group has double taxation deductions from withholdings on income from abroad. There are no time limits on the recovery of these withholdings through income tax, although they may not exceed 50% of the tax expense of each year.

Meanwhile, at the end of each reporting period, the Group recognizes tax credits and relief to the extent that it is probable that sufficient taxable profit will be available against which they can be utilized. There is no time limit on recognizing these credits, although there are certain limits depending on the type of credit:

- Credits for investment in R&D - Cannot exceed 25% of the tax expense adjusted for double taxation deductions.

- Credits for contributions to not-for-profit organizations - Subject to two limits. They may not exceed 15% of taxable profit and they may not exceed 25% of the tax expense adjusted for double taxation deductions.

Moreover, the minimum tax charge after applying all deductions may not be below 15% of the tax base:

Reconciliation of unused tax credits and deductions:

2024/2025

€ THOUSAND	OPENING BALANCE	ARISING DURING THE YEAR	TRANSFERS	DECREASES	CLOSING BALANCE
Double taxation deductions	**2,563**	**27**	**2,563**	**27**	**-**
Deductions for R&D expenditure	3,273	2,009	566	(1,109)	4,739
Tax credits for donations	2,406	1,816	79	(1,590)	2,711
Other tax credits and relief	**5,679**	**3,825**	**645**	**(2,699)**	**7,450**

2023/2024

€ THOUSAND	OPENING BALANCE	ARISING DURING THE YEAR	TRANSFERS	DECREASES	CLOSING BALANCE
Double taxation deductions	**633**	**2,585**	**10**	**(665)**	**2,563**
Deductions for R&D expenditure	2,064	2,110	-	(901)	3,273
Tax credits for donations	1,633	1,371	-	(598)	2,406
Other tax credits and relief	**3,697**	**3,481**	**-**	**(1,498)**	**5,679**

- **Deferred tax assets – Carry forward for unused tax losses**

As disclosed in Note 3.15, the Group recognizes the tax credit from the carry forward of tax losses to the extent that they may be offset with taxable profits obtained in future periods. At the beginning of the period, the Group had tax losses from previous years arising primarily from changes in deductible temporary differences for a cumulative amount of €75,902 thousand (tax credit of €18,976 thousand).

As at June 30, 2025, after it obtained taxable profit of €61,428 thousand before the reduction of the capitalization reserve, the tax group utilized €15,357 thousand of tax losses, reducing its tax credit by €3,839 thousand (June 30, 2024: taxable profit of €65,146 thousand and utilization of €45,602 thousand of tax losses, reducing the tax credit by €11,400 thousand).

There is no time limit on the carry forward of unused tax losses, although there is an annual limit. For the Group, following enactment of Law 7/2024 of December 2024, this limit is 25% of taxable profit before the reduction of the capitalization reserve.

- **Deferred tax liabilities – deferral for reinvestment**

These liabilities result from the tax treatment applicable to capital gains on certain transfers of players' federative rights, as well as on merchandising, internet, image and distribution rights transferred and on a portion of the land at the Club's former sporting complex, whose recognition in taxable profit has been deferred.

The aforementioned tax treatment consisted of applying the tax credit for reinvestment of extraordinary gains provided for in article 21 of the CIT Law (Law 43/1995, of December 27) to the gains generated from 1996/1997 to 2001/2002 on the disposal of certain assets, thereby acquiring a commitment to reinvest the full sale proceeds at some point within the period elapsing between the year prior to the sale and the three years following it. These gains were reinvested in player federative rights, other intangible assets and items of property, plant, and equipment, as well as financial assets.

The total amount of deferred income in accordance with article 21 of the CIT Law, the recognition method and the amounts already reinvested and pending reinvestment are set out in the following table (€ thousand):

JUNE 30, 2025

€ THOUSAND

FINANCIAL YEAR	ASSETS SOLD	DEFERRED GAIN	AMOUNT TO BE REINVESTED	AMOUNT REINVESTED	GAIN INCLUDED IN TAXABLE PROFIT	GAIN PENDING INCLUSION	LAST FY FOR INCLUDING GAINS	METHOD FOR INCLUDING GAIN
1996/1997	Player federative rights	8,084	11,239	11,239	8,084	-	2006/2007	Sevenths
1997/1998	Player federative rights	3,865	5,421	5,421	3,865	-	2007/2008	Sevenths
1998/1999	Player federative rights	14,135	17,159	17,159	14,135	-	2008/2009	Sevenths
1999/2000	Player federative rights	20,358	25,142	25,142	20,358	-	2009/2010	Sevenths
2000/2001	Other rights	115,995	117,197	117,197	115,995	-	2010/2011	Sevenths
2000/2001	Player federative rights	24,523	25,243	25,243	24,523	-	2010/2011	Sevenths
2001/2002	Land	203,443	204,142	204,142	203,443	-	2011/2012	Sevenths
2001/2002	Land	15,714	15,768	15,768	6,771	8,943	2011/2051	% of depreciation of reinvested assets
Total		**406,117**	**421,311**	**421,311**	**397,174**	**8,943**		
Deferred tax (25%)						**2,235**		

JUNE 30, 2024

€ THOUSAND

FINANCIAL YEAR	ASSETS SOLD	DEFERRED GAIN	AMOUNT TO BE REINVESTED	AMOUNT REINVESTED	GAIN INCLUDED IN TAXABLE PROFIT	GAIN PENDING INCLUSION	LAST FY FOR INCLUDING GAINS	METHOD FOR INCLUDING GAIN
1996/1997	Player federative rights	8,084	11,239	11,239	8,084	-	2006/2007	Sevenths
1997/1998	Player federative rights	3,865	5,421	5,421	3,865	-	2007/2008	Sevenths
1998/1999	Player federative rights	14,135	17,159	17,159	14,135	-	2008/2009	Sevenths
1999/2000	Player federative rights	20,358	25,142	25,142	20,358	-	2009/2010	Sevenths
2000/2001	Other rights	115,995	117,197	117,197	115,995	-	2010/2011	Sevenths
2000/2001	Player federative rights	24,523	25,243	25,243	24,523	-	2010/2011	Sevenths
2001/2002	Land	203,443	204,142	204,142	203,443	-	2011/2012	Sevenths
2001/2002	Land	15,714	15,768	15,768	6,441	9,273	2011/2051	% of depreciation of reinvested assets
Total		**406,117**	**421,311**	**421,311**	**396,844**	**9,273**		
Deferred tax (25%)						**2,318**		

These gains have been included in taxable profit as a general rule in seven equal parts from year three, except where the proceeds were reinvested in fixed assets, in which case the income is included in taxable profit in the tax periods in which the related assets are depreciated.

• **Deferred tax liabilities – Deferral of capital gains due to deferred payment**

In FY 2009/2010, and in accordance with article 19.4 of Legislative Royal Decree 4/2004 of the Consolidated Text of the Spanish Corporate Income Tax Law (TRLIS in Spanish), the Group decided to recognize, for tax purposes, the capital gains on asset transfers in transactions involving deferred payment based on the collections carried out

This gave rise to a deferred tax liability amounting to €4,458 thousand in the year ended June 30, 2025 (2023/2024: €1,995 thousand) related to the deferred capital gains during the year, and the cancellation of €16,340 thousand from collection of deferred capital gains from the previous year (2023/2024: €10,683 thousand).

• **Deferred tax liabilities - free depreciation**

Pursuant to Royal Decree Law 13/2010, of December 3, on measures designed to boost competitiveness, effective for financial years beginning on or after January 1, 2011, the Club availed for the first time in FY 2011/2012 the free depreciation of its investments in the new property, plant and equipment and investment properties covered under this law, and is not required to maintain employment, which was a condition in the previous regulation. Free depreciation generated a deferred tax amounting to €1,533 thousand in 2011/2012.

In the period from July 1, 2024 to June 30, 2025, a total of €25 thousand was canceled (2023/2024: €31 thousand) related to the accounting depreciation of the assets to which free depreciation was applied.

16.3 CAPITALIZATION RESERVE

In accordance with Article 25 of Corporate Income Tax (CIT) Law 27/2014, of November 27, as amended partially by Royal Decree-Law 4/2024, of June 26), taxpayers that pay tax at the rate provided in sections 1 to 6 of Article 29 of the CIT will be eligible for a reduction in taxable profit of 15% of the increase in capital (10% previously) provided the following conditions are met:

a) The increase in capital and reserves must be maintained for a period of three years (five years until last year) from the end of the tax period to which the reduction relates, except in the event of tax losses.

b) The amount of the reduction must be appropriated to a reserve, which must appear on the face of the balance sheet as a separate heading and will be non-distributable for the aforementioned time period.

In no circumstance may the reduction in taxable profit exceed 10% of taxable profit for the tax period prior to the reduction and the integration referred to in section 12 of article 11 of the CIT and prior to the offset of tax losses.

To comply with its requirements, Group companies set aside the related reserve within the term provided for in company law (see Note 11).

On December 21, 2024, Law 7/2024 of December 20 was published, further amending art. 25 of Law 27/2014 for tax periods beginning on or after January 1, 2025. Accordingly, it will apply to the Group as of 2025/2026.

16.4 OTHER INFORMATION

1. Tax assessments 2010-2014

In January 2016, tax assessments were signed under protest relating to personal income tax, non-resident income tax, value added tax and corporate income tax for 2010 to 2014. The Club was notified in May 2016 of the resolutions regarding final settlement, for €10.8 million. In all cases, the adjustments made were based on discrepancies regarding the tax treatment of payments made by the Club for services provided and invoiced to the Club by agents. The taxation authorities considered that these payments should be classified as players' employment income, when it was proven that they acted as the player's agent. The Club disagreed with these

adjustments and, accordingly, file appeals with the Central Administrative Economic Court (TEAC). However, in keeping with criteria of maximum prudence, the Club recognized the entire expense and paid the amount of the assessments in 2015/2016.

In July 2016, the Club was notified of the commencement of penalty proceedings regarding the 2010-2014 assessments, even those the inspections did not uncover any indications that the Club had committed an offense. The proceedings concluded agreements of a penalty of €6.4 million. The Club filed appeals with the TEAC. Nevertheless, in keeping with criteria of maximum prudence the Club paid the entire amount of those assessments in 2016/17, although this did not affect accounting profit that year since it was recognized against provisions already set aside at the end of 2015/16.

The TEAC rejected all the claims. The Club filed appeals against the rulings before the National Court of Administrative Appeals, with the courting ruling against the appeal regarding VAT. The Club filed an administrative appeal with the Supreme Court against the ruling issued by the National High Court. This appeal was upheld, meaning that the appeals relating to personal income tax, non-resident income tax and corporate income tax pending resolution before the National High Court were also upheld.

After the annulment of the assessments contested (settlement and penalties) and in execution of the judgment, the taxation authorities have been carrying out the related refunds of amounts unduly paid. With collection of €11.6 million in the first half of the reporting period, of which €9 million related to the settlement and penalties annulled and €2.7 to late-payment interests, all rulings issued related to these appeals have been executed.

2. Complementary tax self-assessments in 2016 of personal income tax withholding, non-resident income tax and VAT for 2015

As a result of the adjustment by the Spanish taxation authorities, the Club decided, in keeping with the principle of prudence and to avoid penalties, to make additional self-assessments on payments to agents not included in the inspection period to become compliant in accordance with the administrative criteria set out in the inspection proceedings for 2010 to 2014. Specifically, it filed additional self-assessments in July and October 2016 for personal income tax, VAT and non-resident income tax for 2015 for a total of €6.1 million. As explained, the Club disagreed with the criterion used by the taxation authorities, challenging in 2016 the previous complementary self-assessments and claiming reimbursement of the amount unduly paid.

All the requests for rectification of self-assessments of personal income tax and non-resident income tax, and part the self-assessments of VAT, for a total of €5.7 million, were absorbed under the framework of the 2014-January 2016 inspection discussed below and rejected through the settlement agreements of the inspection, thereby ending the proceedings.

Regarding requests for rectification of VAT self-assessments not included in the scope of the audit, for €0.4 million, after rejection by the taxation authorities they were appealed before the TEAC, although this court also ruled against in January 2020. The Club filed administrative appeals with the National High Court in May 2020, which were dismissed in June 2021. The Club filed an appeal for an overturn with the Supreme Court before the legal deadline. During the year, it received a decision in its favor, annulling the rulings contested and ordering reimbursement of the amounts paid plus late payment interest.

In keeping with criteria of maximum prudence, all these complementary self-assessments, although contested, were recognized as a cost for the Club in the related years and adjusted in FY 2022/2023.

Last year, it was reimbursed a further €0.5 million, leaving an outstanding balance of €0.3 million.

3. Tax assessments 2014-January 2016

On July 22, 2016, the Club was notified of the commencement of a tax audit of corporate income tax for the tax period from July 1, 2014 to June 30, 2015 on the enforcement procedure for state aid in relation to the European Commission's decision of July 4, 2016 regarding alleged state aid granted to four Spanish football clubs, including Real Madrid Club de Fútbol,

for applying legislation to this type of entity, which includes a lower tax rate (see Note 13.4.3).

On October 25, 2016, the taxation authorities commenced an audit—the scope of which was subsequently expanded—of the following taxes:

ITEM	PERIOD
Income tax	7/2014 to 6/2015
Value added tax	7/2014 to 6/2015
Withholding/payments on account of personal income tax	2015 and January 2016
Withholdings on account of non-resident tax	2015 and January 2016

The aforementioned tax audits of income tax for the 7/1/2014 to 6/30/2015 period regarding the enforcement of state aid were replaced by the new tax audits.

In January 2017, tax assessments were levied on the Club, which it signed under protest, for the taxes and periods indicated, as it did with the previous tax audits for the 2010-2014 period due to discrepancies with the taxation authorities on the tax treatment of payments made by the Club for services rendered and invoiced to it by agents. After the end of 2016/2017, settlement agreements in relation to personal income tax, VAR and non-resident income tax were issued, giving rise to a total tax debt of €1.2 million. These agreements also denied the refund sought by the Club of the amounts paid through the complementary self-assessments filed in 2016, for a total amount of €5.7 million.

These settlement agreements did not have any impact on 2016/2017 accounting profit, since they were charged to provisions already set aside at the end of the 2015/2016.

Appeals were filed against this settlement agreements with the TEAC, which rejected the claims. In response to the resolutions received, the Club filed an administrative appeal before the National Court of Administrative Appeals. The Club received rulings rejecting its appeals regarding the VAT settlement and requests for reimbursement of that tax. Administrative appeals were filed against this rulings with the Supreme Court. In 2022/2023, decisions were issued by the Supreme Court upholding the claims, annulling the debts and ordering their reimbursement plus late payment interest. In the wake of the Supreme Court's decisions, the National Court of Administrative Appeal issued a decision upholding the rest of the appeals. The taxation authorities are enforcing the rulings and reimbursing the amounts paid by the Club plus the related interest.

On April 24, 2019, the taxation authorities ruled on the procedure for recovering State Aid and issued a resolution on the final settlement of 2014/15 income tax, resulting in a refund of €193 thousand to the Club. This settlement agreement is currently under appeal with the National Court of Administrative Appeals pending a decision.

4. Complementary tax self-assessments filed in January 2017 for personal income tax withholding for 2016 and VAT for 2015/16

In keeping with the same principle of prudence explained in previous sections and to avoid additional penalties, the Club filed complementary self-assessments on payments to agents to adjust the tax situation regarding payments to agents not included in the tax inspection. This adjustment was made based on the administrative criteria set out in the inspection proceedings of 2011 to 2014 and 2015 to 2016. Specifically, it filed additional self-assessments in March 2017 for a total of €1 million. As the Club did not agree with the criterion used by the taxation authorities in the settlements made, it challenged in 2017 the previous complementary self-assessments and claiming reimbursement of the amount unduly paid.

The requests for rectification of complementary self-assessments and reimbursement were rejected, first by the taxation authorities and then by the TEAC. The dismissive rulings were appealed before the High Court, which rejected the appeal concerning VAT. Having subsequently filed an administrative appeal, the Supreme Court upheld the appeal lodged by the Club, ordering reimbursement of the unduly paid amount. The High Court also upheld the appeal related to personal income tax.

The complementary self-assessments, although contested, were recognized as a cost for the Club in the related years, and adjusted in 2022/2023 based on those decisions.

5. Tax self-assessments filed subsequently for personal income tax withholding and VAT to December 2018

Using the same criteria as before, for tax self-assessments not filed before the tax inspections for 2010 to 2014 and 2015 to 2016 had concluded, the Club followed the administrative criterion set out in the settlement agreements. However, given the dispute with the administrative criterion, it requested rectification to the assessments and reimbursement of amounts paid. Specifically, for the tax self-assessments up to December 2018 for which the request for rectification was submitted in 2019, the Club had paid, and was therefore claiming reimbursement of, a total amount of €33.4 million.

Regarding the resolution of these claims, €18 million was included in the new tax inspection commenced in July 2019, as explained below. As at the date of authorization for issue of these financial statements, the National Court of Administrative Appeals had yet to issue a ruling on the remaining appeals, for €15.4 million.

Again, in keeping with criteria of maximum prudence, all these complementary self-assessments, contested, were recognized as a cost for the Club in the related years and adjusted in the previous year.

6. Tax assessments July 2015 - June 2018

On July 12, 2019, the Club was notified of the commencement of inspections for a number of taxes and tax periods. On September 6, 2019, it was notified of a change in the extension of certain tax periods. Accordingly, the taxes and taxes periods under inspection are:

ITEM	PERIOD
Income tax	7/2015 to 6/2018
Value added tax	7/2015 to 6/2018
Withholding/payments on account of investment income	7/2015 to 6/2018
Withholding/payments on account of personal income tax	2/2016 to 6/2018
Withholdings on account of non-resident tax	2/2016 to 6/2018

The inspection concluded in December 2021 with signing of the assessments relating to all taxes in agreement, for which the Club paid €2.2 million.

The discrepancy and adjustment related exclusively to payments to agents, over which the Administration's criteria has varied throughout the tax inspection. According to the findings of the inspection, the tax situation regarding the rest of the operations carried out by the Club was considered correct.

The Club, which always bases its actions on the principle of tax legality, while awaiting the outcome of the ongoing legal proceedings signed these assessments in agreement to obtain equality and legal certainty, eliminating the litigation expected with taxation authorities regarding the tax treatment afforded to payments to agents.

7. Self-assessments and request for undue revenue submitted July 2022 regarding VAT, personal income tax and non-resident tax from July 2018 to December 2021

After signing these assessments as explained previously and in line with the same criteria used for the audit underlying those assessments, the Club, in keeping with prevailing legal procedure, adjusted the input VAT from July 2018 to December 2021 in July 2022. A tax audit commenced for those periods and taxes, which concluded with the signing of an uncontested assessment and acceptance by the Club of the adjustment made.

The Club also requested rectification of the personal income tax and non-resident income tax self-assessments filed in relation to the same periods. The taxation authorities rejected the requests for rectification regarding personal income tax and non-resident income tax, prompting the Club in April 2023 to file an appeal with the TEAC. As at the date of authorization for issue of these consolidated financial statements, a ruling has yet to be issued.

8. Other information

In 2023/2024, the Club, after receiving the amounts from enforcement of the Supreme Court's and National High Court's decisions described in previous sections, received notifications of the commencement of tax audits for the same items and periods inspected and whose settlements and penalties were annulled by those decisions, in application of the jurisprudential doctrine of double effect.

In relation to these audit procedures, settlement agreements have been received, resulting in additional tax liabilities which, as of the date of authorization for issue of these financial statements, amount to €13.1 million. Appeals against these agreements have been filed with the TEAC and are currently being reviewed. Enforcement of payment of the debt has been suspended until the related guarantee is provided.

The Group's tax advisors considered that there are sufficiently strong grounds to challenge the validity of those tax assessments.

Meanwhile, in July 2024, notification was received on the commencement of inspections regarding personal income tax withholding on contract terminations (for the periods from July 2018 to December 2019) and VAT for player transfers (for the periods from July 2018 to August 2023).

Under prevailing tax regulations, tax returns may not be considered final until they have either been inspected by the tax authorities or until the four-year inspection period has expired. Therefore, tax returns for which the four-year inspection period has not expired are open to inspection by the taxation authorities, under the terms outlined in articles 66 to 70 of the General Tax Law.

The Group considers that there are no material contingencies that could arise from current or future tax inspections.

16.5 MINIMUM TOP-UP TAX - GLOBE RULES (BEPS - PILLAR TWO)

The Group is subject to the top-up tax imposed by Law 7/2024 as its consolidated revenue exceeds €750 million.

The top-up tax is a minimum tax in jurisdictions where the effective tax rate, calculated in accordance with the GloBE rules, is below a 15% minimum rate. The effective tax rates, calculated using those tax rules, is above 15% in all of the jurisdictions the Group operates.

17. REVENUE AND EXPENSES

17.1 OPERATING INCOME

The accompanying income statement includes the following items:

€ THOUSAND	6/30/2025	6/30/2024
Revenue	1,158,908	1,043,640
Self-constructed assets	272	9,437
Other operating income	2,114	12,052
Grants (Note 12)	192	193
Provision surpluses (Notes 13.1 and 13.2)	23,201	7,890
Total operating income before disposals	**1,184,687**	**1,073,212**
Gains/(losses) on disposal and other (Note 17.5)	**32,457**	**27,792**
TOTAL OPERATING INCOME	**1,217,144**	**1,101,004**

"Revenue" includes the amount of subsidies from National the Professional Football League and the Spanish Professional Football Association for maintenance of stadium access points and the share of football pool revenue, amounting to €531 thousand (June 30, 2024: €234 thousand).

- **Revenue**

The breakdown of the Group's revenue from continuing operations by business category and geographical market is as follows:

€ THOUSAND	6/30/2025	6/30/2024
By operating segment:		
La Liga revenue	92,676	77,949
King's Cup (Copa de S.M. El Rey) revenue	14,722	23
Spanish Super Cup revenue	7,076	7,593
Champions League revenue	151,533	160,895
European Super Cup revenue	5,120	-
Intercontinental Cup revenue	4,808	
FIFA Club World Cup revenue	42,418	-
Revenue from friendly matches	14,928	11,648
Basketball competitions revenue	8,885	10,353
Other revenue	29,591	82,992
Total box office and competition revenue	**371,757**	**351,453**
Total revenue from membership fees and season tickets	**64,748**	**60,165**
Tour and RM Experience	52,661	30,277
Events and concerts	15,424	8,546
Food, beverages and catering	10,294	6,649
Other	775	665
Total stadium revenue	**79,154**	**46,137**
Total broadcasting revenue	**162,085**	**179,257**
Revenue from store sales	98,439	81,939
Revenue from sponsorships and licenses	307,426	264,548
Advertising revenue	1,095	1,047
Other revenue	74,204	59,094
Total commercialization and advertising revenue	**481,164**	**406,628**
TOTAL REVENUE	**1,158,908**	**1,043,640**

In 2024/2025, all business lines—except broadcasting—showed significant growth. This includes both revenue streams directly linked to sporting activities (e.g., tickets and competitions) and those related to commercial operations, as well as income from facility operations as the stadium remodeling nears completion.

€ THOUSAND	6/30/2025	6/30/2024
By geographical market:		
Spain	640,971	595,360
Other	517,937	448,280
TOTAL	**1,158,908**	**1,043,640**

Meanwhile, the breakdown of the Group's revenue by the timing of recognition is as follows:

JUNE 30, 2025

€ THOUSAND	UNCONDITIONAL RIGHT	FOR TRANSFER OF CONTROL	TOTAL
By timing of revenue recognition:			
Membership fees, ticket sales and stadium revenue	162,870	163,222	326,092
International and friendly matches	173,860	15,706	189,566
Broadcasting revenue	-	162,086	162,086
Marketing revenue	129,638	351,526	481,164
TOTAL	**466,368**	**692,540**	**1,158,908**

JUNE 30, 2024

€ THOUSAND	UNCONDITIONAL RIGHT	FOR TRANSFER OF CONTROL	TOTAL
By timing of revenue recognition:			
Membership fees, ticket sales and stadium revenue	113,009	193,961	306,970
International and friendly matches	138,004	12,780	150,784
Broadcasting revenue	-	179,257	179,257
Marketing revenue	104,809	301,820	406,629
TOTAL	**355,822**	**687,818**	**1,043,640**

- **Contract balances**

The disclosure of balances receivable from contracts with customers by timing of revenue recognition is as follows:

JUNE 30, 2025

€ THOUSAND	UNCONDITIONAL RIGHT	FOR TRANSFER OF CONTROL	TOTAL
By timing of revenue recognition:			
Non-current contract assets	**-**	**-**	**-**
Trade receivables (Note 8.2)	40,314	108,978	149,292
Other receivables from sports entities (Note 8.2)	60	19,040	19,100
Current contract assets	**40,374**	**128,018**	**169,392**
TOTAL CONTRACT ASSETS	**40,374**	**128,018**	**169,392**

JUNE 30, 2024

€ THOUSAND	UNCONDITIONAL RIGHT	FOR TRANSFER OF CONTROL	TOTAL
By timing of revenue recognition:			
Non-current contract assets	**-**	**15,259**	**15,259**
Trade receivables (Note 8.2)	48,396	128,098	176,494
Other receivables from sports entities (Note 8.2)	331	14,297	14,628
Current contract assets	**48,727**	**142,395**	**191,122**
TOTAL CONTRACT ASSETS	**48,727**	**157,654**	**206,381**

The movement during the year in contract liabilities and the offsetting entries recognized in revenue:

2024/2025

€ THOUSAND	OPENING BALANCE	BILLING/ COLLECTIONS	RECOGNITION IN REVENUE	TRANSFERS	CLOSING BALANCE
Non-current accruals					
Non-current advances	1,250	-	-	-	1,250
	1,250	**-**	**-**	**-**	**1,250**
Current accruals					
Membership fees, ticket sales and stadium revenue	70,642	146,720	(140,211)	(100)	77,051
International and friendly matches	13	35	-	(13)	35
Broadcasting revenue	157	160,810	(156,616)	(4,206)	145
Marketing revenue	43,387	205,381	(222,347)	100	26,521
	114,199	**512,946**	**(519,174)**	**(4,219)**	**103,752**

2023/2024

€ THOUSAND	OPENING BALANCE	BILLING/ COLLECTIONS	RECOGNITION IN REVENUE	TRANSFERS	CLOSING BALANCE
Non-current accruals					
Non-current advances	24,137	-	-	(22,887)	1,250
	24,137	**-**	**-**	**(22,887)**	**1,250**
Current accruals					
Membership fees, ticket sales and stadium revenue	67,980	126,545	(123,388)	(495)	70,642
International and friendly matches	-	75,298	(75,285)	-	13
Broadcasting revenue	230	159,968	(160,041)	-	157
Marketing revenue	30,866	169,645	(178,756)	21,632	43,387
	99,076	**531,456**	**(537,470)**	**21,137**	**114,199**

- **Agreements in force**

1. Real Madrid Club de Fútbol and German multinational enterprise Adidas had maintained a strategic alliance for over 30 years through a successful sponsorship arrangement. During this time, through successive renewals, the agreement has gradually improved in terms of guaranteed minimums and percentage of royalties. The latest extension was signed in May 2019, effective in full as of July 1, 2020 and ending on June 30, 2028. It represented a marked increase in the Club's sponsorship revenue.

2. On June 27, 2020, with economic effect from July 1, 2020, the Club entered into an agreement with Legends Hospitality España, S.L.U. for management of the exploitation rights for sports material and licensed products in physical stores and on-line sales. This agreement is designed to drive business in the retail area and reinforce its management control mechanisms. The contract was novated in 2022/2023 to extend the term until June 30, 2034.

In May 2023, with economic effects as of July 1, 2023, two new contracts were entered into for operation of the Santiago Bernabéu stadium bars and management of merchandising product licenses, expiring on June 30, 2035, and June 30, 2034, respectively.

Legends manages the activities, acting in its own name and on behalf of the Club in accordance with the Club's instructions and guidelines. The Club recognizes the revenue, cost of sales and inventories arising from the activities, which do not have a significant impact on the net profit from the agreement.

3. In the 2012/2013 season, a sponsorship agreement was signed with Emirates Spain Branch for the 2013/2014, 2014/2015, 2015/2016, 2016/2017 and 2017/2018 seasons entailing higher income than the previous sponsor's contract. This agreement was renewed during the 2016/2017 season and extended to the end of the 2021/2022 season, with an increase in guaranteed income. This agreement was renewed during the 2021/2022 season and extended to the end of the 2025/2026 season.

This locks in revenue for the Club over the coming years from the two main sponsors of its jerseys.

4. An agreement became effective in 2017/2018 (see Note 3.20) subject to the growth and development of sponsorship revenue for an initial period of four years, with possibility of extension by one or two year in accordance with the level of achievement of certain economic terms. The agreement covers all territories and sponsorship categories, except sports and commercial sponsorships of jerseys and stadiums and training fields naming rights.

This agreement was renegotiated in FY 2019/2020, resulting in an increase in income and an extension of the potential years of validity to up to nine years (FY 2025/2026). However, thanks to the positive performance of the sponsorship business, the contract ended in 2024/2025.

5. In the 2016/2017 season, once the individual contracts entered into by the clubs concluded, Royal Decree Law 5/2015, of April 30, governing joint exploitation of audiovisual rights of professional football competitions (first and second Spanish football divisions, the King's Cup and the Spanish Super Cup) became fully effective.

The legislation establishes a joint revenue-sharing scheme based on category (first or second division), performance and social acceptance, measured by membership fees and average box office revenue, and the share of the contribution to the generation of income from the marketing of TV broadcasts.

It also establishes a mandatory contribution system (expenditure in accordance with income obtained) to sustain other football categories and associations, and to promote sports in general.

6. During the 2021/2022 season, an agreement was entered into between Delantero Inversiones y Operaciones S.L.U., a subsidiary of US investment firm Sixth Street, and Legends, a premium experiences and venue management company, to organize sporting and other types of major events. The agreement includes the transfer of management of the operation of certain new businesses of the Santiago Bernabéu stadium, based on forecasts for new cash flow generation, with the objective of elevating the Santiago Bernabéu stadium as a unique venue and a worldwide benchmark for leisure and entertainment.

This long-term partnership provides the Group up to a maximum of €327 million, which it can invested across any of its activities. Through this alliance, Sixth Street acquires the right to participate in the operation of certain new businesses of the Santiago Bernabéu stadium for 20 years, while Legends contributes its experience and knowledge in the operation of large stadiums and leisure centers, allowing for the optimization of the management of the Santiago Bernabéu stadium.

The transformation of the Santiago Bernabéu stadium marks turning point in the history of Real Club de Fútbol. This alliance with Sixth Street and Legends, world leaders in their respective disciplines, is fundamental in providing unique experiences in a stadium where multiple events can be hosted throughout the year. This agreement strengthens the Group's goal of continuing to significantly increase the stadium's revenues from both sporting and other types of events.

7. In December 2023, the Group signed a global technology sponsorship agreement with HP Inc. for the 2023/2024, 2024/2025, 2025/2026 and 2026/2027 seasons, and a renewal option for the 2027/2028 season.

The deal provides an additional source of revenue and makes HP the first brand to appear on Real Madrid's uniform sleeves, for both its men's and women's teams.

17.2 RAW MATERIALS AND OTHER CONSUMABLES USED

The detail of consumption of raw materials and other consumables during the year is as follows:

€ THOUSAND	6/30/2025	6/30/2024
Sports materials used		
Purchases	6,337	7,636
Change in inventories	1,275	(821)
Other consumables used		
Purchases	83,726	66,952
Change in inventories	(3,641)	(8,049)
Total cost of sales	**87,697**	**65,718**

The breakdown of purchases by geographical market is as follows:

€ THOUSAND	6/30/2025	6/30/2024
Spain	87,557	67,514
Intra-EU	2,506	7,074
Total	**90,063**	**74,588**

17.3 PERSONNEL EXPENSES

The breakdown of "Personnel expenses" is as follows:

2024/2025

€ THOUSAND	SALARIES AND WAGES	IMAGE RIGHTS	TERMINATION BENEFITS/ DEPARTURES	GROUP BONUSES	SOCIAL SECURITY	OTHER EMPLOYEE BENEFITS EXPENSE	TOTAL PERSONNEL EXPENSES
First football team players and coaching staff	333,651	-	-	13,150	1,803	1,296	349,900
First football team staff who cannot be registered	9,158	-	-	850	309	-	10,317
Second football team players and coaching staff	4,588	-	-	-	563	-	5,151
Lower division football team players and coaching staff	11,945	-	-	78	1,869	2,513	16,405
Players and women's team coaching staff	5,200	-	121	52	989	651	7,013
Non-sports personnel	74,605	-	1,671	309	9,641	1,209	87,435
Total football	**439,147**	**-**	**1,792**	**14,439**	**15,174**	**5,669**	**476,221**
Basketball players and coaching staff	31,357	-	-	2,040	714	1,245	35,356
Non-sports basketball personnel	2,211	-	-	120	322	-	2,653
Total basketball	**33,568**	**-**	**-**	**2,160**	**1,036**	**1,245**	**38,009**
TOTAL PERSONNEL EXPENSES	**472,715**	**-**	**1,792**	**16,599**	**16,210**	**6,914**	**514,230**

The breakdown of personnel expenses in the preceding table between sports staff who can be registered in the LNFP (1st and 2nd division A players and coaches) and those who cannot (other football and basketball divisions) is as follows:

€ THOUSAND	SALARIES AND WAGES	IMAGE RIGHTS	TERMINATION BENEFITS/ DEPARTURES	GROUP BONUSES	SOCIAL SECURITY	OTHER EMPLOYEE BENEFITS EXPENSE	TOTAL PERSONNEL EXPENSES
Staff who can be registered in the LNFP	333,651	-	-	13,150	1,803	1,296	349,900
Staff who cannot be registered in the LNFP	62,248	-	121	3,020	4,444	4,409	74,242
Total sports personnel expenses	**395,899**	**-**	**121**	**16,170**	**6,247**	**5,705**	**424,142**

2023/2024

€ THOUSAND	SALARIES AND WAGES	IMAGE RIGHTS	TERMINATION BENEFITS/ RETIREMENTS AND DISPOSALS	GROUP BONUSES	SOCIAL SECURITY	OTHER EMPLOYEE BENEFITS EXPENSE	TOTAL PERSONNEL EXPENSES
First football team players and coaching staff	320,537	-	-	35,129	341	1,174	357,181
First football team staff who cannot be registered	2,613	-	-	1,438	234	-	4,285
Second football team players and coaching staff	5,524	-	-	-	478	-	6,002
Lower division football team players and coaching staff	10,833	-	2	100	1,881	2,239	15,055
Players and women's team coaching staff	3,788	-	-	-	887	596	5,271
Non-sports personnel	70,449	-	383	600	8,311	1,302	81,045
Total football	**413,744**	**-**	**385**	**37,267**	**12,132**	**5,311**	**468,839**
Basketball players and coaching staff	28,530	-	-	3,400	571	1,199	33,700
Non-sports basketball personnel	1,988	-	-	200	247	-	2,435
Total basketball	**30,518**	**-**	**-**	**3,600**	**818**	**1,199**	**36,135**
TOTAL PERSONNEL EXPENSES	**444,262**	**-**	**385**	**40,867**	**12,950**	**6,510**	**504,974**

The breakdown of personnel expenses in the preceding table between sports staff who can be registered in the LNFP (1st and 2nd division A players and coaches) and those who cannot (other football and basketball divisions) is as follows:

€ THOUSAND	SALARIES AND WAGES	IMAGE RIGHTS	TERMINATION BENEFITS/ RETIREMENTS AND DISPOSALS	GROUP BONUSES	SOCIAL SECURITY	OTHER EMPLOYEE BENEFITS EXPENSE	TOTAL PERSONNEL EXPENSES
Staff who can be registered in the LNFP	320,537	-	-	35,129	341	1,174	357,181
Staff who cannot be registered in the LNFP	51,288	-	2	4,938	4,051	4,034	64,313
Total sports personnel expenses	**371,825**	**-**	**2**	**40,067**	**4,392**	**5,208**	**421,494**

The following table presents the total sports personnel expenses based on the budget preparation guidelines of the clubs, as well as the LNFP's public limited sports companies (Sociedades anónimas deportivas or "SADS").

2024/2025

€ THOUSAND	PERSONNEL EXPENSES	DEPRECIATION AND AMORTIZATION	IMPAIRMENT AND LOSSES	(INCOME)/ EXPENSE FROM TRANSFERS	TOTAL
Staff who can be registered in the LNFP	349,900	114,649	502	232	465,283
Staff who cannot be registered in the LNFP	74,258	1,192	257	712	76,419
Total sports personnel expenses	**424,158**	**115,841**	**759**	**944**	**541,702**

2023/2024

€ THOUSAND	PERSONNEL EXPENSES	DEPRECIATION AND AMORTIZATION	IMPAIRMENT AND LOSSES	(INCOME)/ EXPENSE FROM TRANSFERS	TOTAL
Staff who can be registered in the LNFP	357,181	113,568	6,832	4,375	481,956
Staff who cannot be registered in the LNFP	64,313	3,860	8,252	2,118	78,543
Total sports personnel expenses	**421,494**	**117,428**	**15,084**	**6,493**	**560,499**

17.4 OTHER OPERATING EXPENSES

- **Losses on, impairment of and changes in trade provisions**

The breakdown of "Losses on, impairment of and changes in trade provisions" is as follows:

€ THOUSAND	6/30/2025	6/30/2024
Impairment of "trade receivables" (Note 8.2)	3,207	1,031
Losses on "trade receivables"	385	242
Reversal of impairment of "trade receivables" (Note 8.2)	(248)	(4,162)
Utilization of loss allowance for "trade receivables" (Note 8.2)	(385)	(232)
Impairment of "Current receivables from sports entities" (Note 8.2)	22	-
Reversal of impairment on "Current receivables from sports entities" (Note 8.2)	(34)	(36)
Total losses, impairment and changes in trade provisions	**2,947**	**(3,157)**

- **Other operating expenses**

The breakdown of "Other operating expenses" is as follows:

€ THOUSAND	6/30/2025	6/30/2024
External services	243,832	211,788
Taxes	4,953	4,772
Transport	19,677	13,499
Player transfer and acquisition expenses	916	6,523
Other operating expenses	102,141	125,529
Total other operating expenses	**371,519**	**362,111**

The increase in operating expenses is the result of the growth of revenue (Note 17.1).

"Other operating expenses" includes the mandatory contributions regulated by Royal Decree 5/2015 (see Note 17.1.5) and provisions for certain expenses not attributable to other items.

The breakdown of "External services" is as follows:

€ THOUSAND	6/30/2025	6/30/2024
Leases of assets (Note 6.3)	3,232	3,337
Other leases, royalties and other services	94,056	75,432
Repairs and maintenance	54,724	41,374
Professional services	72,601	74,414
Insurance premiums	6,234	4,544
Advertising, publicity and public relations	6,831	7,739
Utilities	6,154	4,948
Total external services	**243,832**	**211,788**

"Other leases, royalties and other services" includes, inter alia, operating fees, TV production expenses, catering, hostess and event expenses, and costs of editing and mailing publications.

Fees paid for audit and other review and assurance engagements provided to the Group by the audit firm are as follows:

€ THOUSAND	6/30/2025	6/30/2024
Audit	195	192
Review and assurance work	68	64
Other	-	-
Total services	**263**	**256**

Meanwhile, fees in 2024/2025 related to other services provided by companies in the audit firm's international network amounted to approximately €278 thousand (2023/2024: €293 thousand).

17.5 IMPAIRMENT AND GAINS/(LOSSES) ON DISPOSAL OF NON-CURRENT ASSETS

The breakdown of "Impairment and gains/(losses) on disposal of non-current assets and other exceptional gains/(losses)" is as follows:

€ THOUSAND	6/30/2025	6/30/2024
Change in impairment of and other gains/(losses) on sports intangible assets (Notes 4.1)	-	(8,249)
Change in impairment of investment properties (Note 7)	2,740	-
Disposals of sports intangible assets (Note 4.1)	(550)	(6,835)
Total change in impairment and losses	**2,190**	**(15,084)**
Gains/(losses) on disposal of sports intangible assets (Note 4.1)	32,562	27,792
Gains/(losses) on disposal of property, plant and equipment	(105)	-
Gains on disposal and other (Note 17.1)	**32,457**	**27,792**
TOTAL IMPAIRMENT, GAINS/(LOSSES) ON DISPOSAL OF NON-CURRENT ASSETS AND OTHER EXCEPTIONAL GAINS/(LOSSES)	**34,647**	**12,708**

17.6 FINANCE INCOME AND EXPENSES

The breakdown of finance income and expenses is as follows:

€ THOUSAND	6/30/2025	6/30/2024
Finance income from marketable securities and other financial instruments.		
Interest on term and other deposits	1,913	4,594
Exchange gains	354	139
Unrealized exchange gains	136	301
Other finance income	1,303	3,878
Finance income on remeasurement of financial assets (Note 8.1)	1,652	1,279
	5,358	**10,191**
Capitalization of borrowing costs (Note 6.4)	**-**	**29,727**
Finance costs		
Bank service fees	621	536
Exchange losses	390	458
Unrealized exchange losses	138	20
Loan interest costs	42,649	34,214
Other finance costs	1	483
Finance costs on remeasurement of financial liabilities (Notes 14.1 and 14.2)	5,349	6,143
	49,148	**41,854**

"Loan interest costs" included the interest expenses on financing of the Santiago Bernabéu Stadium remodeling project (Note 6.1). To June 30, 2024, these expenses were capitalized as an increase in the value of the asset on the balance sheet with balancing entry in "Capitalization of borrowing costs" in accordance with accounting standards (see Note 6.4).

"Other finance income" includes an amount of €376 thousand (June 30, 2024: €2,351 thousand) for late payment interest on reimbursements by the taxation authorities (received or receivable) derived from decisions by the Supreme Court and National High Court in favor of the Club (see Note 16.4).

17.7 FOREIGN CURRENCY TRANSACTIONS

Transactions carried out in currencies other than the euro are as follows:

2024/2025

THOUSANDS

LONG-TERM PURCHASES OF FIXED ASSETS		SHORT-TERM PURCHASES OF FIXED ASSETS		SALES		SERVICES RECEIVED	
CURRENCY	NOTIONAL	CURRENCY	NOTIONAL	CURRENCY	NOTIONAL	CURRENCY	NOTIONAL
USD	-	USD	14	USD	65,716	USD	12,390
GBP	15,598	GBP	44,811	GBP	1,072	GBP	1,167
QAR	-	QAR	-	QAR	-	QAR	100
CHF	-	CHF	-	CHF	-	CHF	-
PLN	-	PLN	-	PLN	-	PLN	-
SAR	-	SAR	-	SAR	-	SAR	182
	15,598		**44,825**		**66,788**		**13,839**

2023/2024

THOUSANDS

PURCHASES OF NON-CURRENT ASSETS		SALES		SERVICES RECEIVED	
CURRENCY	NOTIONAL	CURRENCY	NOTIONAL	CURRENCY	NOTIONAL
USD	-	USD	20,480	USD	5,575
GBP	-	GBP	390	GBP	4,938
Japanese yen	-	JPY	13	JPY	2
CHF	-	CHF	-	CHF	3
CNY	-	CNY	-	CNY	2
SAR	-	SAR	-	SAR	143
	-		**20,883**		**10,663**

17.8 CONSOLIDATED PROFIT OR LOSS BY GROUP COMPANIES

The contribution by company to the Group's consolidated profit or loss was as follows:

€ THOUSAND	6/30/2025	6/30/2024
Real Madrid Club de Fútbol	24,411	15,265
Real Madrid Estadio, S.L.U.	46	334
Aparcamientos del Santiago Bernabéu, S.L.	(106)	32
Real Madrid Beijing Co, Ltd	(29)	(3)
Profit/(loss) for the year	**24,322**	**15,628**

18. RELATED PARTY TRANSACTIONS

Related parties with which the Group carried out transactions in the year ended June 30, 2025, and the nature of the relationship, are as follows:

	NATURE OF THE RELATIONSHIP
Board of Directors	Directors
Senior management	Directors
Real Madrid Foundation	Shared directors between the Foundation and the Club

18.1 BOARD OF DIRECTORS AND SENIOR MANAGEMENT

The members of the Board of Directors and those holding other management positions at the Group, both those serving at the date of authorization for issue of these consolidated financial statements and former members, did not undertake any transactions other than in connection with the ordinary course of the Group's business.

The Group's policy is to arrange third-party liability insurance of Group directors for damages caused by acts or omission in the discharge of their directorships. The amount paid in the year ended June 30, 2025, was €156 thousand (June 30, 2024: €113 thousand).

1. Director compensation

The members of the Board of Directors did not accrue any compensation for serving as directors.

At June 30, 2025 and 2024, the Group had no obligations with former or current members of the Board of Directors in respect of pensions or life insurance, nor had it extended any guarantees on their behalf.

2. Identification of and total compensation paid to senior management

In the year ended June 30, 2025, there were 62 senior executives (2023/2024: 56), of whom 56 continued to hold their directorships at June 30, 2025 (June 30, 2024: 54).

Total compensation paid to executives in the year ended June 30, 2025 was €40,540 thousand (June 30, 2024: €36,741 thousand).

The members of the Board of Directors as at the date of authorization for issue of these consolidated financial statements were:

Chairman:
Florentino Pérez Rodríguez

Vice Chairman:
Eduardo Fernández de Blas
Pedro López Jiménez
Enrique Sánchez González
Enrique Pérez Rodríguez

Secretary:
José Luis del Valle Pérez

Board members:
Santiago Aguado García
Jerónimo Farré Muncharaz
Manuel Cerezo Velázquez
José Sánchez Bernal
Manuel Torres Gómez
Manuel Gómez Barrera
Gumersindo Santamaría Gil
José Manuel Otero Lastres
Nicolás Martín-Sanz García
Manuel Redondo Sierra
Catalina Miñarro Brugarolas
José Ángel Sánchez Periáñez
Francisco García Sanz

18.2 REAL MADRID FOUNDATION

The Real Madrid Foundation's governing body is its Board of Trustees. According to the Foundation's bylaws, the Foundation's trustees include, among others, the members of the Board of Directors of Real Madrid Club de Fútbol.

The members of the Board of Trustees do not earn any compensation for their seats on this board.

There are commitments with the Foundation regarding contributions to fund the sustainability of the Foundation and the pursuit of its activities. Contributions between July 1, 2024 and June 30, 2025 amounted to €3,540 thousand (June 30, 2024: €3,023 thousand).

19. NATURE AND EXTENT OF RISKS ARISING FROM FINANCIAL INSTRUMENTS

The Group has established a series of procedures and controls that make it possible to identify, measure, and manage the risks arising from financial instrument activity.

Financial instrument activity exposes the Group to credit, market, and liquidity risk.

19.1 CREDIT RISK

Credit risk is the risk that a Group counterparty will not meet its contractual obligations, i.e., the possibility that financial assets will not be recovered at their carrying amount within the established time frame.

The maximum exposure to credit risk is as follows:

€ THOUSAND	6/30/2025	6/30/2024
Non-current financial investments		
Non-current receivables from sports entities (Note 8.1)	13,584	36,875
Non-current trade receivables (Note 8.1)	-	15,259
Other receivables (Note 8.1)	10,535	6,487
Other financial assets (Note 8.1)	1,329	1,280
Trade and other receivables		
Trade receivables (Note 8.2)	149,292	176,494
Current receivables from sports entities (Note 8.2)	67,640	62,995
Other financial assets (Note 8.2)	49,938	54,625
Receivables from public administrations (Note 8.2)	76,967	83,749
Cash and cash equivalents (Note 10)	175,827	208,265
	545,112	**646,029**

For the purposes of credit risk management, the Group differentiates between financial assets arising from operating activities and those arising from investing activities.

- **Operating activities**

The Group has a procedure in place to measure, manage and control the risks arising from each of its loans. The procedure covers risk measurement and the initial authorization, ongoing monitoring of the exposure and subsequent controls.

Initial measurement and authorization is based on a hierarchical credit limit authorization system. Subsequent control is automated through a system of regular warnings managed by the Group's IT system and supervised at the corresponding management levels.

The breakdown, by counterparty, of credit risk concentration of current and non-current," "Receivables from sports entities," "Non-current trade receivables" and "Trade receivables" is as follows:

2024/2025

	NO. OF DEBTORS	€ THOUSAND
With a balance of more than 1,000 thousand	35	268,373
With a balance of between 1,000 thousand and 500 thousand	14	8,966
With a balance of between 500 thousand and 200 thousand	25	10,096
With a balance of between 200 thousand and 100 thousand	26	3,847
With a balance of less than 100 thousand	210	5,177
Impairment		(17,808)
		278,652

2023/2024

	NO. OF DEBTORS	€ THOUSAND
With a balance of more than 1,000 thousand	34	330,940
With a balance of between 1,000 thousand and 500 thousand	30	23,180
With a balance of between 500 thousand and 200 thousand	41	14,974
With a balance of between 200 thousand and 100 thousand	31	4,425
With a balance of less than 100 thousand	214	4,473
Impairment		(15,246)
		362,746

The breakdown of these balances by age is as follows:

€ THOUSAND	6/30/2025	6/30/2024
Not due	**181,066**	**200,887**
Past due but not impaired		
Less than 30 days	49,411	82,368
Between 30 and 60 days	8,776	7,378
Between 60 and 90 days	1,206	42,516
Between 90 and 120 days	1,430	4,099
Over 120 days	36,763	25,498
	97,586	**161,859**
Doubtful receivables	**17,808**	**15,246**
Impairment	**(17,808)**	**(15,246)**
	278,652	**362,746**

Balances past due but not impaired include the debt with the Madrid City Council for the Las Tablas proceedings (see Note 13.4.2).

The Group, through its various departments, assesses and monitors these exposures on a monthly basis with a view to identifying risky situations and collection delays, taking the necessary precautions, including legal measures if warranted, to enable recovery of amounts past due as quickly as possible. In addition, in order to guarantee collection of receivables, the Club often demands suitable collateral and guarantees.

- **Investing activities**

The Group's investment policies are established by the Finance and Administration Department to make investments under the following guidelines:

- They must be arranged with financial institutions domiciled in Spain and of renowned solvency and liquidity.

- Acceptable investment products include bank deposits, repos, commercial paper issued by highly solvent financial institutions, interest-bearing accounts and other similar financial products. Specifically, investment in speculative financial products or those in which the counterparty is not clearly and explicitly identified are expressly prohibited.

- Investments should be diversified to ensure that the risk is not significantly concentrated in any one institution. However, temporarily, undrawn facilities may, depending on market conditions, be concentrated in certain highly solvent institutions.

- Investments in current financial assets must be liquid assets with a maturity of three months or less, with a repurchase commitment or a secondary market that guarantees their immediate liquidity if required.

- The Club's power of attorney policy dictates the parameters for the use of joint and several signatures based on amount.

19.2 MARKET RISK

- **Interest rate risk**

Interest rate risk is the potential loss arising from fluctuations in the fair value or future cash flows from assets or liabilities and to changes in the discount rates used to determine the carrying amounts of assets, especially player values.

Regarding players and estimates of their value in use, the Group performs the analysis and considers the circumstances set out in Note 3.6 when assessing potential impairment losses.

Moreover, as explained in Note 14, at June 30, 2025, the Group had several loans with different financial institutions, mostly with long-term maturities. The nominal amount of outstanding principal at June 30, 2025 was €137,666 thousand (June 30, 2024: €76,713 thousand). Virtually the entire amount is at a fixed rate of interest. The Group also has long- and short-term floating rate credit facilities, of which no amounts had been drawn down at either June 30, 2025, or June 30, 2024.

Regarding the loans to fund the stadium remodeling project the final €1,170 thousand was drawn down. The interest rate on this loan is fixed (see Note 6.1).

Therefore, fluctuations in interest rates barely had any impact on the Group's income statement.

- **Inflation**

Headline inflation as at 30 June 2025 was running at 2.3%, marking a slowdown from 2.4% at end-June 2024.

In any case, given its cost structure, the Club has seen only a moderate impact of inflation on its expenses. It does not consume any commodities; energy consumption is largely insignificant; and the portion of expenditure on external services and non-sports personnel linked to short-term inflation represents less than 20% of the Group's total expenses. Moreover, the part of the inflation-induced increase in expenses is offset by corresponding increases in certain revenue items.

19.3 LIQUIDITY RISK

Liquidity risk is the risk that the Group will have a shortage of funds or lack access to sufficient funds at an acceptable cost to meet its payment obligations at all times. The Group's objective is to maintain sufficient available funds. Group policies establish the minimum liquidity levels required at all times.

The contractual maturity schedule of financial liabilities is as follows:

2024/2025

€ THOUSAND	LESS THAN 3 MONTHS	BETWEEN 3 MONTHS AND 1 YEAR	BETWEEN 1 AND 5 YEARS	> 5 YEARS	TOTAL
Bank borrowings	33,543	32,567	74,904	-	141,014
Other financial liabilities					
Suppliers of fixed assets	128,659	6,070	26,956	4,687	166,372
Payables to sports entities for player transfers	56,790	19,956	15,258	-	92,004
Other financial liabilities	38,939	12,218	153,555	955,684	1,160,396
Trade and other payables	389,227	40,961	-	-	430,188
Non-current payables	-	-	66,018	-	66,018
	647,158	**111,772**	**336,691**	**960,371**	**2,055,992**

2023/2024

€ THOUSAND	LESS THAN 3 MONTHS	BETWEEN 3 MONTHS AND 1 YEAR	BETWEEN 1 AND 5 YEARS	> 5 YEARS	TOTAL
Bank borrowings	5,351	34,039	37,644	-	77,034
Other financial liabilities					
Suppliers of fixed assets	40,572	3,050	37,721	889	82,232
Payables to sports entities for player transfers	38,581	42,978	39,465	-	121,024
Other financial liabilities	38,920	12,235	142,825	989,047	1,183,027
Trade and other payables	351,792	53,766	6,303	-	411,861
	475,216	**146,068**	**263,958**	**989,936**	**1,875,178**

However, the key metric in determining liquidity risk is the net balance between receivables and payables.

The table below summarizes the maturity profile of financial assets:

2024/2025

€ THOUSAND	LESS THAN 3 MONTHS	BETWEEN 3 MONTHS AND 1 YEAR	BETWEEN 1 AND 5 YEARS	> 5 YEARS	TOTAL
Trade receivables (*)	148,247	1,045	-	-	149,292
Receivables from sports entities	43,325	24,315	13,584	-	81,224
Other financial assets (**)	16,491	33,447	10,975	889	61,802
Receivable from public administrations	33,970	4,573	38,424	-	76,967
	242,033	**63,830**	**62,893**	**889**	**369,283**

(*) Includes "Non-current trade receivables" and "Current trade receivables".
(**) Includes "Other non-current receivables" and "Other financial assets" (non-current and current).

2023/2024

€ THOUSAND	LESS THAN 3 MONTHS	BETWEEN 3 MONTHS AND 1 YEAR	BETWEEN 1 AND 5 YEARS	> 5 YEARS	TOTAL
Trade receivables (*)	170,044	6,451	15,259	-	191,754
Receivables from sports entities	44,192	18,803	36,875	-	99,870
Other financial assets (**)	7,827	46,798	6,878	889	62,392
Receivable from public administrations	31,749	52,000	-	-	83,749
	253,812	**124,052**	**59,012**	**889**	**437,765**

(*) Includes "Non-current trade receivables" and "Current trade receivables".
(**) Includes "Other non-current receivables" and "Other financial assets" (non-current and current).

As explained in Note 14.5 Working capital, a significant portion of the balance of "Trade and other payables" is recurring, i.e. renewed annually due to the intrinsic nature of Group companies' business operations.

Payment commitments to suppliers of fixed assets and sports entities for player transfers are amply covered by cash inflows to be received in coming years through operating income for the year, as well as by available cash and the credit lines discussed in Note 14.

19.4 INFORMATION REGARDING DEFERRED PAYMENTS TO SUPPLIERS IN COMMERCIAL TRANSACTIONS ADDITIONAL PROVISION THREE. "DISCLOSURE REQUIREMENTS" UNDER LAW 15/2010, OF JULY 5

The table below provides information on the average payment period to suppliers in commercial transactions in accordance with the Resolution of January 29, 2016 of the Spanish Accounting and Auditing Institute (*Instituto de Contabilidad y Auditoría de Cuentas*) regarding disclosures in the notes to annual consolidated financial statements:

	6/30/2025	6/30/2024
Days		
Average supplier payment period	41	41
Ratio of transactions paid	42	42
Ratio of transactions outstanding	40	40
€ thousand		
Total payments made	425,456	370,203
Total payments outstanding	175,900	142,889
Monetary value of invoices paid within 60 days	369,314	275,251
Percentage of payments made with 60 days of total payments made	87%	75%
Number of invoices		
Number of invoices paid within 60 days	14,053	8,528
Percentage of total invoices paid	81%	65%

20. OTHER INFORMATION

20.1 STRUCTURE OF PERSONNEL

Group headcount by employee category:

2024/2025

	NUMBER OF EMPLOYEES AT JUNE 30, 2025			AVERAGE NUMBER OF EMPLOYEES IN THE YEAR	AVERAGE NUMBER OF EMPLOYEES WITH A DISABILITY WITH A SEVERITY EQUAL TO OR GREATER THAN 33%
	MEN	WOMEN	TOTAL		
Senior managers	47	9	56	55	-
Middle managers	26	18	44	39	-
Players and coaching staff	474	97	571	564	1
General staff	285	203	488	469	10
Laborers	39	5	44	44	4
Permanent seasonal	16	3	19	20	-
	887	**335**	**1,222**	**1191**	**15**

2023/2024

	NUMBER OF EMPLOYEES AT JUNE 30, 2024			AVERAGE NUMBER OF EMPLOYEES IN THE YEAR	AVERAGE NUMBER OF EMPLOYEES WITH A DISABILITY WITH A SEVERITY EQUAL TO OR GREATER THAN 33%
	MEN	WOMEN	TOTAL		
Senior managers	45	9	54	54	-
Middle managers	23	11	34	36	-
Players and coaching staff	458	99	557	535	1
General staff	265	189	454	427	9
Laborers	39	5	44	45	4
Permanent seasonal	17	3	20	21	-
	847	**316**	**1,163**	**1,118**	**14**

20.2 ENVIRONMENTAL DISCLOSURES

Given the nature of its activities, the Group has no environmental liabilities, expenses, assets, provisions or contingencies that could have a significant effect on its equity, financial position and results. Consequently, the notes to the accompanying financial statements do not include specific environmental disclosures.

20.3 RATIOS NECESSARY TO JOIN THE LFP AS AN AFFILIATE

The LFP's bylaws state that at least one of the two following ratios must be met by affiliates. The amounts required for the Club's registration for season T relate to:

- Balance sheet figures: data at December T-1
- Revenue: data at June T-2

- **Ratio 1**

€ THOUSAND	SEASON OF REGISTRATION (T)	
	2025/2026	2024/2025
Non-current liabilities (*)	323,952	324,804
Current liabilities	604,080	554,386
Cash and cash equivalents	(61,217)	(190,709)
Receivables from sports entities (**)	(62,876)	(83,214)
Adjustment for investments in stadium remodeling	(221,958)	(980,333)
I. Total adjusted liabilities T-1	**581,981**	**(375,066)**
II. Revenue T-2	**1,043,640**	**804,498**
Ratio 1 (I/II)	**0.56**	**(0.47)**
Required ratio 1	<2.85	<3.15
	COMPLIES	**COMPLIES**

(*) Payables falling due after T+5 to December 31 are not included.
(**) Receivables from sports entities due to transfers/assignments to non-current and current.

The adjustment for the investment in stadium remodeling was obtained using the following calculation:

€ THOUSAND	SEASON OF REGISTRATION (T)	
	2025/2026	2024/2025
Investments in stadium remodeling (*)	(1,223,000)	(980,333)
Liabilities > 5 years associated with investment (**)	989,360	-
Cumulative investment less debt	(233,640)	(980,333)
Adjustment coefficient	**0.95**	**1**
Adjusted investment in stadium remodeling	**(221,958)**	**(980,333)**

(*) Cumulative investment as at December 31, 2024 and December 31, 2023, respectively. For cumulative investment as at December 31, 2023, in accordance with regulations and standards issued by economic-financial control bodies, investment for the period from July 1, 2019 to December 31, 2019 was excluded.
(**) Calculation adjusted for the situation of addition of the investment each season.

- **Ratio 2**

€ THOUSAND	SEASON OF REGISTRATION (T)	
	2025/2026	2024/2025
Current liabilities	604,080	554,386
Cash and cash equivalents	(61,217)	(190,709)
Current payables to sports entities (*)	(45,431)	(46,874)
Adjusted investment in stadium remodeling	(140,184)	24,834
I. Total adjusted current liabilities T-1	**357,248**	**341,637**
II. Revenue T-2	**1,043,640**	**804,498**
Ratio 2 (I/II)	**0.34**	**0.42**
Total Ratio 2 required	<1.10	<1.40
	COMPLIES	**COMPLIES**

(*) Current receivables from sports entities due to transfers/assignments.

Adjusted investment in stadium remodeling is calculated as follows:

€ THOUSAND	SEASON OF REGISTRATION (T)	
	2025/2026	2024/2025
Investments in stadium remodeling (*)	(1,223,000)	(980,333)
Liabilities > 5 years associated with investment	989,360	1,021,723
Cumulative investment less debt	(233,640)	41,390
Adjustment coefficient	**0.6**	**0.6**
Adjusted investment in stadium remodeling	**(140,184)**	**24,834**

(*) Cumulative investment as at December 31, 2024 and December 31, 2023, respectively. For cumulative investment as at December 31, 2023, in accordance with regulations and standards issued by economic-financial control bodies, investment for the period from July 1, 2019 to December 31, 2019 was excluded.

21. EVENTS AFTER THE REPORTING PERIOD

The most significant events that occurred between the end of the reporting year and the date of authorization for issue of these financial statements were as follows:

- Player transfers to other clubs were carried out amounting to approximately €12,500 thousand.
- Acquisitions of player transfer rights for approximately €50,000 thousand.

22. INCOME STATEMENT BY ANALYTICAL SEGMENT

2024/2025

	MEN'S FOOTBALL		WOMEN'S FOOTBALL			
€ THOUSAND	FIRST TEAM AND OTHER	YOUTH TEAM	FIRST TEAM	YOUTH TEAM	BASKETBALL	TOTAL
Membership fees, ticket sales and stadium revenue	318,538	34	590	-	7,648	326,810
Revenue from international and friendly matches	186,772	1,191	1,014	-	590	189,567
Broadcasting revenue	157,892	103	441	-	3,649	162,085
Marketing revenue	482,993	-	10,231	-	13,001	506,225
Total operating income (before disposal of non-current assets)	**1,146,195**	**1,328**	**12,276**	**-**	**24,888**	**1,184,687**
Cost of sales	(84,592)	(1,700)	(423)	(350)	(632)	(87,697)
Sports and non-sports personnel expenses	(444,992)	(23,250)	(6,000)	(1,756)	(38,232)	(514,230)
Operating expenses	(341,317)	(12,333)	(2,291)	(261)	(8,887)	(365,089)
Provision for liabilities and charges	(9,377)	-	-	-	-	(9,377)
Total operating expenses before depreciation and amortization	**(880,278)**	**(37,283)**	**(8,714)**	**(2,367)**	**(47,751)**	**(976,393)**
Operating profit/(loss) before depreciation and amortization, and disposal of non-current assets	**265,917**	**(35,955)**	**3,562**	**(2,367)**	**(22,863)**	**208,294**
Gains/(losses) on disposal of non-current assets	1,464	26,836	122	8	4,027	32,457
Impairment/derecognition of non-current assets	2,399	(209)	-	-	-	2,190
Operating profit/(loss) before depreciation and amortization (EBITDA)	**269,780**	**(9,328)**	**3,684**	**(2,359)**	**(18,836)**	**242,941**
Depreciation and amortization	**(162,695)**	**(4,048)**	**(375)**	**(7)**	**(673)**	**(167,798)**
Operating profit/(loss)	**107,085**	**(13,376)**	**3,309**	**(2,366)**	**(19,509)**	**75,143**
Finance income						5,358
Finance costs arising on implied cost of deferred payment on player acquisitions						(5,099)
Finance costs arising on interest on loans, guarantee expenses and other financial expenses						(44,047)
Net finance income/(expense)						**(43,788)**
Profit before tax						**31,355**
Income tax expense						(7,033)
Profit after tax						**24,322**

2023/2024

	MEN'S FOOTBALL		WOMEN'S FOOTBALL			
€ THOUSAND	FIRST TEAM AND OTHER	YOUTH TEAM	FIRST TEAM	YOUTH TEAM	BASKETBALL	TOTAL
Membership fees, ticket sales and stadium revenue	307,749	51	316	-	8,906	317,022
Revenue from international and friendly matches	148,020	980	799	-	985	150,784
Broadcasting revenue	175,244	40	977	-	2,996	179,257
Marketing revenue	405,463	-	8,444	-	12,242	426,149
Total operating income (before disposal of non-current assets)	**1,036,476**	**1,071**	**10,536**	**-**	**25,129**	**1,073,212**
Cost of sales	(62,990)	(1,369)	(445)	(248)	(666)	(65,718)
Sports and non-sports personnel expenses	(438,515)	(23,764)	(4,585)	(1,430)	(36,680)	(504,974)
Operating expenses	(318,258)	(11,296)	(2,079)	(203)	(9,007)	(340,843)
Provision for liabilities and charges	(18,111)	-	-	-	-	(18,111)
Total operating expenses before depreciation and amortization	**(837,874)**	**(36,429)**	**(7,109)**	**(1,881)**	**(46,353)**	**(929,646)**
Operating profit/(loss) before depreciation and amortization, and disposal of non-current assets	**198,603**	**(35,358)**	**3,427**	**(1,881)**	**(21,225)**	**143,566**
Gains/(losses) on disposal of non-current assets	7,914	18,931	-	-	947	27,792
Impairment/derecognition of non-current assets	(14,887)	(170)	-	-	(27)	(15,084)
Operating profit/(loss) before depreciation and amortization (EBITDA)	**191,630**	**(16,597)**	**3,427**	**(1,881)**	**(20,305)**	**156,274**
Depreciation and amortization	**(129,310)**	**(4,171)**	**(402)**	**(7)**	**(525)**	**(134,419)**
Operating profit/(loss)	**62,320**	**(20,768)**	**3,025**	**(1,888)**	**(20,830)**	**21,855**
Finance income						10,191
Capitalization of borrowing costs						29,727
Finance costs arising on implied cost of deferred payment on player acquisitions						(5,873)
Finance costs arising on interest on loans, guarantee expenses and other financial expenses						(6,254)
Capitalized finance costs on the stadium loan						(29,727)
Net finance income/(expense)						**(1,936)**
Profit before tax						**19,919**
Income tax expense						(4,291)
Profit after tax						**15,628**

23. BUDGET OUT-TURN FOR THE 2024/2025 SEASON

€ THOUSAND	BUDGET	OUT-TURN	VARIANCE
Membership fees, ticket sales and stadium revenue	362,091	326,810	(35,281)
Revenue from international and friendly matches	136,217	189,566	53,349
Broadcasting revenue	169,712	162,085	(7,627)
Marketing revenue	459,900	506,226	46,326
Total operating income (before disposal of non-current assets)	**1,127,920**	**1,184,687**	**56,767**
Cost of sales	(63,457)	(87,697)	(24,240)
Sports and non-sports personnel expenses	(482,259)	(514,230)	(31,971)
Operating expenses	(362,205)	(365,089)	(2,884)
Provision for uncollectible receivables, and for liabilities and charges	(4,000)	(9,377)	(5,377)
Total operating expenses before depreciation and amortization	**(911,921)**	**(976,393)**	**(64,472)**
Operating profit/(loss) before depreciation and amortization, and disposal of non-current assets	**215,999**	**208,294**	**(7,705)**
Gains/(losses) on disposals of non-current assets	30,489	32,457	1,968
Impairment/derecognition of non-current assets	-	2,190	2,190
Operating profit before depreciation and amortization (EBITDA)	**246,488**	**242,941**	**(3,547)**
Depreciation and amortization	**(168,341)**	**(167,798)**	**543**
Operating profit/(loss)	**78,147**	**75,143**	**(3,004)**
Finance income	947	5,358	4,411
Finance costs arising on implied cost of deferred payment on player acquisitions	(4,222)	(5,099)	(877)
Finance costs arising on interest on loans, guarantee expenses and other financial expenses	(46,459)	(44,047)	2,412
Net finance income/(expense)	**(49,734)**	**(43,788)**	**5,946**
Profit/(loss) before tax	**28,412**	**31,355**	**2,943**
Income tax expense	(8,261)	(7,033)	1,228
Profit after tax	**20,151**	**24,322**	**4,171**

Variance:
Positive: higher revenue, lower expense.
Negative: lower revenue, higher expense.

The main differences vis-à-vis the budget are discussed below: Any mention of the Club with respect to financial performance should be understood to refer to the Group comprising Real Madrid Club de Fútbol and its subsidiaries.

In the 2024/2025 season, the first division football team won the UEFA European Super Cup and the FIFA Intercontinental Cup, was a Champions League and Spain's King's Cup finalist, and was runner-up in the National Professional Football League. Meanwhile, the first division basketball team won Spain's ACB league and was a quarter finalist in the EuroLeague. The Club's classification in the Champions League was as budgeted, but not its UEFA European Super Cup and FIFA Intercontinental Cup titles or its ACB league basketball championship. This resulted in higher bonuses for sports achievements, so the impact on revenue of those titles was largely insignificant.

The first division football team also played in the first FIFA Club World Cup tournament held from June 15 to July 13, 2025. Real Madrid lost in the semi finals. Since the tournament started during FY 2024/2025 and ended during FY 2025/2026, the Club's revenue and expenses for the first part of the tournament were recognized in 2024/2025, while its revenue and expenses for the second part of the tournament will be recognized in FY 2025/2026.

Turning to the stadium, FY 2024/2025 was the first year of operations without restrictions on availability caused by the works. It was also the first with a high level of operation of the various recurring revenue streams related to seating capacity and commercial operations. As a result, revenue rose sharply. Nevertheless, some business lines—especially catering and concert promotion—are still not at full operational capacity. As budgeted, the current period featured the start of accounting depreciation of the project and recognition of borrowing costs arising from the project's financing.

Regarding commercial activity, in 2024/2025, the Club boosted both merchandising and sponsorship activities, in the latter by signing new, major sponsorship deals.

Operating income (before disposal of non-current assets) in FY 2024/2025 amounted to €1,184.7 million, up 10.4% from FY 2023/2024, when the Club surpassed the €1 billion mark in operating income before disposal of non-current assets for the first time ever, something no other football club has yet to achieve.

Revenue was 5% above budget. All business lines outperformed the budget except La Liga TV revenue, which was 5% under. Revenue from friendly matches and competitions was 39% higher than budgeted, mostly due to the impact of the new FIFA Club World Cup tournament and the Spanish King's Cup final, as well as higher revenue from friendlies. Market revenue came it 10% above budget, fueled by merchandising and sponsorship revenue. Revenue from recurring stadium seating capacity and commercial operations topped the budget by 4% even despite the suspension of concerts, although this had been factored in the budget. Elsewhere, while marketing of "personal seat licenses" continued in 2024/2025, the revenue obtained from this product was 65% lower than budgeted (but in line with the year before) as fewer seats were up sale for reasons of commercial opportunity.

Cost of sales was 38% over budget due to the growth of merchandising revenue, supplies of other materials and inventory effects.

Personnel expenses were 7% over budget. The main reasons for this higher expenditure were unbudgeted bonuses for sports achievements in football and basketball, the higher cost of sports teams and additions of sports personnel to the first division football team in June to play the Club World Cup.

Operating expenses were 1% higher than budgeted. Higher-than-budgeted expenses driven by the increase in stadium and commercial revenue, coupled with the celebration of the Club World Cup, were largely offset by lower-than-budgeted expenses on development of stadium operations and other overhead.

Provisions for potential contingencies amounting to €9.4 million were recognized, compared to the €4 million budgeted.

As a result of the above, the Club reported operating profit before depreciation and amortization and disposal of non-current assets (EBITDA before disposals) of €208.3 million, €65 million more than the year before but €8 million lower than budgeted.

A net gain on player transfers of €32.5 million was recognized; i.e., €2.0 million higher than budgeted. The result was almost entirely due to transfers of youth team football and basketball players, and variable payments accrued during the current season on first team football player transfers carried out in previous seasons.

Meanwhile, it obtained €2.2 million of gains on the impairment/ disposal of property, plant and equipment primarily thanks to the unbudgeted revaluation of land.

Overall, the net gain on disposals of assets was €4.1 million above budget.

All of this left the Club with operating profit before depreciation and amortization (EBITDA) of €242.9 million, €87 higher than the year before by €3.5 million lower than budgeted.

The depreciation and amortization charge was €0.5 million less than budgeted.

Net finance expense was €5.9 million under budget. Meanwhile, finance costs were €1.5 million lower, due to the decrease in borrowing costs. For its part, finance income increased by €4.4 million thanks to higher returns on investment of cash balances and other unexpected income.

Overall, profit before tax amounted to €31.4 million, up €11.5 million from the year before and €2.9 million higher than budgeted.

Income tax expense amounted to €7.0 million after applying a nominal tax rate of 25% to accounting profit before tax adjusted for impacts of changes in tax legislation and recognizing the applicable tax credits. This was €1.2 million less than budgeted despite the higher profit due to the recognition of higher deductions.

In all, the budget out-turn for 2024/2025 included profit before tax of €24.3 million, €8.7 million higher than the year before and €4.2 million higher than budgeted, for the reasons explained previously.

This positive performance extends the trend of the Club consistently ending every financial year since 2000 in the black, especially in the 5-year period from 2019/2020 to 2023/2024 affected by COVID-19 and, in the Club's specific case, the stadium remodeling works carried out during those years.

All this was achieved by implementing measure to rein in costs and improve the business all around. Notably in 2024/2025, the Club's operational efficiency improved, as illustrated by the level of EBITDA before disposals (€208 million) and EBITDA (€243 million), both record highs for the Club.

The Club has now been profit-making in the last 25 years, enabling it to build up equity of €598 million as at June 30, 2025.

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AUTHORIZATION FOR ISSUE OF THE CONSOLIDATED FINANCIAL STATEMENTS AND MANAGEMENT REPORT FOR THE YEAR ENDED JUNE 30, 2025

In a meeting held on July 17, 2025, the members of the Board of Directors of Real Madrid Club de Fútbol authorized for issue the consolidated financial statements and management report for the financial year ended June 30, 2025, which consist of the documents preceding this certification.

CHAIRMAN

Mr. Florentino Pérez Rodríguez

VICE CHAIRMAN

Mr. Eduardo Fernández de Blas
Mr. Pedro López Jiménez (**)
Mr. Enrique Sánchez González
Mr. Enrique Pérez Rodríguez

SECRETARY

Mr. José Luis del Valle Pérez

BOARD MEMBERS

Mr. Santiago Aguado García (*)
Mr. Jerónimo Farré Muncharaz (**)
Mr. Manuel Cerezo Velázquez
Mr. José Sánchez Bernal
Mr. Manuel Torres Gómez
Mr. Manuel Gómez Barrera
Mr. Gumersindo Santamaría Gil
Mr. José Manuel Otero Lastres (*)
Mr. Nicolás Martín-Sanz García (*)
Mr. Manuel Redondo Sierra
Ms. Catalina Miñarro Brugarolas
Mr. José Ángel Sánchez Periáñez
Mr. Francisco García Sanz (**)



(*) p.p. Chairman Florentino Pérez Rodríguez's signature.
(**) Jose Luis del Valle Pérez, as Secretary to the Board of Directors of Real Madrid Club de Fútbol, hereby certifies that the member of the Board of Directors expressed a vote in favor of authorizing for issue the financial statements and management report for the year ended June 30, 2025, having attended the meeting of the Board of Directors held on July 17, 2025, at which these documents were authorized for issue, remotely (video conference).

CONSOLIDATED AUDIT REPORT ON THE FINANCIAL STATEMENTS

Ernst & Young, S.L.
C/ Raimundo Fernández Villaverde, 65
28003 Madrid

Tel: 902 365 456
Fax: 915 727 238
ey.com

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AUDIT REPORT ON CONSOLIDATED FINANCIAL STATEMENTS ISSUED BY AN INDEPENDENT AUDITOR

Translation of a report and consolidated financial statements originally issued in Spanish. In the event of discrepancy, the Spanish-language version prevails

To the General Assembly of Members of REAL MADRID CLUB DE FÚTBOL AND SUBSIDIARIES:

Opinion

We have audited the financial statements of REAL MADRID CLUB DE FÚTBOL (the Club or the parent company) and its subsidiaries, which comprise the balance sheet as of June 30, 2025, the income statement, the statement of changes in equity, the cash flow statement, and the notes, all consolidated, thereto for the year then ended.

In our opinion, the accompanying consolidated financial statements give a true and fair view, in all material respects, of the equity and financial position of the Company as at June 30,2025 and of its financial performance and its cash flows, all consolidated, for the year then ended in accordance with the applicable regulatory framework for financial information in Spain (identified in Note 2 to the accompanying financial statements) and, specifically, the accounting principles and criteria contained therein.

Basis for opinion

We conducted our audit in accordance with prevailing audit regulations in Spain. Our responsibilities under those regulations are further described in the *Auditor's responsibilities for the audit of the consolidated financial statements* section of our report.

We are independent of the Company in accordance with the ethical requirements, including those related to independence, that are relevant to our audit of the consolidated financial statements in Spain as required by prevailing audit regulations. In this regard, we have not provided non-audit services nor have any situations or circumstances arisen that might have compromised our mandatory independence in a manner prohibited by the aforementioned requirements.
We believe that the audit evidence we have obtained is sufficient and appropriate to provide a basis for our opinion

Domicilio Social: Calle de Raimundo Fernández Villaverde, 65. 28003 Madrid - Inscrita en el Registro Mercantil de Madrid, tomo 9.364 general, 8.130 de la sección 3ª del Libro de Sociedades, folio 68, hoja nº 87.690-1, inscripción 1ª. C.I.F. B-78970506.

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Most relevant Audit issues

Most relevant audit issues are those matters that, in our professional judgment, were the most significant assessed risks of material misstatements in our audit of the consolidated financial statements of the current period. These risks were addressed in the context of our audit of the financial statements as a whole, and in forming our audit opinion thereon, and we do not provide a separate opinion on these risks.

Valuation of intangible sports assets

Desciption

The Group has recorded under non-current assets in its consolidated balance sheet at June 30, 2025, intangible sports assets amounting to 499,459 thousand euros, net of amortization and impairment, corresponding to the acquisition costs of players' transfer rights, which are subject to systematic amortization as it is expected that they will continue to be contractually linked to the Group in the coming years. The relevant information relating to these intangible sports assets is described in notes 3.1 and 4 to the accompanying consolidated financial statements.

The review of the aforementioned caption has been a significant issue in our audit given the high degree of judgment that the Group's Management must apply when identifying and possible evidence of impairment at year-end, as indicated in notes 3.1, 3.6 and 4 to the accompanying consolidated financial statements.

Our response

Our audit procedures, among others, have constituted in:

- We have reviewed the procedures followed by the Club for the correct classification of players' transfer rights as intangible sports assets or non-current assets held for sale.
- We have reviewed the criteria for activation, amortization and identification of possible impairment and, if applicable, their accounting record.
- We have assessed the reasonableness of the assumptions and sources of information used to obtain its conclusions.
- We have reviewed the disclosures included in the accompanying notes required for these captions by the applicable financial reporting regulatory framework.

Recognition and measurement of income and accruals for current and non-current liabilities

Description

As indicated in Note 3.18 to the accompanying consolidated financial statements, the Group, when recording and valuing the accounting for the transactions included under the heading "Revenue", performs the five-step accounting analysis inherent to the recognition and valuation of revenues. Also, on a recurring basis, the Group receives significant collections during the year, related to its income from television broadcasts, social fees and season tickets, marketing and sponsorship contracts and friendly competitions, which may be considered, where appropriate, as prepaid income when their accrual occurs in subsequent years (in most cases in the following year), as described in Note 3.18. The amounts corresponding to the net amount of revenues and to the long and short-term accruals and deferrals related to the aforementioned prepaid revenues are disclosed in Notes 17.1 and 15.2, respectively.

The proper accounting recording of revenues and accruals has been a significant issue for our audit given the variety of concepts and multiple casuistry existing in the contracts that support them, which requires a detailed and individualized analysis of each one of them.

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Our response

Our audit procedures, among others, have constituted in:

- Understanding of the Club's operations in relation to the recognition and valuation of its revenues.
- Obtaining and analyzing the main contracts in force that support a large part of the Club's revenues and accruals, performing detailed tests and verifying their correct time allocation.
- Perform an analytical review of the profit and loss account to verify the reasonableness of the transactions recorded during the year.
- Request for confirmation of balances and transactions with certain third parties.
- Analysis of documentation related to the cut-off of operations at the end of the year.

Review of the breakdowns included in the accompanying notes to the financial statements in accordance with the applicable financial reporting framework.

Other information: consolidated management report

Other information refers exclusively to the year ended June 30th 2025 management report, the preparation of which is the responsibility of the Company's Members Board of Directors and is not an integral part of the consolidated financial statements.

Our audit opinion on the consolidated financial statements does not cover the management report. In conformity with prevailing audit regulations in Spain, our responsibility in terms of the management report is to assess and report on the consistency of the management report with the consolidated financial statements based on the knowledge of the entity obtained during the audit, and to assess and report on whether the content and presentation of the management report are in conformity with applicable regulations. If, based on the work carried out, we conclude that there are material misstatements, we are required to disclose them.

Based on the work performed, as described in the above paragraph, the information contained in the management report is consistent with that provided in the year ended June 30th 2025 consolidated financial statements and its content and presentation are in conformity with applicable regulations.

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Members of the Board Directors' responsibilities for the financial statements

The members of the Board Directors are responsible for the preparation of the accompanying financial statements so that they give a true and fair view of the equity, financial position and results of the Company, in accordance with the regulatory framework for financial information applicable to the Company in Spain, and for such internal control as they determine is necessary to enable the preparation of financial statements that are free from material misstatement, whether due to fraud or error.

In preparing the financial statements, the Members of the Board Directors are responsible for assessing the Company's ability to continue as a going concern, disclosing, as applicable, matters related to going concern and using the going concern basis of accounting unless the Member of the Board Directors either intend to liquidate the Company or to cease operations, or has no realistic alternative but to do so.

Responsabilidades del auditor en relación con la auditoría de las cuentas anuales consolidadas

Our objectives are to obtain reasonable assurance about whether the consolidated financial statements as a whole are free from material misstatement, whether due to fraud or error, and to issue an auditor's report that includes our opinion.

Reasonable assurance is a high level of assurance but is not a guarantee that an audit conducted in accordance with prevailing audit regulations in Spain will always detect a material misstatement when it exists. Misstatements can arise from fraud or error and are considered material if, individually or in the aggregate, they could reasonably be expected to influence the economic decisions of users taken on the basis of these consolidated financial statements.

As part of an audit in accordance with prevailing audit regulations in Spain, we exercise professional judgment and maintain professional skepticism throughout the audit. We also:

- Identify and assess the risks of material misstatement of the consolidated financial statements, whether due to fraud or error, design and perform audit procedures responsive to those risks, and obtain audit evidence that is sufficient and appropriate to provide a basis for our opinion. The risk of not detecting a material misstatement resulting from fraud is higher than for one resulting from error, as fraud may involve collusion, forgery, intentional omissions, misrepresentations, or the override of internal control.
- Obtain an understanding of internal control relevant to the audit in order to design audit procedures that are appropriate in the circumstances, but not for the purpose of expressing an opinion on the effectiveness of the Company's internal control.
- Evaluate the appropriateness of accounting policies used and the reasonableness of accounting estimates and related disclosures made by management.
- Conclude on the appropriateness of the Members of Board director's use of the going concern basis of accounting and, based on the audit evidence obtained, whether a material uncertainty exists related to events or conditions that may cast significant doubt on the Company's ability to continue as a going concern. If we conclude that a material uncertainty exists, we are required to draw attention in our auditor's report to the related disclosures in the consolidated financial statements or, if such disclosures are inadequate, to modify our opinion. Our conclusions are based on the audit evidence obtained up to the date of our auditor's report. However, future events or conditions may cause the Company to cease to continue as a going concern.

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- Evaluate the overall presentation, structure and content of the consolidated financial statements, including the disclosures, and whether the consolidated financial statements represent the underlying transactions and events in a manner that achieves fair presentation.
- Plan and perform the Group audit to obtain sufficient appropriate audit evidence regarding the financial information of the entities or business units within the Group as a basis for forming an opinion on the consolidated financial statements. We are responsible for the direction, supervision and review of the audit work performed for the purposes of the Group audit. We remain solely responsible for our audit opinion.

We communicate with the Members of Board Directors of the Company regarding, among other matters, the planned scope and timing of the audit and significant audit findings, including any significant deficiencies in internal control that we identify during our audit.

From the significant risks communicated with the Company's Members of Board Directors, we determine those that were of most significance in the audit of the consolidated financial statements of the current period and are therefore the most significant assessed risks.

We describe those risks in our auditor's report unless law or regulation precludes public disclosure about the matter.

ERNST & YOUNG, S.L.
(Inscrita en el Registro Oficial de Auditores de Cuentas con el Nº S0530)

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María Amparo Ruiz Genovés
(Inscrita en el Registro Oficial de Auditores de Cuentas con el Nº 5220)

July 18, 2025

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ECONOMIC INFORMATION OF REAL MADRID C. F.

For the year ended June 30, 2025



BALANCE SHEET AS AT JUNE 30, 2025

ASSETS

€ THOUSAND	NOTES	6/30/25	6/30/24
NON-CURRENT ASSETS		**2,278,908**	**2,071,119**
Sports intangible assets	4	**499,459**	**449,059**
Other non-sports intangible assets	5	**43,856**	**29,983**
Property, plant and equipment	6	**1,557,294**	**1,425,334**
Investment properties	7	**13,880**	**11,147**
Investment in Group comanies	8.1	**5,141**	**8,141**
Non-current financial investments	8.1	**27,718**	**62,211**
Non-current accruals	15.1	**95,812**	**39,566**
Deferred tax assets	16	**35,748**	**45,678**
CURRENT ASSETS		**539,733**	**590,172**
Non-current assets held for sale	4.2	**-**	**-**
Inventories	9	**20,507**	**18,141**
Trade and other receivables	8.2	**343,912**	**375,778**
Current financial investments in group companies	8.1	**67**	**87**
Current accruals	15.1	**2,051**	**1,323**
Cash and cash equivalents	10	**173,196**	**194,843**
TOTAL ASSETS		**2,818,641**	**2,661,291**

EQUITY AND LIABILITIES

€ THOUSAND	NOTES	6/30/25	6/30/24
EQUITY		**584,847**	**560,580**
Capital and reserves	11	**581,436**	**557,025**
Reserves		512,139	498,401
Revaluation reserve RD 7/96		8,548	8,548
Revaluation reserve law 16/2012		20,277	20,277
Capitalization reserve		16,061	14,534
Profit for the year		24,411	15,265
Grants, donations and bequests received	12	**3,411**	**3,555**
	11		
NON-CURRENT LIABILITIES		**1,336,209**	**1,311,935**
Non-current provisions	13.1	**26,960**	**33,239**
Non-current loans and borrowings	14.1	**1,226,221**	**1,243,345**
Bank borrowings		74,904	37,644
Other financial liabilities		1,151,317	1,205,701
Non-current payables	14.2	**66,018**	**6,303**
Deferred tax liabilities	16	**15,760**	**27,798**
Non-current accruals	15.2	**1,250**	**1,250**
CURRENT LIABILITIES		**897,585**	**788,776**
Current provisions	13.2	**36,967**	**58,301**
Current loans and borrowings	14.3	**328,652**	**211,871**
Bank borrowings		66,110	39,390
Other financial liabilities		262,542	172,481
Trade and other payables	14.4	**428,213**	**404,405**
Current accruals	15.2	**103,753**	**114,199**
TOTAL EQUITY AND LIABILITIES		**2,818,641**	**2,681,291**

INCOME STATEMENT FOR THE YEAR ENDED JUNE 30, 2025

€ THOUSAND	NOTES	2024/2025	2023/2024
CONTINUING OPERATIONS			
Revenue			
Membership fees, ticket sales and stadium revenue		326,276	307,094
International and friendly matches		189,566	150,784
Broadcasting revenue		162,086	179,257
Marketing revenue		481,164	406,597
	17.1	**1,159,092**	**1,043,732**
Self-constructed assets	17.1	**-**	**8,965**
Cost of sales			
Raw materials and other consumables used	17.2	**(87,697)**	**(65,718)**
Other operating income	17.1	**2,107**	**12,050**
Sports and non-sports personnel expenses	17.3	**(505,744)**	**(498,047)**
Other operating expenses			
Losses on, impairment of and changes in trade provisions	17.4	(2,947)	3,157
Other operating expenses	17.4	(380,297)	(368,942)
		(383,244)	**(365,785)**
Depreciation and amortization	4, 5, 6, 7	**(167,698)**	**(134,369)**
Non-financial and other capital grants	12, 17.1	**192**	**193**
Provision surpluses	13.1, 13.2	**23,201**	**7,890**
Impairment, gains/(losses) on disposal of non-current assets and other exceptional gains/(losses)			
Impairment and losses	17.5	2,190	(15,084)
Gains/(losses) on disposal and other	17.5	32,457	27,792
		34,647	**12,708**
OPERATING PROFIT		**74,856**	**21,619**
Finance income			
Marketable securities and other financial instruments	17.6	5,570	10,247
Capitalization of borrowing costs	17.6	-	29,727
		5,570	**39,974**
Finance costs	17.6	**(48,975)**	**(41,737)**
NET FINANCE INCOME/(EXPENSE)		**(43,405)**	**(1,763)**
PROFIT BEFORE TAX		**31,451**	**19,856**
Income tax (expense)/income	16.1	**(7,040)**	**(4,591)**
PROFIT FOR THE YEAR FROM CONTINUING OPERATIONS		**24,411**	**15,265**
PROFIT FOR THE YEAR		**24,411**	**15,265**

BUDGET 2025-2026

REAL MADRID CLUB DE FÚTBOL AND SUBSIDIARIES
2025/26 CONSOLIDATED BUDGET

€ THOUSAND	FY 2024/25	BUDGET 2025/26	VARIANCE
Membership fees, ticket sales and other stadium revenue	326,810	402,453	75,643
Revenue from international and friendly matches	189,566	141,645	(47,921)
Broadcasting revenue	162,085	164,390	2,305
Marketing revenue	506,226	539,680	33,454
Total operating income (before disposal of non-current assets)	**1,184,687**	**1,248,168**	**63,481**
Cost of sales	(87,697)	(79,968)	7,729
Sports and non-sports personnel expenses	(514,230)	(561,993)	(47,763)
Operating expenses	(365,089)	(356,000)	9,089
Provision for uncollectible receivables, and for liabilities and charges	(9,377)	(27,600)	(18,223)
Total operating expenses before depreciation and amortization	**(976,393)**	**(1,025,562)**	**(49,169)**
Operating profit/(loss) before depreciation and amortization, and disposal of non current assets	**208,294**	**222,607**	**14,313**
Gains/(losses) on disposals of non-current assets	32,457	53,365	20,908
Impairment/derecognition of non-current assets	2,190	0	(2,190)
Operating profit/(loss) before depreciation and amortization (EBITDA)	**242,941**	**275,971**	**33,030**
Depreciation and amortization	(167,798)	(211,105)	(43,307)
Operating profit/(loss)	**75,143**	**64,866**	**(10,277)**
Finance income	5,358	4,817	(541)
Capitalization of borrow ing costs	0	0	0
Finance expenses arising on implied cost of deferred payment on player acquisitions	(5,099)	(6,997)	(1,898)
Finance expenses arising on interest on loans, guarantee expenses and other financial expenses	(44,047)	(47,633)	(3,586)
Capitalized finance costs on the stadium loan	0	0	0
Net finance income/(expense)	**(43,788)**	**(49,813)**	**(6,025)**
Profit/(loss) before tax	**31,355**	**15,053**	**(16,302)**
Income tax expense	(7,033)	(4,971)	2,062
PROFIT/(LOSS) AFTER TAX	**24,322**	**10,082**	**(14,240)**

Revenues of €1,248.2 million are budgeted for the 2025/26 fiscal year, representing an increase of €63.5 million (5%) compared to the 2024/25 fiscal year.

The main changes in revenues are as follows:

- Revenue from the museum/tour/RM experience (31%) and the VIP area (13%) increases significantly at the stadium.

  Revenue from commercial events and catering also increases, and revenue from the new affinity club business line is budgeted.

  There is also an increase in revenue from “personal seat licenses,” as seat sales are expected to be higher than last year and similar to those in the 2023/24 financial year.

  There is no growth in major events/concerts, pending the definition of the operating conditions for this activity. Among the major events planned, the most relevant is the NFL game.

  Ticket revenue is down 8% due to fewer Champions League games budgeted (quarterfinals are budgeted, as in last season, but last year there was one more game prior to the round of 16 qualification) and in the SMR Cup (last season there were two matches, one in the round of 16 and one in the semifinals, while none are budgeted this season as semifinals are not budgeted and the previous matches are decided by draw).

- There has been a significant decrease (25%) in competition revenue. This decrease is due to various factors, the most significant being: lower allocation of revenue from the Club World Cup in 2025/26 than in 2024/25 due to accounting accrual criteria, the cancellation of the preseason tour in 2025/26 due to the Club World Cup, and the non-participation in 2025/26 in the UEFA Super Cup and FIFA Intercontinental Cup tournaments, from which there was revenue in 2024/25 after winning the Champions League in 2023/24.

- There are no significant changes in television revenue.

- In marketing, there is a 7% increase in revenue based primarily on increased sponsorship revenue.

There is stability in revenue from stores, both physical and online, excluding the inventory effect.

There is a decrease in revenue linked to the profit-sharing agreement linked to the growth and development of sponsorship revenue, which ended in fiscal year 2024/25.

On the other hand, a reversal of risk provisions is expected, representing income similar to that generated in the previous financial year for this same concept of reversal of provisions.

The reversal of provisions in the 2025/26 budget is due to the final EU ruling in favor of the Club, which found that there was no state aid in the urban planning agreement signed with the City Council in 2011. Given that the Club paid the amount claimed at the time and provisioned this payment as an expense, the amount that the City Council must now return is recognized as income in the 2025/26 income statement.

Supply costs decreased by 9% as a result of the inventory effect, given that store revenue levels remained similar.

Personnel expenses increase by 9%, an increase that becomes 13% if the effect of bonuses for sporting achievements from the previous year is isolated.

The main variations in expenditure are as follows:

- The strengthening of the sports teams has led to increases in expenditure of 13% for the first soccer team and 26% for the first basketball team. There have also been increases in expenditure on women's teams (8%) and the soccer youth academy (3%).

- Non-sports personnel expenditure increased by 4.5%, influenced by inflation and the increase in the number of people dedicated to generating revenue and stadium operations.

There is a very significant increase (35%) in the cost of social security assumed by the Club, mainly due to the entry into force of the solidarity contribution, effective since January 1, 2025, making the 2025/26 financial year the first in which this contribution is in force for the entire financial year. The solidarity contribution is levied on the portion of the salary of employees, both sports and non-sports personnel, that exceeds the maximum annual contribution base. The tax rates are progressive and will increase annually until 2045, so the cost of this item will continue to rise significantly in the coming years.

Operating expenses decreased by 2% compared to the previous fiscal year. On the one hand, there were increases in expenses directly related to the increase in revenue and higher expenses for operating the new stadium. On the other hand, there were decreases in expenses, which offset the above increases, in expenses arising from the joint account agreement linked to sponsorship, which ended in the 2024/25 financial year, as well as in expenses arising from sports competitions, as neither the preseason tour nor the UEFA Super Cup or FIFA Intercontinental Cup tournaments were held in 2025/26.

The budget includes a provision for risks amounting to €28 million to cover possible contingencies (€9 million in the previous year).

As a result of all of the above, operating income before disposals and amortization (EBITDA before disposals) of €222.6 million is budgeted, which is €14.3 million (7%) higher than in the previous year.

Gains on disposals of €53.4 million are budgeted (€34.6 million in the previous fiscal year). Almost all of the budgeted gain derives from transfers of youth academy players. It also includes a smaller amount of variables to be accrued this season for transfers of first-team players made in previous seasons.

As a result of the above, operating profit before depreciation and amortization (EBITDA) is budgeted at €276.0 million, which is €33.0 million (14%) higher than in the previous fiscal year.

The budgeted amortization expense is €43.3 million higher (26%) than in the previous fiscal year.

The amortization expense for first-team soccer players increases by 34% due to the effect of new signings net of departures and renewals.

Depreciation and amortization expense for property, plant, and equipment and other intangible assets increased by 7%, mainly due to the amortization of the investment to be made in the 2025/26 financial year to complete the stadium remodeling project, given that the amortization of the main part of the project investment already began in the previous financial year.

Net financial expenses are budgeted at €49.8 million, compared to net expenses of €43.8 million incurred in the previous year, representing an increase in net expenses of €6.0 million. This increase is due to the following effects:

- Interest expense on loans, guarantees, and other financial costs increased by €3.6 million, mainly due to the financing requirements anticipated to complete payments for the stadium renovation work.

- The expense for the implicit cost derived from deferred payments for the acquisition of players increased by €1.9 million as a result of the increase in the balance of deferred payments due to new signings, net of decreases for payments for signings in previous years.

- Financial income decreased by €0.5 million.

No income from interest on cash balances is budgeted, so most of the budgeted income derives from late payment interest in favor of the Club for various claims in process.

All in all, a profit of €15.1 million before taxes is budgeted, compared to a profit of €31.4 million achieved in the previous fiscal year.

A tax expense of €5.0 million is budgeted (€7.0 million in the previous year), after applying the nominal tax rate of 25% to the accounting profit before tax, adjusted for the effects of tax regulations, and after applying the applicable deductions.

As a result, the budgeted expense is €2.1 million lower than in the previous year, due on the one hand to lower pre-tax profit and on the other to the effect of estimating the application of lower deductions than in the previous year.

Therefore, after-tax profit is budgeted at €10.1 million, compared to €24.3 million in the previous fiscal year, a change that is due to the reasons indicated above.

REAL MADRID CLUB DE FÚTBOL AND SUBSIDIARIES CONSOLIDATED BUDGET BY SPORTS SEGMENTS FOR THE 2025/26 SEASON

	MEN'S FOOTBALL		WOMEN'S FOOTBALL			
€ THOUSAND	1ST TEAM AND REST OF CLUB	YOUTH TEAM	1ST TEAM	YOUTH TEAM	BASKETBALL	TOTAL
Membership fees, ticket sales and other stadium revenue	394,309	99	735		7,310	402,453
Revenue from international and friendly matches	139,420	307	1,017		900	141,645
Broadcasting revenue	160,900	105	400		2,985	164,390
Marketing revenue	517,528	0	10,229		11,923	539,680
Total operating income (before disposal of non-current assets)	**1,212,158**	**511**	**12,381**	**0**	**23,118**	**1,248,168**
Cost of sales	(76,352)	(1,921)	(533)	(455)	(707)	(79,968)
Sports and non-sports personnel expenses	(476,328)	(27,107)	(7,208)	(1,732)	(49,619)	(561,993)
Operating expenses	(328,980)	(13,632)	(2,737)	(315)	(10,336)	(356,000)
Provision for uncollectible receivables, and for liabilities and charges	(27,600)	0	0		0	(27,600)
Total operating expenses before depreciation and amortization	**(909,260)**	**(42,660)**	**(10,478)**	**(2,502)**	**(60,662)**	**(1,025,561)**
Operating profit/(loss) before depreciation and amortization, and disposal of non current assets	**302,898**	**(42,148)**	**1,903**	**(2,502)**	**(37,544)**	**222,607**
Gains/(losses) on disposals of non-current assets	(6,648)	60,087	(75)		0	53,365
Impairment/derecognition of non-current assets	0	0	0		0	0
Operating profit/(loss) before depreciation and amortization (EBITDA)	**296,251**	**17,939**	**1,828**	**(2,502)**	**(37,544)**	**275,971**
Depreciation and amortization	(205,592)	(4,149)	(363)	(7)	(995)	(211,105)
Operating profit/(loss)	**90,659**	**13,790**	**1,465**	**(2,509)**	**(38,538)**	**64,866**
Finance income						4,817
Finance expenses arising on implied cost of deferred payment on player acquisitions						(6,997)
Finance expenses arising on interest on loans, guarantee expenses and other financial expenses						(47,633)
Net finance income/(expense)						**(49,813)**
Profit/(loss) before tax						**15,053**
Income tax expense						(4,971)
PROFIT/(LOSS) AFTER TAX						**10,082**



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